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Flex – next growth frontier in CRE

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Flex – next growth frontier in CRE

India's flex workspace is a proxy play on traditional commercial real estate. Post-Covid shift towards hybrid work catalysed significant uptick in adoption of flex workspaces by large enterprises. Flex leasing offers ~20% cost savings for the tenant vs traditional leasing. Operators now provide a spectrum of solutions, from managed campus-style offices to collaborative environments that integrate wellness and hospitality-centric amenities. Managed workspaces expanded at 47% CAGR since CY18, far outperforming co-working (16%). Flex segment is set to grow at >25% CAGR by CY27E, implying a ~Rs330bn opportunity, outpacing broader office market's 6-7% growth. Many operators have ventured into furniture manufacturing, a Rs190bn market by CY29E. Initiate coverage on flex operators; prefer managed workspace operators due to revenue stability and higher occupancies; prefer Smartworks=IndiQube>Awfis (BUYs).

Flex office stock to reach ~144msf by CY27E driven by strong 20% CAGR

Since the early 2000s, India's commercial office stock has expanded >18x; from ~44msf to ~883msf as of 1QCY25. Tier-1 markets are projected to grow further at ~7% CAGR over CY25-27E, taking total stock to ~1,072msf. In contrast, flex workspace has scaled much faster, growing at 23% CAGR over CY19-24 and expected to maintain >20% CAGR through CY25-27E. Flex leasing has also strengthened meaningfully, rising from 14% of overall leasing in CY19 to ~20% in CY24, underscoring accelerating adoption.

Indian flex operators emulating IWG's proven template

Indian flex operators, such as IndiQube, Awfis and Smartworks are increasingly aligning their business models with International Workplace Group's (IWG) globally proven template. They are scaling fast through an asset-light, service-led, multi-format approach that minimizes balance-sheet risk, whilst maximizing network reach. By focusing on enterprise-centric solutions, strong landlord partnerships and nationwide expansion, these operators are replicating IWG's playbook to build sustainable, high-margin workspace platforms in India.

Office demand powered by GCCs and start-ups; IT drives flex demand

The share of GCC leasing in Top-7 cities is expected to grow at ~20% CAGR over CY21-25E. That said, the number of GCCs and their employees is set to double by FY30. The number of unicorns has grown by ~4x in the post-Covid era. With a skilled, cost-efficient, English-speaking workforce, India is fast emerging as a global hub for corporate real estate and innovation.

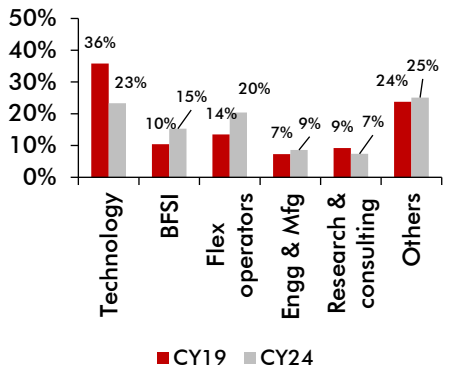
Valuations appear attractive given the large headroom for growth

We expect coverage flex operators to grow revenue/EBITDA (pre-Ind AS) by >20%/25% over FY25-28E. Compared to hotels, flex operators are less asset-light and have no established brand pull. Hence, hotels will command premium EV/EBITDA multiples over flex operators. Office REITs in India trade at 7-8% cap-rate, implying an EV/EBITDA of 12-14x. Despite our preference for REITs as an asset class, given the lower capex intensity in the flex-office business, high service intensity, evolving workspace dynamics, and high growth rates, we reckon flex should trade at a premium to REITs. Prefer Hotels>Flex>REITs.

Key Recommendations

Smartworks Co-working	**BUY**
Target Price: Rs590	Upside: 30%
Indiqube Spaces	**BUY**
Target Price: Rs270	Upside: 30%
Awfis Space Solutions	**BUY**
Target Price: Rs640	Upside: 25%

Exhibit A: Leasing by flex operators grew to 20% (CY24) vs 14% (CY19)



Source: Company, Ambit Capital research

Exhibit B: Prefer managed office model over pure-play co-working

Particulars	Co-working	Managed offices
Clientele	Freelancers/Startup/ SME's	Large enterprises
Customisation for tenants	No	Yes
Seat cohort	1-100	>100
Lease tenure	Low	High
Occupancy risk	High	Low
Churn rate	High	Low
ALM Risk	High	Low
Pricing	Premium	Mid-premium

Source: Company, Ambit Capital research

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Narrative in charts

Exhibit 1: India's co-working market is highly fragmented; players with differentiated value-added services are poised to perform well

Bargaining power of suppliers
Moderate

- Real Estate landlords in prime business districts have high bargaining power as opposed to landlords in areas where supply exceeds demand, giving flex spaces an edge.
- Other service providers (furniture suppliers/facility management cos.) are often replaceable.

Bargaining power of buyers
High

- Customers have a vast array of choices and can easily switch to other players.
- Buyers are increasingly demanding value-added services, giving them more negotiating power.

Competitive intensity
High

- India's co-working sector is highly fragmented & competitive with large international players (WeWork, TEC, Regus) and many domestic players (Awfis, IndiQube, Smartworks) battling for market share.
- Intense rivalry drives innovation but leads to pricing pressure. Product differentiation is the key to gain MS.

Barriers to entry
Low

- Real Estate players/Property consultants are converting their own vacant spaces into flex offices.
- Further, the business model is easy to replicate, hence leading to low entry barriers.

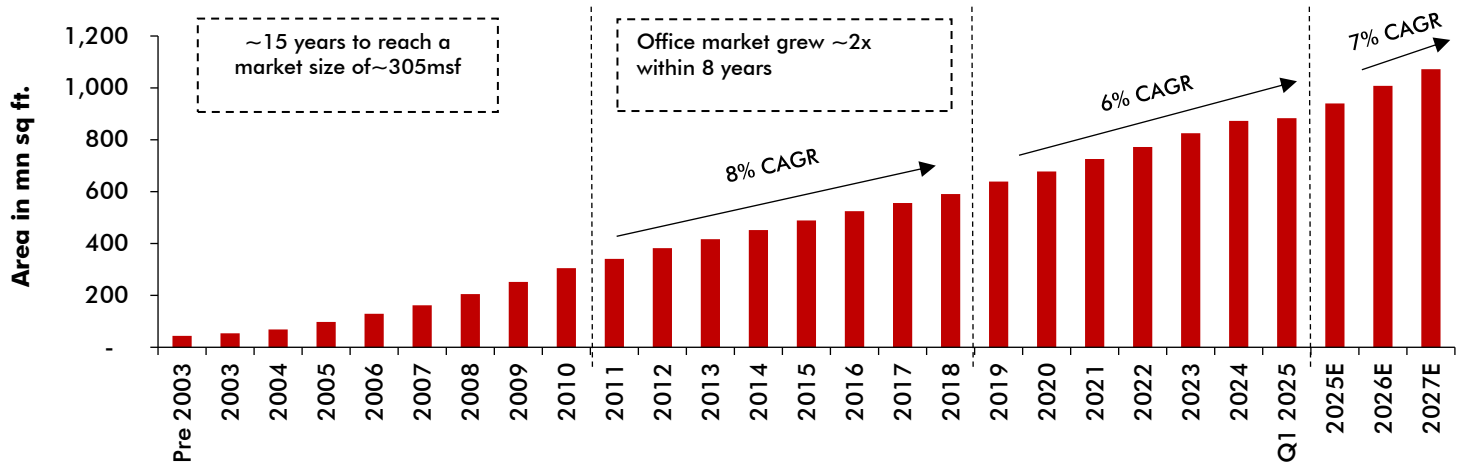
Threat of substitution
Moderate

- Alternatives include working from home, traditional leased offices, cafes, public libraries.
- Availability of these low-cost or free alternatives puts a ceiling on the prices co-working spaces can command and forces them to justify their value proposition through community, networking opportunities, and specialized facilities.

Improving | Unchanged | Deteriorating

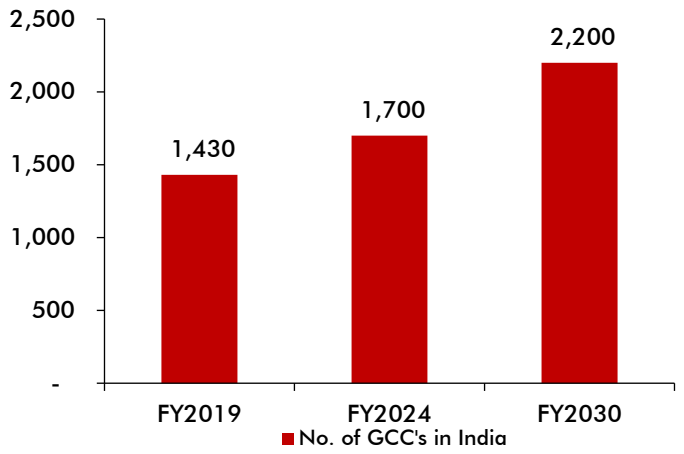
Source: Company, Ambit Capital research

Exhibit 2: India's office stock is growing at a healthy ~6% CAGR since 2019; with favourable demand-supply dynamics, expect ~7% growth over CY25-27E



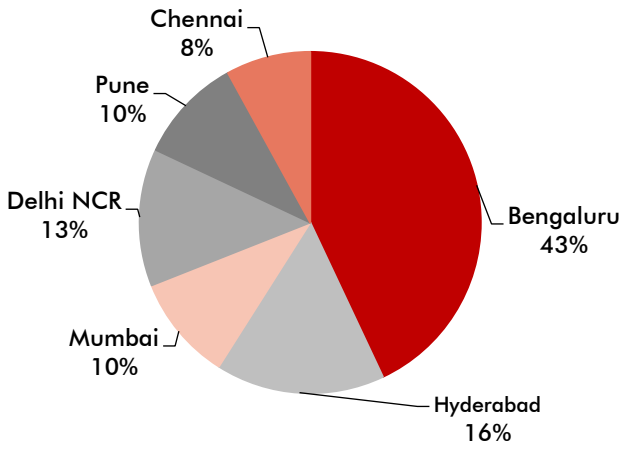
Source: CBRE, Ambit Capital research

Exhibit 3: The number of GCCs in India would grow at ~4% CAGR over FY24-30 with...



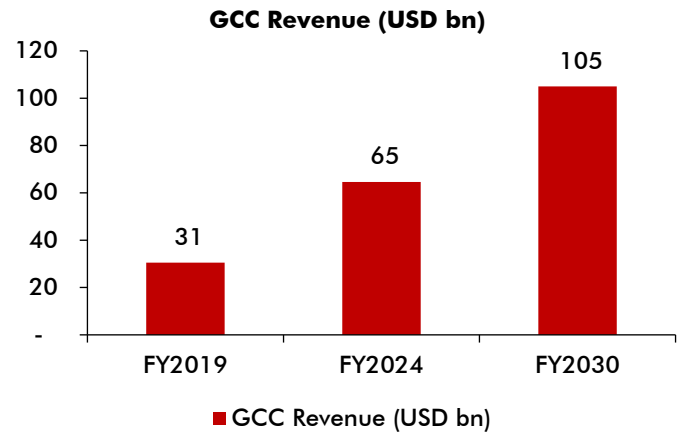
Source: NASSCOM, Ambit Capital research

Exhibit 4: ...Bengaluru emerging as the key market to cater to GCCs



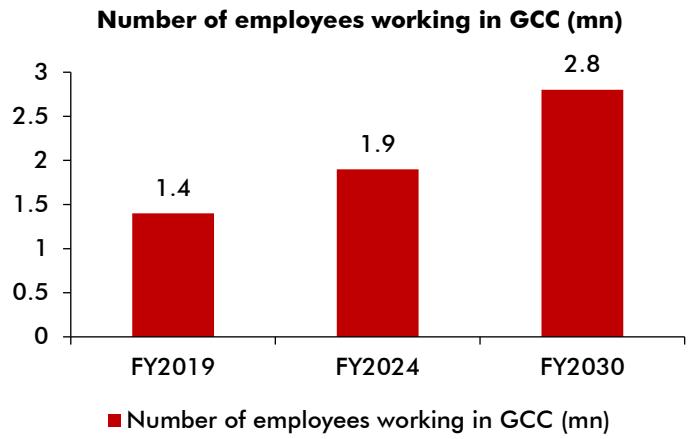
Source: IBEF, Ambit Capital research

Exhibit 5: GCCs' revenue to grow by ~3x over FY19-30...



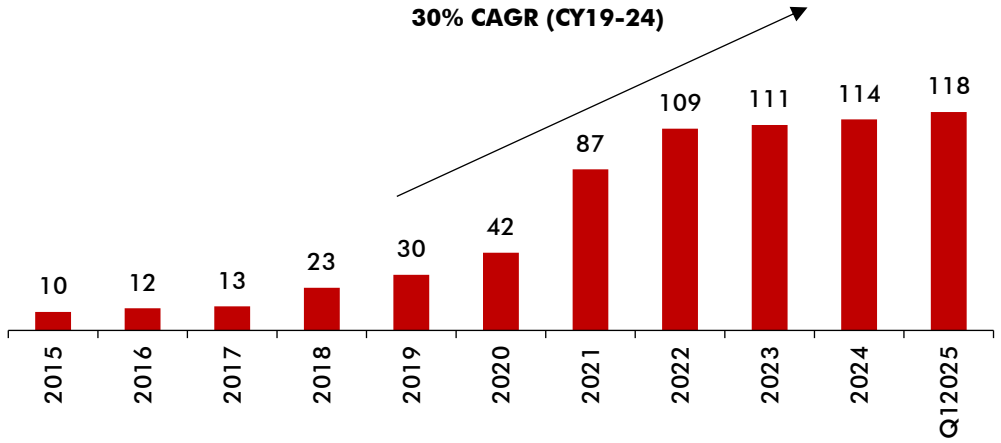
Source: NASSCOM, Ambit Capital research

Exhibit 6: ...with employees expected to double



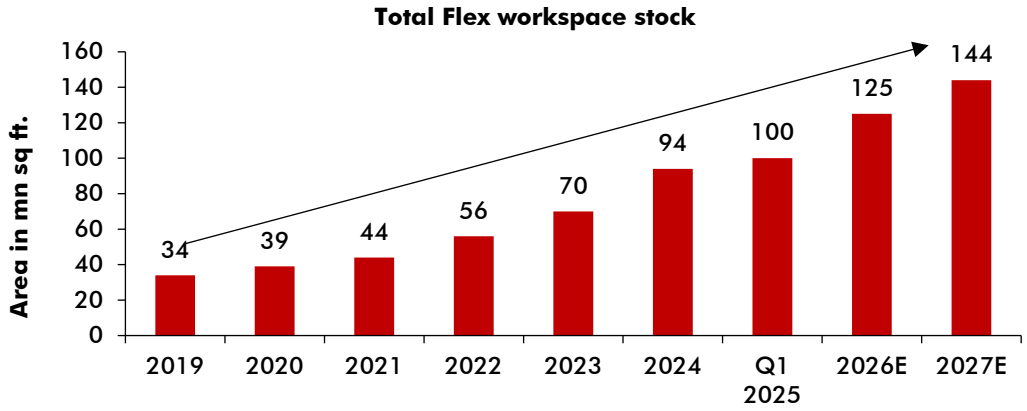
Source: NASSCOM, Ambit Capital research

Exhibit 7: Indian unicorns have grown ~4x in the post-Covid-19 era



Source: Press Information Bureau, Department for Promotion of Industry and Internal Trade Jun'2025, Ambit Capital research.

Exhibit 8: Flex workspace stock in India has grown at ~23% CAGR over CY19-24 and is expected to grow at 20% CAGR over CY25-27E



Source: Company, Ambit Capital research

Exhibit 9: Flex market assumed to grow at >25% CAGR over CY25-27E, translating to ~Rs330bn opportunity by CY27E

Particulars	CY25	CY27E	CAGR
Commercial office stock (msf)	940	1072	7%
Flex stock (msf)	100	144	20%
Flex market share in overall office stock	11%	13%	
Rev to Rent	2.2	2.2	
Average market rent psf	80	87	4%
Occupancies %	80%	85%	
Market size (Rs bn)	210	330	25%

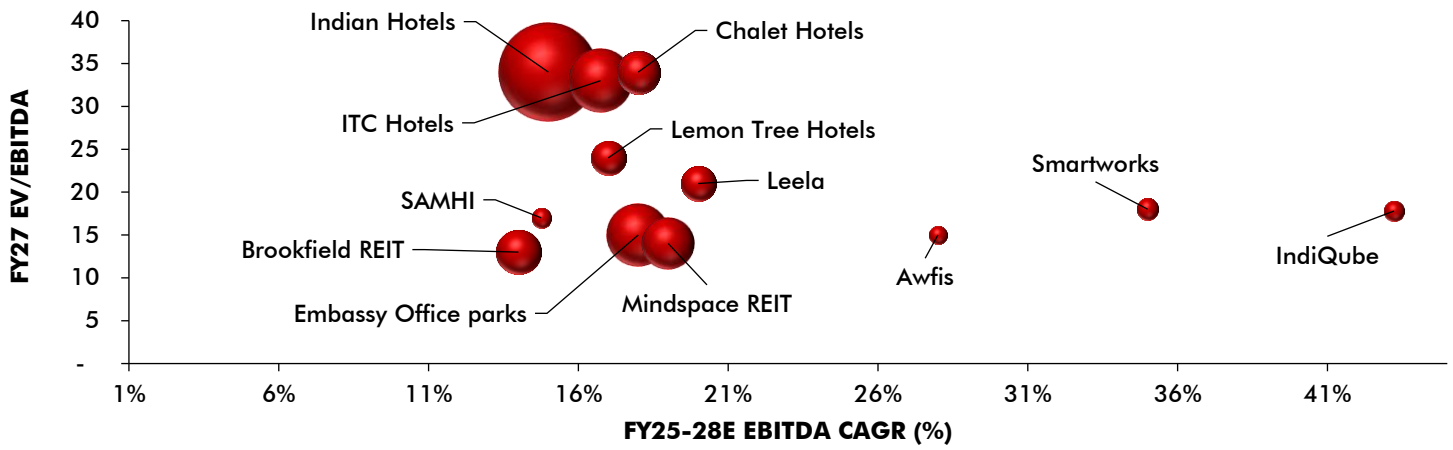
*Source: Company, Ambit Capital research. Note: Market size= Flex stock (msf)*Rev to Rent*Average market rent*12*

Exhibit 10: Comparison of listed flex operators

Metric	Awfis	IndiQube	Smartworks	WeWork India	Comments
Network & Location	●	●	●	◕	Awfis, IndiQube and Smartworks are present across Tier-1/2 cities, whilst WeWork focuses only on Tier-1 cities.
Number of centres	●	●	◕	◕	Awfis/IndiQube have ~230/120 centres.
Property Type (Grade A/B)	◑	◑	◑	●	Being a premium player, WeWork only has centres in Grade A properties and hence commands a premium price.
Client Mix (corporates + Freelancing)	◕	●	●	◕	IndiQube and Smartworks cater to corporates; focus remains on adding clients with >300 seats.
Brand recall	◑	◕	◕	●	WeWork tops the list because of its global brand recall.
Offerings (either co-working/managed/enterprise)	◕	●	●	◕	Both WeWork and Awfis cater to clients of all types. IndiQube and Smartworks have more managed campus offerings.
Asset light vs Asset heavy	◕	◑	◑	◑	~67% of seats in the Managed Aggregation model make Awfis asset-light vs others which follow a Straight Lease model.

Source: Company, Ambit Capital research Note: ● - Strong; ◕ - Relatively Strong; ◑ - Average; ◔ - Relatively weak

Exhibit 11: Flex operators offer higher growth prospects vs Hotels & REITs and...



Source: Company, Ambit Capital research. Note: Size of the bubble is the market cap. Data as of Dec 3, 2025. Ambit estimates used for all.

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Exhibit 12: ... trade at a lower multiple as compared to Hotels vs ~20% premium to REITs

Particulars	BBG Ticker	CMP	Mcap (Rs mn)	Rating	TP 12m	EV/EBITDA (x) (reported basis)			EV/EBITDA (x) (pre Ind AS)			FY25-28E CAGR (%)	
						FY25	FY26	FY27	FY25	FY26	FY27	Rev	EBITDA
Flex/co-working operators													
Smartworks Co-working Spaces	SMARTWOR IN EQUITY	453	51,774	BUY	590	5	5	4	27	21	15	23%	35%
IndiQube Office Spaces	INDIQUBE IN EQUITY	207	43,506	BUY	270	6	5	4	31	19	15	24%	43%
Awfis Space Solutions	AWFIS IN EQUITY	512	36,606	BUY	640	9	7	5	24	18	14	21%	28%
WeWork India Management	WEWORK IN EQUITY	597	79,965	NR	-	DNA	8	6	DNA	DNA	DNA	DNA	DNA
EFC (I) Limited	EFCIL IN EQUITY	262	26,083	NR	-	DNA	5	3	DNA	DNA	DNA	DNA	DNA
Domestic Hotels chains													
Indian Hotels Co Ltd	IH IN EQUITY	735	1,045,900	BUY	900	37	31	28	NA	NA	NA	13%	15%
ITC Hotels Ltd	ITCHOTEL IN EQUITY	208	433,004	BUY	255	34	29	25	NA	NA	NA	13%	17%
Chalet Hotels Ltd	CHALET IN EQUITY	913	199,682	BUY	1,115	30	24	19	NA	NA	NA	21%	18%
Leela Palaces Hotels & Resorts	THELEELA IN EQUITY	405	135,336	BUY	550	19	21	18	NA	NA	NA	15%	20%
Lemon Tree Hotels Ltd	LEMONTRE IN EQUITY	163	128,962	BUY	200	24	21	17	NA	NA	NA	13%	17%
SAMHI Hotels Ltd	SAMHI IN EQUITY	185	40,961	BUY	375	13	12	11	NA	NA	NA	12%	15%
REITs													
Embassy Office Parks	EMBASSY IN EQUITY	449	425,585	BUY	460	18	14	13	NA	NA	NA	16%	18%
Mindspace Business Parks REIT	MINDSPCE IN EQUITY	481	292,987	BUY	470	19	14	13	NA	NA	NA	17%	19%
Brookfield India Real Estate Trust	BIRET IN EQUITY	334	213,732	BUY	355	13	11	10	NA	NA	NA	12%	14%
Nexus Select Trust	NXST IN EQUITY	163	246,991	NR	-	-	17	16	NA	NA	NA	10%	11%

Source: Company, Ambit Capital research. Note: Data as of Dec 3, 2025. Ambit estimates used for coverage companies.

Rise of adaptability: understanding flex workspace solutions

Flexible workspaces are fully furnished, serviced office solutions offering adaptable terms for space, lease duration and location. Once a niche option for freelancers and start-ups, they have now become a central element in the real estate strategies of large corporations and building owners alike. This shift has proven resilience, thriving even after the Covid-19 pandemic. Large companies are now major users of flexible spaces, drawn to benefits not typically found in traditional leases, such as speed-to-market, customizable terms and lower upfront costs. This enterprise-level adoption is the primary driver of the sector's significant growth.

Exhibit 13: Illustration of a typical flex workspace business model

Source: Company, Ambit Capital research

Exhibit 14: Flex market assumed to grow at >25% CAGR over CY25-27E, translating to ~Rs330bn opportunity by CY27E

Particulars	CY25	CY27E	CAGR
Commercial office stock (msf)	940	1072	7%
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*Source: Company, Ambit Capital research. Note: Market size= Flex stock (msf)*Rev to Rent*Average market rent*12*

Key characteristics of flex workspaces

- **Agile leasing terms:** Unlike traditional leases that often span several years, flex spaces can be rented on a monthly, daily or even hourly basis. This allows businesses to scale their office footprint up or down in response to changing needs.
- **Fully equipped environments:** These workspaces come fully furnished and serviced. Amenities typically include high-speed internet, office furniture, printing and scanning facilities, conference rooms and reception services.
- **Shared amenities and costs:** Utilities, maintenance, security and cleaning services are managed by the provider and included in a single, all-inclusive fee. This shared-cost model makes it a financially efficient option.
- **Built to suit:** Flex solutions are not one-size-fits-all. They offer a diverse mix of environments, from private enclosed offices to open-plan shared desks and collaborative lounges.

Types of flexible workspace solutions

The flexible workspace market is diverse, offering several models to suit different working styles and business requirements.

- **Co-working Spaces:** Perhaps the most well-known model, co-working spaces offer a shared, community-focused environment. Individuals or companies rent desks in a common area, fostering collaboration and networking among diverse professionals. They are ideal for freelancers, start-ups and remote workers seeking a vibrant community.
- **Serviced Offices:** These are private, fully equipped office suites of various sizes housed within a larger managed facility. Businesses get their own secure, branded space whilst sharing standard amenities such as meeting rooms, kitchens, and breakout areas. This model is popular with small- to medium-sized enterprises (SMEs) and corporations that need satellite offices.
- **Managed Offices:** A more customized solution, managed offices are tailored to the specific needs of a single, larger company. The provider sources, designs and manages the entire workspace on behalf of the client, offering a private, bespoke environment without the hassle of a traditional lease and fit-out process.
- **Virtual Offices:** This solution provides businesses with a professional business address, mail handling and telephone answering services without the need for physical office space. It is an effective way for remote businesses or those entering a new city to establish a professional presence. In India, virtual offices can be used as the registered address for the company with the Ministry of Corporate Affairs (MCA). Additionally, virtual offices enable businesses to register for GST in different states without needing a physical office in each location.

Exhibit 15: Illustrative representation of a common lobby in a co-working space

Source: Awfis website, Ambit Capital research

Exhibit 16: Managed campus built entirely for a client by IndiQube spaces

Source: IndiQube website, Ambit Capital research

Why flex? Structural drivers accelerating flex office adoption

- **Reducing capital expenditure:** Reducing capital expenditure is one of the biggest drivers of demand for flexible office space. Companies opt to preserve capital and avoid high upfront fit-out expenses, preferring to allocate capital to operational expenditure. After the pandemic, the cost to build quality space that attracts employees back to the office is becoming increasingly expensive, while upgrading office space is much more expensive than the rent itself.
- **Hybrid working arrangements:** Workforce behaviours have been transformed during the Covid-19 pandemic and are unlikely to ever return to pre-Covid-19 pandemic norms. As occupiers plan real estate portfolios amid such uncertainty, flexible spaces are becoming a useful solution, providing solutions for a dispersed workforce, expanding locational options to staff, and offering on-demand meeting and collaboration spaces for employees.
- **Fluid workforce and alternate options for expansion/contraction:** Flexible working has become more widespread after the pandemic. This has created a more fluid workforce and has led to greater acceptance of varied working styles and locations. Further, the flexible space offering has become a means to address headcount volatility, test growth, and access ready space on short notice.
- **New market entry:** Entering new markets is another common reason companies are adopting flexible space strategies, especially among large companies. Given a tight labour market, more companies are looking farther afield to attract and retain skilled talent. Using flexible office space to provide these employees with a place to gather is becoming more common.

Will SMEs/start-ups grow big and pivot from flex to traditional leases?

The historical pattern of small companies starting in co-working spaces and then transitioning to traditional long-term leases upon achieving significant growth is changing due to market shifts. Whilst this traditional trajectory was previously common—driven by the start-up need for flexibility, low capital expenditure and instant amenities—the rise of hybrid work and the maturity of the flexible space industry are changing this dynamic.

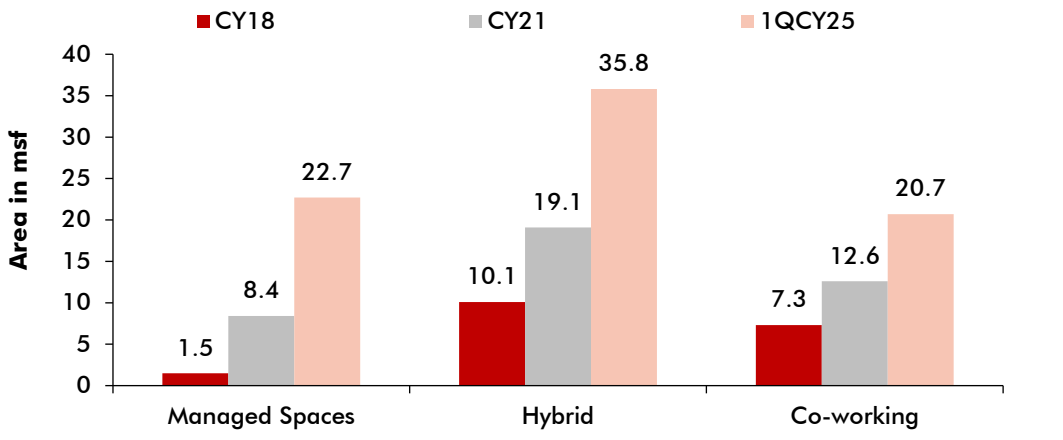
Today, many growing SMEs are opting for "Managed Office" or "Enterprise Flexible Office" solutions; this model allows them to secure a private, custom-branded office that mimics a traditional lease, whilst retaining the benefits of operator-managed services, such as maintenance and faster scalability, which avoids the heavy capital commitment and rigidity of a traditional lease.

Furthermore, large corporations and GCCs are now permanent users of flexible spaces for portfolio agility, turning the decision of which office model to use into one driven less by company size and more by the company's long-term needs for operational flexibility, capital management, and risk tolerance.

Enterprise demand fuels larger managed workspace deals

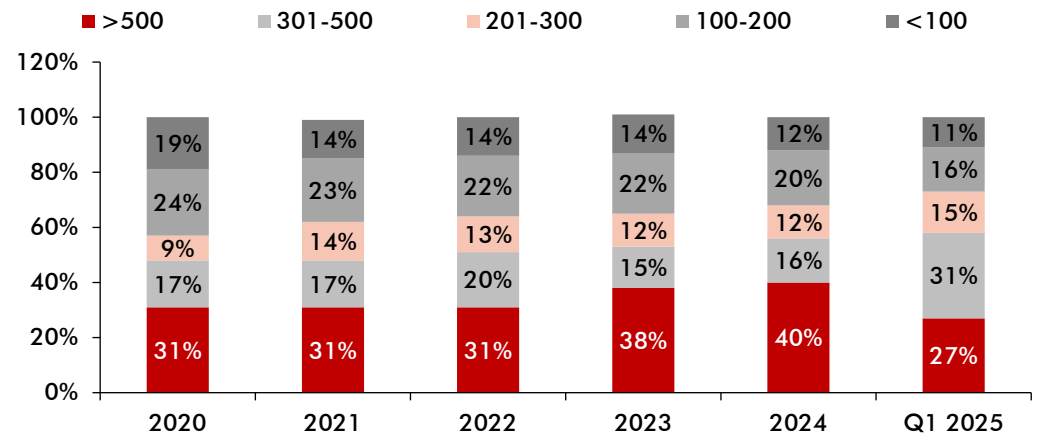
Growing demand for managed workspace solutions is driving larger deal sizes, with >500-seat transactions rising from 31% in 2020 to 40% in 2024. In early 2025, 301-500-seat deals led the market, followed closely by +500-seat mandates. Operators are responding by delivering highly amenitized, custom spaces as the market shifts from simple, flexible leases to multi-floor and full-building solutions that reflect enterprises' preference for scalable, premium, and adaptable workplaces.

Exhibit 17: Managed spaces grew at ~47% CAGR whilst hybrid/co-working grew ~20%/16% over CY18-1QCY25



Source: JLL, Ambit Capital research

Exhibit 18: Demand for larger seat cohorts (>500) is increasing



Source: JLL, Ambit Capital research

Exhibit 19: Managed offices tend to be better than the pure co-working model

Particulars	Co-working	Managed offices
Clientele	Freelancers/Startups/ SME's	Large enterprises
Customisation for tenants	No	Yes
Seat cohort	1-100	>100
Lease tenure	Low	High
Occupancy risk	High	Low
Churn rate	High	Low
ALM Risk	High	Low
Pricing	Premium	Mid-premium

Source: Company, Ambit Capital research

IT's shift towards flex workspace models

The IT sector dominates flex workspace leasing due to its need for rapid scalability, financial agility and project-driven workforce volatility. Flex spaces allow tech firms to expand or contract teams quickly without long leases or heavy capex. Combined with widespread hybrid work adoption, this model lets companies maintain a lean HQ, whilst using satellite centres to support a dispersed workforce, offering high-quality infrastructure on demand to attract and retain talent. With the share of GCCs expected to grow, the IT sector is expected to keep driving demand.

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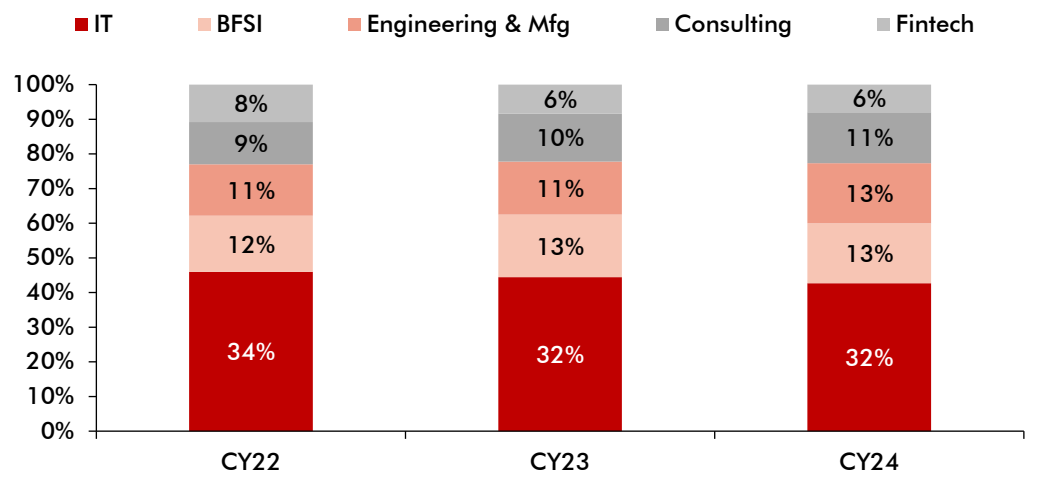
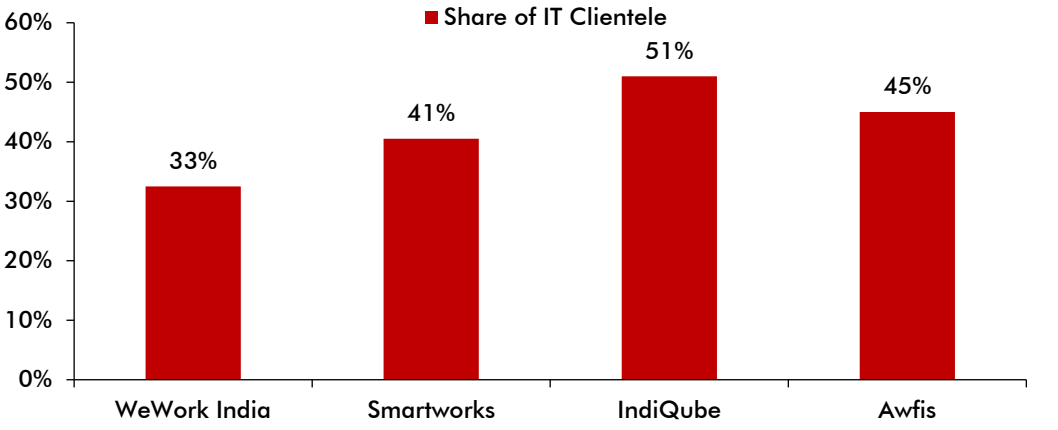
Exhibit 20: IT clientele continues to drive office demand, and...



Source: Company, Ambit Capital research

Exhibit 21: ...flex operators have maximum exposure to IT clientele



Source: Company, Ambit Capital research. Note: Data for WeWork India, Smartworks & Awfis as of 2QFY26, IndiQube as of FY25 as no split available.

Exhibit 22: Pre-2015, the flex workspace offering was very limited; after 2015, the industry picked up ground rapidly

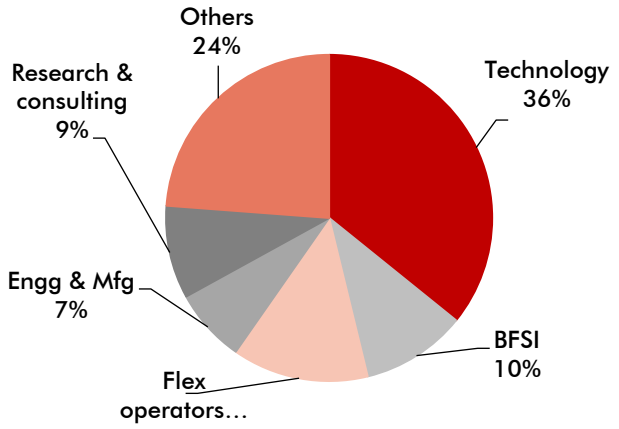
Timeline/Period	Details
Pre-2015	▪ Before 2015, the flexible workspace offering was mostly limited to two types of solutions: traditional business centres/serviced offices, comprising a mix of private suites and meeting rooms, catering primarily to short-term needs for small serviced offices, and swing spaces for corporate organizations. ▪ Incubators and accelerators mostly provide early-stage start-ups with cost-efficient, open layout, shared workspace solutions.
2015 - 2017	▪ Around 2015, the co-working concept started gaining popularity in India, with the initial target audience for this offering being start-ups. ▪ Co-working operators like Awfis, Smartworks, IndiQube, and WeWork started operations during this period.
2017 - 2019	▪ Expansion by both existing domestic and international brand flexible workspace operators in India, along with the emergence of new flexible workspace operators in the country. ▪ Continual evolution of the existing startup-centric co-working format, which also led to the emergence of the enterprise co-working format that could better cater to the demand for flexible workspace solutions from enterprise customers/corporate organizations. ▪ Introduction of the 'Managed Office' offering by some flexible workspace operators in response to the emerging demand for customized, private/semi-private, serviced and professionally managed offices with flexible terms by MSMEs and corporate organisations. ▪ These solutions became popular with enterprises looking to circumvent upfront CAPEX in fit-outs and to outsource the design, build, and management of their offices to a single vendor. ▪ The continuous evolution of flexible workspace formats in response to end-user demands also eventually led to the emergence of the 'Managed Campus' concept that aimed to offer the privacy, flexibility and customization of a managed office along with the advantages and experience of an amenitized and tech-enabled office campus.
2020 – 2021 (Covid-19 impact period)	▪ Owing to the Covid-19 pandemic, 'Work from Home' and 'Remote Work' protocols were implemented by many organizations. ▪ 'Remote first' became the dominant work policy adopted by many organizations, impacting the physical occupancies in both traditional and flexible workspaces. ▪ Most leading flexible workspace operators used this period to review & re-engineer their portfolios, rethink their business strategies, increase focus and investment in technology, amenities, health, and safety, upgrade their facilities, and optimize costs. ▪ Managed office commitments displayed relative resilience during this period, owing to enterprise clientele and, in many cases, longer flex contracts between operators and end users.
Q2 2021 onwards (Covid-19 recovery period)	▪ Reopening of flexible workspace centres with increased focus on ESG and other Covid safety protocols, practices and guidelines, along with the installation of Health and Safety oriented technologies and equipment by multiple operators. ▪ Introduction of novel solutions by flexible workspace operators, such as pay-per-use/day pass, reverse offices, and fit-out-as-a-service, to name a few, and hybrid working initiatives by end-user occupiers.
2022 onwards	▪ The adoption of 'core+flex' strategies by multiple start-ups and corporate enterprises increased demand for flexible workspaces. ▪ Speculative space take-up by flexible workspace operators across the country in anticipation of demand from end users. ▪ The adoption of Distributed/Hybrid working practices and enterprises' focus on capital optimization became among the leading demand drivers for flexible workspace solutions. ▪ Evaluating non-Tier1 cities became an increasingly integral part of expansion strategy planning for multiple operators. ▪ A growing investor interest in the flexible workspace sector.

Source: CBRE, Ambit Capital research

Flex workspaces gain momentum across Indian cities

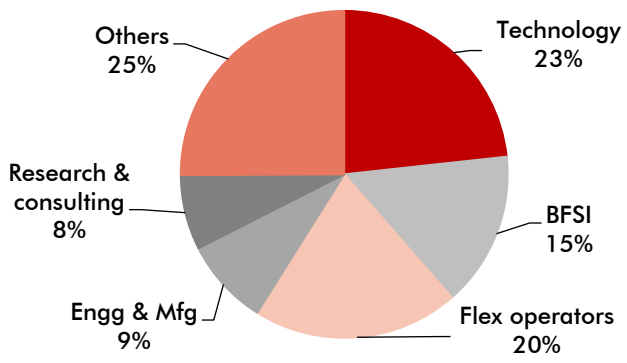
India is home to ~500 flex workspace operators managing ~2,200+ centers. The flex workspace stock in India increased at 24% CAGR from ~34msf in CY19 to ~100msf in 1QCY25. That said, Tier-1 cities dominate the majority of the flex workspace stock, accounting for >88msf of the total flex workspace stock in India (1QCY25).

Exhibit 23: Leasing by Flex operators in India has grown from 14% in CY19 to...



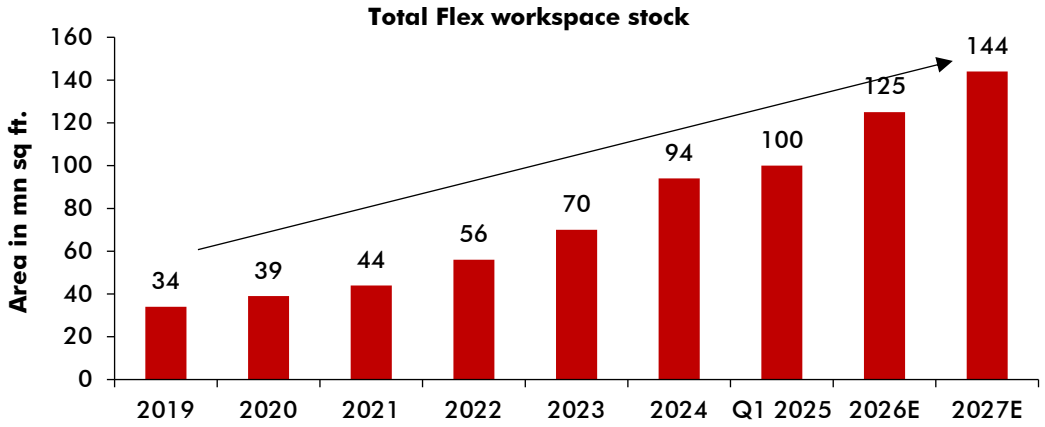
Source: CBRE, Ambit Capital research

Exhibit 24: ...20% in CY24



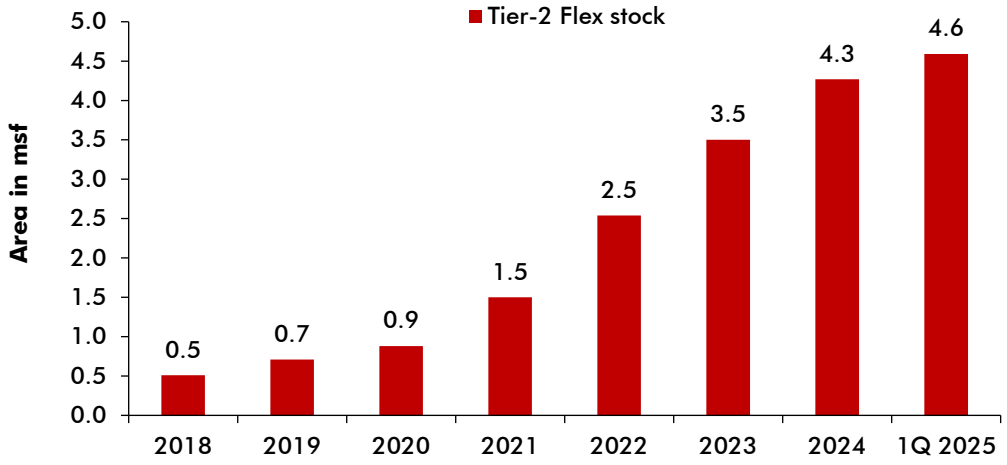
Source: CBRE, Ambit Capital research

Exhibit 25: Flex workspace stock in India has grown at ~23% CAGR over CY19-24 and is expected to grow at 20% CAGR over CY25-27E



Source: CBRE, Ambit Capital research. Note: data for Tier-1 and Tier-2 cities.

Exhibit 26: Operational flex stock in Tier-2 cities has grown by ~9x since 2018

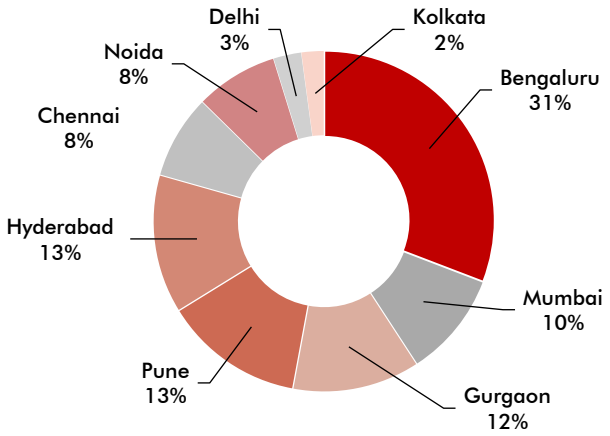


Source: JLL, Ambit Capital research

Bengaluru at the forefront of India's flex office expansion

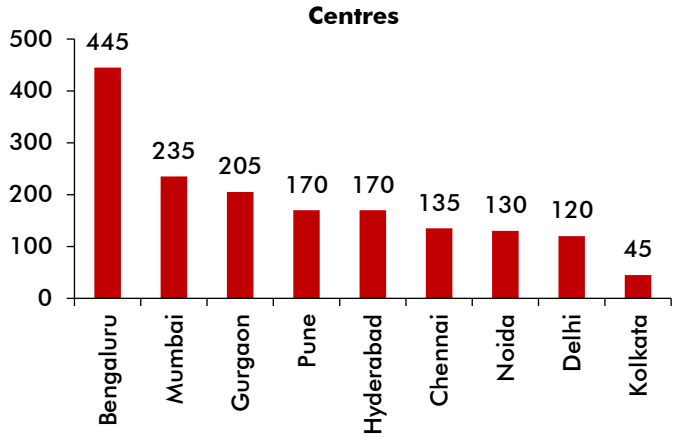
Bengaluru is currently both the largest commercial office and flexible workspace market in India, accounting for ~31% of the total flexible workspace stock amongst Tier-1 cities. Whilst hubs like Bengaluru, Pune, Hyderabad, Gurgaon and Mumbai remain popular markets for flexible workspace operators, markets like Noida & Chennai have also gained traction in response to the end-user interest.

Bengaluru is leading the flex office market with ~31% MS...



Source: CBRE, Ambit Capital research

...and housing ~450 flex centres; ~2-3x more than other Indian Tier-1 cities

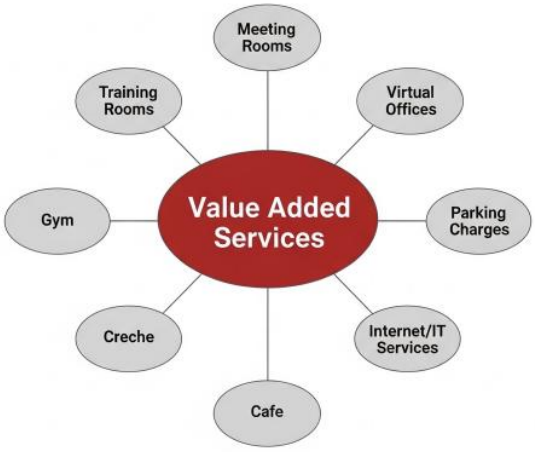


Source: CBRE, Ambit Capital research

Elevating tenant experience through Value-Added Services (VAS)

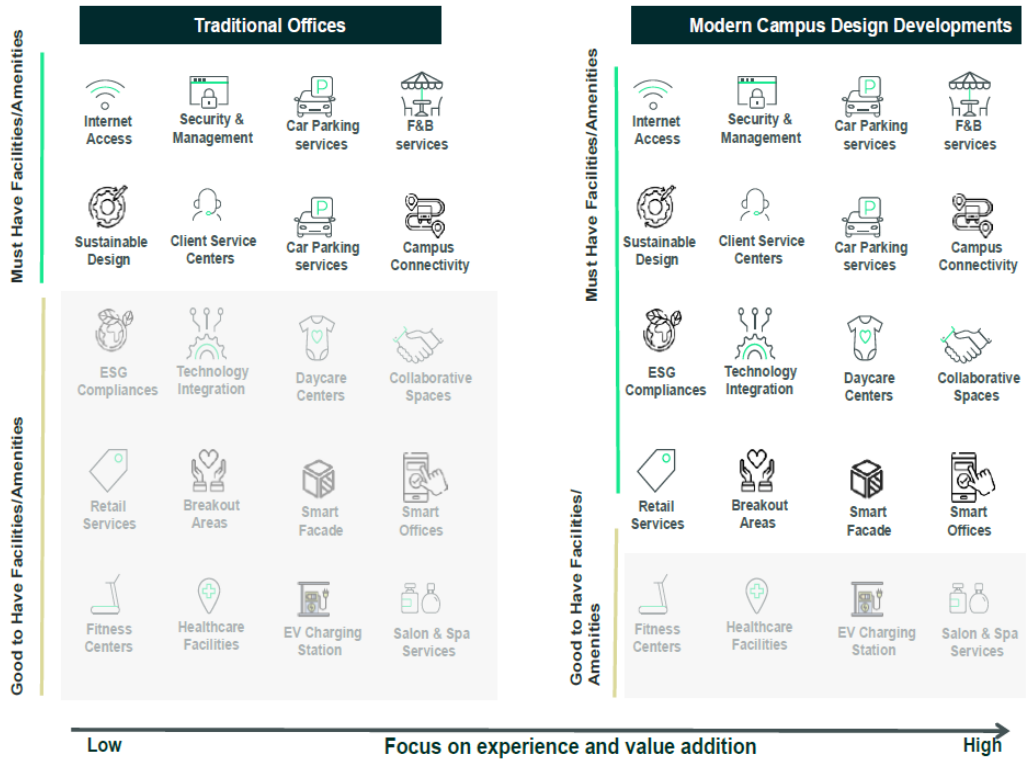
For flex operators, value-added services are essential to stand out and retain tenants. Beyond basic space rental, offerings such as IT support, community events and flexible meeting-room packages create a complete, ready-to-use workspace experience. This focus on member experience boosts satisfaction, drives occupancy and strengthens long-term business sustainability in a competitive market.

Exhibit 27: Co-working companies are providing a range of VAS to enhance customer experience



Source: Company, Ambit Capital research

Exhibit 28: Modern campuses have a wide variety of facilities vs traditional offices



Source: Company, Ambit Capital research

Fit-outs: A key revenue engine for flexible operators

The D&B market is expected to grow up to Rs190bn by CY29E. Notably, flex workspace operators in India are providing design-and-build solutions for their clients. Whilst most of them outsource these services, players like EFC(I) & Awfis are vertically integrated, with furniture manufacturing facilities. D&B segment contributes ~43%/23% of EFC (I)/Awfis' FY25 revenues, yielding 12%/9% segmental PBT margins.

Exhibit 29: Management commentaries indicate higher demand for fit-outs

"The growing demand for customised work environments has transformed fit-outs from an ancillary service into a major business stream for managed workspace operators. Enterprises today are looking for partners who can deliver end-to-end workspace solutions with speed, quality and scale."

- Amit Ramani (Chairman & MD) Awfis Space Solutions, August 2025

"The growth in gross leasing is directly translating in stronger demand for office fit-outs. Fit-outs have evolved from being a peripheral offering to becoming a core business stream for us- contributing significantly to revenues while while placing equal responsibility on designing and building sustainable office interiors ."

- Mohit Gambhir (Co-founder & ED) Carbon Guardians, August 2025

"At EFC India, our integrated real estate-as-a-service model, spanning co-working, enterprise solutions and turnkey fit-outs, positions us to deliver sustainable, agile and design-led workplaces across both metros and fast-growing tier-2 and tier-3 hubs."

- Umesh Sahai (MD) EFC(I), August 2025

Source: Company, Ambit Capital research

Exhibit 30: Outlook for the D&B market

Particulars	2025E	2029F
D&B TAM (msf)	45-49	60-65
D&B TAM (Rs mn)	120,000-130,000	195,000-200,000

Source: JLL, Ambit Capital research

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Cracking the code: The economics of a flex office

Traditionally, renting office space meant signing a long-term lease with the building owner, which included fixed lock-in periods and required a large upfront investment to furnish the space. Now, flexible workspaces provide a more adaptable alternative. They allow businesses to rent space with greater flexibility in lease terms, catering to any requirement without the need for significant initial spending. Flex workspaces often translate into lower fixed costs, resulting in ~20% cost savings for the tenant.

Exhibit 31: Cost breakdown for a 100-seat traditional vs flex office

Comparable	Traditional Lease	Flex Lease	Comments
Number of seats	100	100	The number of seats occupied by traditional and flexible tenants is assumed to be 100 in each model.
Seat density on leasable area	80	60	Different seat density is primarily due to better efficiency in a flexible workspace, as tenants share common spaces, such as reception, lobby, washrooms, and the cafeteria.
Total area (sq. ft.)	8,000	6,000	A larger area would have to be leased under a traditional lease due to a comparatively lower efficiency.
Fit-outs on Capital Expenditure (₹/sq. ft.) on leasable area	2,200	0	In case of a traditional lease, occupiers are required to incur up-front capital expenditure on fit-outs as space owners typically lease out warm shell spaces, whilst in the case of flexible workspaces, fully fitted-out spaces are offered.
Contingency cost on Capital Expenditure	5%	0	
Operating Expenditure (₹/sq. ft.)	60	0	Tenant is required to incur operating costs over and above space rentals under traditional space, whilst the costs are built into the per-seat rentals under flexible workspaces.
Rental (₹/sq. ft.) – on leasable area	120	270	As per typical market rentals/multiples for seat rentals.
Per Seat price	NA	16,200	Calculated basis seat density and rentals per sq. ft. under flexible workspaces.
Common Area Maintenance ("CAM") (₹/sq. ft.) – on leasable area	20		Typical lease terms witnessed.
Security deposits (No. of months)	6	6	
Lock-in Period (Years)	Year 3	Year 3	
Lease Period	3 years	3 years	

Source: CBRE, Ambit Capital research

Exhibit 32: Flex leases often translate to lower fixed costs, leading to ~20% cost savings for the tenant

Comparison of cashflows (3 Years)	Traditional Lease	Flexible Lease	Calculations
Capital expenditure	1.8	-	▪ Includes Fit-out cost (Rs2,200/ sq ft x 8000 sq ft), Contingency cost (5% of total fit-out cost)
Security deposit	0.5	0.9	▪ Traditional lease (6 months * 120/sq ft. * 8000 sq ft) ▪ Flex lease (100 seats * 16,200/seat/month * 6 months)
Building/Seat Rentals	3.4	6.1	▪ Traditional lease (8,000 sq ft. * 120/sq ft. * 36 months) ▪ Flex lease (100 seats * 16,200/seat/month * 36 months)
Building CAM	0.6	-	▪ Traditional lease (8,000 * 20/sq ft * 36 months)
Operating expenditure	1.8	-	▪ Traditional lease (8,000 * 60/sq ft * 36 months)
Total	7.7	6.1	

Source: CBRE, Ambit Capital research

Why do space owners continue to partner with flexible workspaces?

Space owners increasingly choose to collaborate with flexible workspace operators over traditional tenants due to their ability to deliver fully customized office solutions, the preference of tenants to stick with familiar operators across locations, and the value co-working spaces bring as an amenity that caters to diverse tenant needs.

- **Access to Custom-Built and Managed Office Solutions**: When clients require tailored office set-ups and managed spaces—services that space owners may not be equipped to provide—partnering with flexible workspace operators enables them to meet these specialized requirements effectively.
- **Tenant Preference for Existing Operator Relationships**: Tenants already working with an operator in one location often prefer to use the same operator for their other offices, provided there is alignment on requirements, terms and expectations. Developers benefit by leasing to these operators, thereby attracting and retaining such tenants.
- **Co-working as a Value-Adding Amenity:** Co-working spaces enhance a building's appeal by accommodating small, short-term requirements and serving multiple tenants simultaneously. Whilst space owners typically prefer long-term leases and avoid high-churn models, offering space to co-working operators helps them meet smaller requirements and retain existing tenants.

Typical operating models for flexible workspace operators

Flexible workspaces typically operate under two primary models: (i) Straight Lease (SL) & (ii) Managed Aggregation (ML) model.

- The most common is the Straight Lease (SL) model, where the owner leases space to an operator under a conventional agreement with standard terms like a fixed monthly rent and a minimum lock-in period. In this arrangement, the operator is solely responsible for funding the entire fit-out cost, thereby taking on all the financial risk, whilst also retaining all the potential profit.
- In contrast, the Managed Aggregation (MA) model functions more like a strategic partnership. Under this structure, the building owner funds all or a significant portion of the upfront capital for the fit-out. In exchange for this investment and forgoing a stable fixed rent, the owner receives a pre-negotiated share of the revenue or profit generated by the workspace. This approach creates a system of shared risk and reward, where the owner's return is directly tied to the success of the flex space business.
- However, we believe straight-lease models are better in core, high-demand micro-markets, where pricing strength and occupancy levels are resilient, whilst a managed-aggregation approach works best in peripheral or developing corridors where demand visibility is lower, enabling capex risk reduction and sharing market volatility with landlords.

Exhibit 33: By participating in the business, space owners typically earn ~70bps higher

Sr No.	Cash flows for space owner	MA	SL	Comments
A	Cost of Property	~14	~14	Purchase price of ₹14,000 per sq. ft. based on cost benchmarks for development of Grade A office, assumed for 10,000 sq. ft. of office space.
B	Fit-out Cost	~1.54	-	₹2,200 per sq. ft. on leasable area based on cost benchmarks for fit-out for a typical flexible workspace centre.
C=A+B	Total Capital Expenditure	~15.54	~14	
D	Annual Rental or Profit Share	~ 1.20	~ 0.98	Rentals of ₹80-82/sq. ft./month in the SL model (basis market standards) as compared to the share of profits in the MA model.
E=D/B	Annual Yield	~7.7%	7%	-

Source: CBRE, Ambit Capital research. Note: Assumptions cited in Exhibit 36 below

Exhibit 34: Though EBITDA margins are typically lower in MA Model, RoCE is higher than operators opting for SL model

S No.	Cash Flows for Operator	MA	SL	Comments
Capital/One-Time Expenditure				
A	Cost of Fit-out	~ 0.66	~ 2.20	₹2,200 per sq. ft. on leasable area based on cost benchmarks for fit-out for a typical flexible workspace centre split between space owner and operator.
B	Total Upfront Cost	~0.66	~ 2.20	
Revenue (Year 2 - Stabilized Occupancy)				
C	Revenue from Seats	~2.29	~ 2.29	Based on per-seat prices at a 2.5x multiple of space owner to operator seat rentals, 85% occupancy, 10% other revenue and escalation assumptions for the centre.
Expenditure (Year 2 - Stabilized Occupancy)				
D	Rentals to space owner	-	~ 0.98	Rentals of ₹80-82/sq. ft./month in SL model (basis market standards).
E	CAM charges to space owner	~ 0.19	~0.19	CAM charges of ₹16/sq. ft./month in straight lease model (basis market standards).
F	Operating expenses	~ 0.38	~ 0.38	OPEX charges of ₹32/sq. ft./month in straight lease model (basis market standards).
G = (C-E-F) * 70%	Profit Share to space owner	1.2	-	Based on share of profits in managed aggregation model as 70% of profits.
H = C - E - F - G	EBITDA	0.51	0.73	
I = H / C	EBITDA Margin (%)	~ 22%	~32%	
J = H / B	ROCE %	~ 78%	~ 33%	

Source: CBRE, Ambit Capital research. Note: Typical space owner rent to seat price multiple witnessed in the range of 2-2.5; occupancy assumptions based on occupancy levels in established micro-market.

Exhibit 35: Assumptions used for calculations in Exhibits 35 and 36

Operator - Space Owner Arrangement	MA	SL	Comments
Space owner's share in fit-out cost	70%	0%	SL Model – Operator typically incurs 100% cost of fit-outs under SL Model.
Operator's share in fit-out cost	30%	100%	MA Model – Split of 70:30 assumed for share of space owner and operator in fit-out cost under the MA model.
Space owner's share in profits - % of profits	70%	0%	SL Model – Space owner typically receives only rentals as per standard lease terms (no profits shared with space owner).
Operator's share in profits - % of profits	30%	100%	MA Model – Split of 70:30 assumed for share in profit for space owner and operator, respectively, under the MA model.
Rent paid to space owner (₹ / sq. ft. / month)	-	~82	Rentals assumed in line with office market rentals, taking into consideration the cost of property.
CAM (maintenance) Charges (₹ / sq. ft. / month)	-	~16	As per standard market rates witnessed for Grade A developments.

Source: CBRE, Ambit Capital research

Exhibit 36: Industry preference more skewed towards Straight Lease model

Pros	Cons
Space Owner POV	
▪ **Certainty of revenue/lower risk:** Fixed rentals are often earned by the developer for a minimum fixed lock-in period, regardless of the performance of the centre.	▪ **Restricted potential income:** The developer cannot increase/revise the rentals during the first three years (or time period as agreed with the tenant) even if market rentals/building rentals increase.
▪ **Lower upfront cost**: The developer does not incur capex on fit-out for the centre, leading to lower upfront cost.	
▪ **Limited involvement in operations:** Space owners are typically not required to be actively involved in how the operators run a centre.	
Operator POV	
▪ **Higher revenue potential:** The operator may have to pay fixed rentals as agreed with the developer, whilst they can earn higher per-seat rentals as per deal size and other terms from occupiers, without sharing profits with the developer. In addition to seat revenue, the operators also earn, typically, from, among other things, meeting rooms, F&B, etc.	▪ **Uncertainty of revenue/higher risk:** In the SL model, the operator may have to pay fixed rentals for the area leased, for a minimum fixed tenure (lock-in period), regardless of the performance of the centre. Further, the rentals are subject to escalation.
▪ **Full control over operations:** Since the operator leases out space on a traditional lease model with the space owner/developer, there is limited intervention by developers on the operations of the centre, which allows the operators higher flexibility and authority over how the centre is operated.	▪ **Higher upfront cost:** The operator incurs capex on fit-out for the centre, which leads to a higher upfront cost.

Source: CBRE, Ambit Capital research

Exhibit 37: Operators testing the waters in new markets typically opt for the Managed Aggregation model

Pros	Cons
Space Owner POV	
▪ **Higher potential income:** The space owner is typically entitled to profits in the model, which may lead to higher returns/income as per the performance of the flexible workspace centre.	▪ **Upfront cost:** The developer is typically required to incur the capital expenditure on fit-out for the centre in return for a share in the profits/revenue, leading to a higher upfront cost.
▪ **Dynamic pricing:** The flexible workspace centres typically operate at shorter lease tenures/lock-in periods, enabling the operators to charge higher prices/revise prices more frequently as new occupiers take up space. This may at times lead to a higher overall return on investment for the space owner.	▪ **Higher risk:** The returns/income for the developer are contingent on the performance of the centre. In case the centre fails to achieve high occupancy or takes a longer time to achieve stabilized occupancy, the profit margins for the centre may be comparatively lower than a straight lease model in the initial years.
▪ **Partnership opportunity:** The MA model may also give the opportunity for the space owner to become a partner in the financial performance of the centre.	
Operator POV	
▪ **Potential for lower capital expenditure:** The operator typically pays a share of profits/revenue to the space owner against the fit-out expenditure incurred by the space owner. Potential for lower capital expenditure often leads to higher RoCE, which may aid the operator to expand without the need for excessive capital quickly.	▪ **Reduced revenue upside:** Under the MA model, the opportunity to take the entire upside from the centre revenue is reduced for the operator.
▪ **Lower rental obligations:** The operator typically pays no or a reasonable minimum guarantee (rentals) per month to the space owner as compared to a straight lease model.	▪ **Increased transparency and administrative burden:** The operator may be required to be more transparent with the space owner, thus impacting the efficiency in operating the business, as substantial time and effort may be required.
▪ **Lower risk**: The risk arising out of factors, such as low occupancy or low centre revenue, may be lower under the managed aggregation model since the fixed cash outflow (rentals to the space owner) is lower as compared to the straight lease model.	

Source: CBRE, Ambit Capital research

Shared spaces, different strategies: A comparative lens on India's flex operators

The co-working and flexible workspace landscape in India is a dynamic and rapidly evolving sector, driven by the increasing demand for agile and cost-effective office solutions from start-ups, SMEs and large corporations adopting hybrid work models. Among the key players, Awfis, WeWork India, IndiQube and Smartworks have carved out distinct niches. Awfis has a strong network presence and an asset-light model that has appealed to investors. **WeWork India, whilst part of a global brand, operates with a localized approach. Smartworks distinguishes itself by focusing on large, enterprise-level clients and managed campuses with large floor plates. IndiQube, on the other hand, specializes in full-building managed office solutions for enterprises with a notable emphasis on operational depth and client stickiness, evidenced by its high occupancy and negative churn rate.**

Competing for scale: Diverse strategies adopted by flex-workspace operators

Whilst all these companies are competing for market share, their strategies and target segments differ. Awfis and WeWork India tend to have a broader appeal to a mix of individual professionals, start-ups and larger companies. Smartworks and IndiQube are more focused on meeting the specific, long-term needs of corporate clients. The industry is witnessing a significant shift beyond Tier-1 cities, with players expanding their footprint into Tier-2 markets to tap into the growing entrepreneurial culture there. The future of the Indian co-working space is projected to continue its robust growth, fuelled by a booming start-up ecosystem, the adoption of hub-and-spoke models by large companies, and the overall preference for flexible, technology-integrated workspaces. However, challenges remain, including the need for companies to prove sustained profitability.

Exhibit 38: Product offerings by different players operating in the flex business

	Pay per use solutions	Virtual office	Global access	Co-working	Managed offices/ customized floors
wework	✓	✓	✓	✓	✓
SMARTWORKS					✓
INDIQUBE	✓			✓	✓
awfis	✓	✓		✓	✓
THE EXECUTIVE CENTRE	✓	✓	✓	✓	✓
Regus	✓	✓		✓	✓
COWRKS	✓	✓		✓	✓
91SPRINGBOARD	✓			✓	✓
Table Space					✓
simpliwork					✓
skootr					✓

Source: Company, Ambit Capital research

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Exhibit 39: Comparison of listed flex operators

Metric	Awfis	IndiQube	Smartworks	WeWork India	Comments
Network & Location	●	●	●	◕	Awfis, IndiQube & Smartworks are present across Tier-1/2 cities, whilst WeWork focuses only on Tier-1 cities.
Number of centres	●	●	◕	◕	Both Awfis & IndiQube have ~230/120 centres.
Property Type (Grade A/B)	◕	◕	◕	●	Being a premium player, WeWork only has centres in Grade A properties and hence commands a premium price.
Client Mix (corporates/SMEs/Freelancing)	◕	●	●	◕	IndiQube and Smartworks cater to corporates; focus remains on adding clients with >300 seats.
Brand recall	◕	◕	◕	●	WeWork tops the list because of its global brand recall.
Flexibility of offerings (either co-working/managed/enterprise)	◕	●	●	◕	Both WeWork and Awfis cater to all types of clients. IndiQube and Smartworks have more managed campus offerings.
Asset light vs Asset heavy	◕	◕	◕	◕	~67% of seats in the MA model make Awfis asset-light vs others who follow an SL model.

Source: Company, Ambit Capital research Note: ● - Strong; ◕ - Relatively Strong; ◑ - Average; ◔ - Relatively weak

Exhibit 40: WeWork, TEC, and Table Space lead the pack with premium pricing and have centres in only Grade A properties

Metric	Awfis	IndiQube	Smartworks	WeWork India	Simpliworks	TEC	Table Space	Regus	Cowrks	91Spring board	Innov8	BHIVE
Scale (Desks, Area)	~161k, ~8.0 msf	~203k, ~9.14 msf	~235k, ~10.3 msf	~114k, ~7.7 msf	~4.2 msf	DNA	~10 msf	DNA	~16k desks	~30k desks	DNA	~1.8 msf
Presence (Cities, centres)	18 cities, 237 centres	16 cities, 125 centres	14 cities, 54 centres	8 cities, 70 centres	8 cities, 85 centres	7 cities, 39 centres	7 cities, 60+ centres	18 cities, 166 centres	6 cities, 17 centres	8 cities, 40 centres	10 cities, 49 centres	2 cities, 27 centres
City focus	Tier 1 & Tier 2	Tier 1 & Tier 2	Tier 1 & Tier 2	Tier 1	Tier 1	Tier 1	Tier 1	Tier 1 & Tier 2	Tier 1	Tier 1	Majority Tier 1	Tier 1
Pricing	mid-prem	mid-prem	mid-prem	Premium	Premium	Premium	Premium	Premium	Premium	mid-prem	mid-prem	mid-prem
PE/VC investors	Peak XV, Chrys Capital	Westbridge	Kappel Land	BPEA Credit	NA	KKR	Hill House	NA	Brookfield	Anthill, Starter Holdings	OYO	Blume Ventures
Product Offerings	Co-working spaces & Managed offices	Managed offices	Managed offices	Co-working spaces & Managed offices	Managed offices	Co-working spaces & Managed offices	Managed offices	Co-working spaces & Managed offices	Co-working spaces & Managed offices	Co-working spaces & Managed offices	Co-working spaces & Managed offices	Co-working spaces & Managed offices
Asset Type	Both	Both	Both	Grade A	Both	Grade A	Grade A	Both	Grade A	Both	Both	Both

Source: Company, Ambit Capital research. Note: Data for Awfis, IndiQube, Smartworks, and WeWork as per 2QFY26 investor presentation; data for others as per respective websites.

Exhibit 41: Price positioning across players

Source: Company, Ambit Capital research

Within our coverage, Smartworks and IndiQube focus more on managed offices where occupancies and lease tenures are higher, leading to lower churn rates, whilst Awfis primarily focuses on co-working where occupancies are lower. However, with Gold and Elite offerings, Awfis is pivoting to tap GCCs/larger corporates. They already have 21 Gold and five elite Centres, but have yet to establish a meaningful presence in the managed office space. As mentioned above, managed office spaces grew at ~47% CAGR since CY18; whilst co-working spaces grew by ~16%. Hence, we prefer flex operators having a managed office model. Prefer Smartworks=IndiQube > Awfis.

Exhibit 42: Smartworks and IndiQube have higher occupancies % and lease tenures...

Particulars	Smartworks	IndiQube	Awfis
Seat cohort			
1-100 seats	12%	13%	42%
>100 seats	88%	87%	58%
Weighted average lease duration in months (overall)	45	42	33
Occupancies % (across all centres)	83%	85%	73%

Source: Company, Ambit Capital research. Note: Data as of FY25

Exhibit 43: ... hence, we expect high revenue/EBITDA CAGR for Smartworks and IndiQube

Particulars	BBG Ticker	CMP	Mcap (Rs mn)	Rating	TP 12m	EV/EBITDA (x) (reported basis)			EV/EBITDA (x) (pre Ind AS)			FY25-28E CAGR (%)	
						FY25	FY26	FY27	FY25	FY26	FY27	Rev	EBITDA
Flex/co-working operators													
Smartworks Co-working Spaces	SMARTWOR IN EQUITY	453	51,774	BUY	590	5	5	4	27	21	15	23%	35%
IndiQube Office Spaces	INDIQUBE IN EQUITY	207	43,506	BUY	270	6	5	4	31	19	15	24%	43%
Awfis Space Solutions	AWFIS IN EQUITY	512	36,606	BUY	640	9	7	5	24	18	14	21%	28%
WeWork India Management	WEWORK IN EQUITY	597	79,965	NR	-	DNA	8	6	DNA	DNA	DNA	DNA	DNA
EFC (I) Limited	EFCIL IN EQUITY	262	26,083	NR	-	DNA	5	3	DNA	DNA	DNA	DNA	DNA

Source: Company, Ambit Capital research. Note: Data as of Dec 3, 2025. Ambit estimates used for coverage companies.

Divergent paths of WeWork Global and IWG

The flexible workspace industry, built on leasing long-term office space and re-letting it on short-term contracts, exposes operators to considerable financial and operational risk. WeWork Global and IWG exemplify two polar outcomes from this same structural framework. WeWork Global's business challenges resulted from aggressive expansion, governance gaps, and capital inefficiency, whilst IWG's endurance stemmed from its disciplined financial strategy, adaptive brand architecture and capital-light transformation. The comparison reinforces that strategic prudence and sound governance ultimately define resilience in a risk-laden business model. The business model followed by Indian flex space operators is broadly aligned with IWG, characterized by revenue-sharing structures, limited asset-liability exposure, and low churn, all of which support the model's resilience.

Key factors behind WeWork Global's business challenges

- **Flawed business economics and lease mismatch:** WeWork Global's model was undermined by a severe mismatch between its long-term fixed lease liabilities and short-term variable revenues. The company locked itself into decade-long lease commitments, whilst relying on flexible memberships prone to volatility. This imbalance rendered the business structurally unsustainable once occupancy rates or funding inflows slowed.
- **Corporate Governance related gaps:** Excessive founder control and conflicts of interest destabilized governance. CEO Adam Neumann's unchecked authority led to self-dealing transactions, extravagant spending and governance voids that eroded investor trust. The 2019 IPO disclosures exposed these lapses, collapsing the firm's valuation from USD47bn to <5bn almost overnight.
- **Unsustainable capex and cash burn:** The high-cost design and luxury fit-outs of WeWork Global's offices inflated capital expenditure per site and delayed profitability. Combined with operational losses and constant cash flow deficits, the company became dependent on continual external financing, leading to insolvency when funding contracted.

Why IWG was successful

- **Capital-Light business model transition:** IWG strategically shifted from owning and leasing spaces to a franchise and managed-partnership model. This transferred capex and lease liabilities to local partners, dramatically improving cash flow stability and lowering balance sheet risk, making the company asset-light yet scalable.
- **Multi-brand market segmentation:** Through brands like Regus, Spaces and HQ, IWG served diverse customer segments from corporates to start-ups, thereby spreading risk and maintaining high occupancy across economic cycles. This segmentation built a durable and flexible revenue ecosystem. Further, IWG focused on ancillary services, deriving >20% of revenues.
- **Standardization and stricter cost control:** All IWG brands follow a master style guide that dictates logo placement, minimum clear space, proportions, primary/secondary colours, standard formats and scale procurement. These standards guarantee that, whether using Regus in London or HQ in Singapore, clients experience the same high-quality service.

Investors' playbook: Flex vs Hotels vs REITs

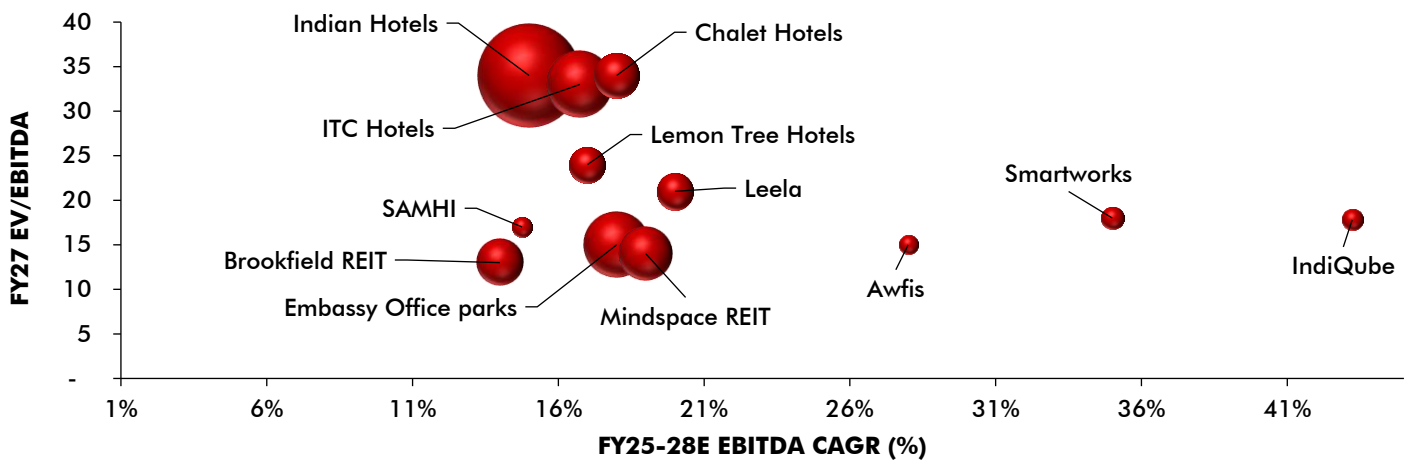
The hospitality sector remains on a strong post-Covid upswing, supported by robust demand, a structural supply gap and record pipelines. With RevPAR expected to sustain ~10% growth over the next 2–3 years, the outlook is positive. We prefer brand owners expanding via asset-light models over asset-heavy players, given elevated acquisition costs and execution risks. Flex-office operators, whilst asset light, do not enjoy the brand premium of hotel chains and therefore should trade at lower multiples. REITs offer limited upside due to 4–5% annual escalations and currently trade at 7–8% cap rates (12–14x EV/EBITDA). Given flex operators' low capex intensity, higher service element and stronger growth trajectory, they should trade at a 30–40% premium to REITs. Overall preference: Hotels > Flex > REITs.

Exhibit 44: Hotels will command a premium over flex operators owing to high brand pull

	Flex operators	Hotels	Comments
Supply	●	◕	A lot of hotel supply is emerging from Tier-2 cities, whilst the supply of commercial spaces is growing in both Tier-1 & 2 markets.
Demand	●	●	Demand remains robust for both Hotels and Flex. Expect the demand momentum to continue.
Capex Intensity	◕	◑	For hotels, there is high capital intensity for asset owners vs asset operators. Flex players usually take up properties on lease, leading to low capex. However, transforming bare-shell properties into office spaces would require flex players to incur fit-out costs.
Gestation period	●	◔	It takes a lot of time for a Hotel to go operational. Flex players, on the other hand, can deliver customizable, ready-to-move-in workspaces within 120 days.
Competitive intensity	◔	◑	Both industries have high competitive intensity; it is lower in hotels, and even lower for brands within hotels.
Pricing power	◑	●	Hotels enjoy the highest pricing power as they can charge higher during peak travel seasons. Flex players, on the other hand, have limited pricing power.
Cyclicality	◕	◑	The co-working/flex workspace sector is less cyclical as end users are corporates, MNCs, working professionals from IT/BFSI/Consulting/Engineering sectors.
Ancillary revenue & upselling opportunities	●	●	Hotels and Flex operators have a higher potential to realise ancillary revenues from D&B offerings, F&B, parking charges, etc.
Overall	◕	●	Prefer Hotels > Flex.

Source: Company, Ambit Capital research
Note: ● - Strong; ◕ - Relatively Strong; ◑ - Average; ◔ - Relatively weak

Exhibit 45: Flex operators offer higher growth prospects vs Hotels & REITs and...



Source: Company, Ambit Capital research. Note: Size of the bubble is the market cap. Data as of Dec 3, 2025. Ambit estimates used for coverage companies.

Exhibit 46: ..trade at a lower multiple as compared to Hotels vs ~20% premium to REITs

Particulars	BBG Ticker	CMP	Mcap (Rs mn)	Rating	TP 12m	EV/EBITDA (x) (reported basis)			EV/EBITDA (x) (pre Ind AS)			FY25-28E CAGR (%)	
						FY25	FY26	FY27	FY25	FY26	FY27	Rev	EBITDA
Flex/co-working operators													
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WeWork India Management	WEWORK IN EQUITY	597	79,965	NR	-	DNA	8	6	DNA	DNA	DNA	DNA	DNA
EFC (I) Limited	EFCIL IN EQUITY	262	26,083	NR	-	DNA	5	3	DNA	DNA	DNA	DNA	DNA
Domestic Hotels chains													
Indian Hotels Co Ltd	IH IN EQUITY	735	1,045,900	BUY	900	37	31	28	NA	NA	NA	13%	15%
ITC Hotels Ltd	ITCHOTEL IN EQUITY	208	433,004	BUY	255	34	29	25	NA	NA	NA	13%	17%
Chalet Hotels Ltd	CHALET IN EQUITY	913	199,682	BUY	1,115	30	24	19	NA	NA	NA	21%	18%
Leela Palaces Hotels & Resorts	THELEELA IN EQUITY	405	135,336	BUY	550	19	21	18	NA	NA	NA	15%	20%
Lemon Tree Hotels Ltd	LEMONTRE IN EQUITY	163	128,962	BUY	200	24	21	17	NA	NA	NA	13%	17%
SAMHI Hotels Ltd	SAMHI IN EQUITY	185	40,961	BUY	375	13	12	11	NA	NA	NA	12%	15%
REITs													
Embassy Office Parks	EMBASSY IN EQUITY	449	425,585	BUY	460	18	14	13	NA	NA	NA	16%	18%
Mindspace Business Parks REIT	MINDSPCE IN EQUITY	481	292,987	BUY	470	19	14	13	NA	NA	NA	17%	19%
Brookfield India Real Estate Trust	BIRET IN EQUITY	334	213,732	BUY	355	13	11	10	NA	NA	NA	12%	14%
Nexus Select Trust	NXST IN EQUITY	163	246,991	NR	-	-	17	16	NA	NA	NA	10%	11%

Source: Company, Ambit Capital research. Note: Data as of Dec 3, 2025. Ambit estimates used for coverage companies.

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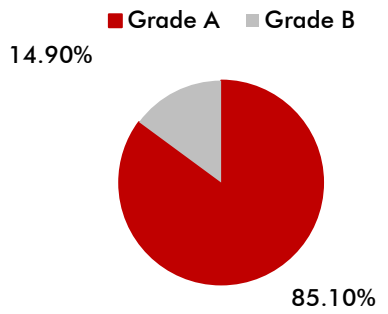
Appendices

Appendix 1- Transformation of India's office market

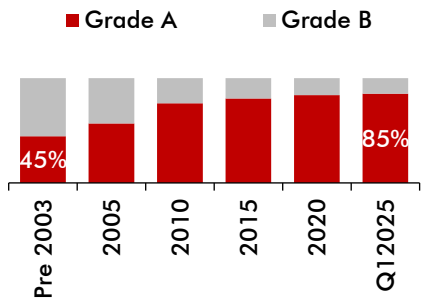
The Indian office market is 4th largest globally, driven by a strong and skilled workforce, a well-developed real estate and infrastructure sector and a robust economy supported by political stability. As of 1QCY25, the country's organized commercial office stock stood at ~883msf. With the market heavily concentrated in nine key cities: Bengaluru, Mumbai Metropolitan Region (MMR), Hyderabad, Gurgaon, Chennai, Pune, Noida, Kolkata and Delhi, this concentration underscores the importance of these urban hubs as centres for business and economic activity. The market continues to see robust demand, with high-quality Grade A office spaces being a key driver of growth, particularly with the expansion of Global Capability Centres (GCCs) and a strong domestic corporate sector. This sustained demand, coupled with India's competitive rental rates, positions India as an attractive and resilient destination for both domestic and multinational companies seeking to expand their real estate footprint.

Exhibit 47: ~85% of commercial office stock comprises Grade A stock



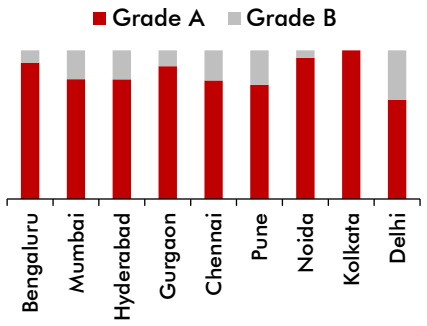
Source: CBRE, Ambit Capital research

Exhibit 48: Share of Grade A office stock has grown ~2x over the years



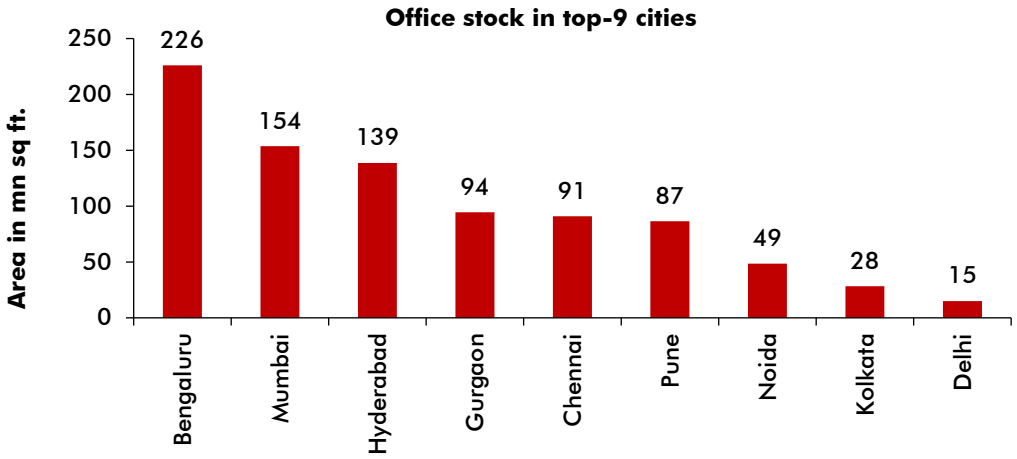
Source: CBRE, Ambit Capital research

Exhibit 49: Top Indian cities have >80% stock in Grade A properties



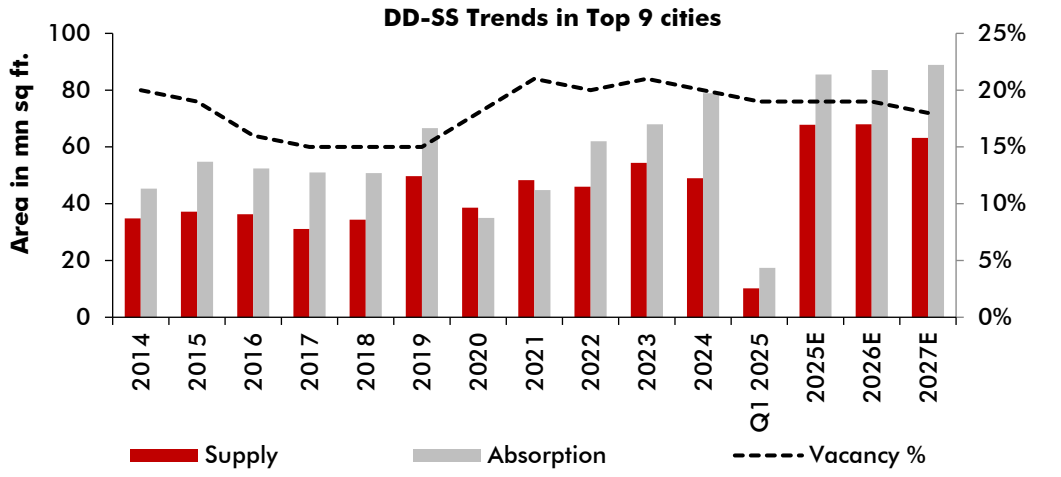
Source: CBRE, Ambit Capital research

Exhibit 50: Bengaluru leads India's office market, having ~26% MS amongst top-9 cities



Source: CBRE, Ambit Capital research

Exhibit 51: Favourable DD-SS mismatch leading to decline in vacancies



Source: CBRE, Ambit Capital research. Note: Top 9 cities include Bengaluru, Mumbai, Hyderabad, Gurgaon, Chennai, Pune, Noida, and Kolkata & Delhi. Note: Data is for CY.

Two decades of transformation: India's office market comes of age

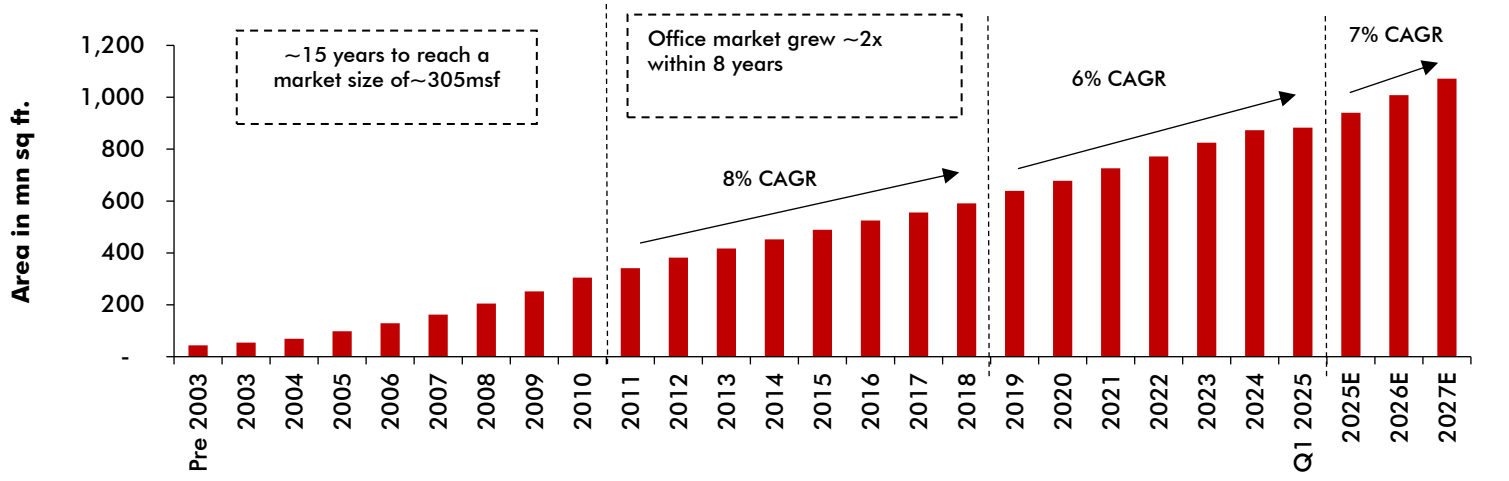
India's office real estate market has undergone a dramatic transformation over the past 25 years. Since the early 2000s, the total office stock has ballooned over 18 times, growing from ~44msf to an impressive 883msf by 1QCY25. This rapid expansion has established Indian real estate as a top choice for investors. This is largely due to several key factors: a growing economy, favourable demand-supply dynamics, government policies that support investment, and greater transparency in the market.

Exhibit 52: Transformation of India's office market from standalone buildings to integrated campuses

Phase	Space Options	Office Demand Drivers
Pre 2000	▪ Standalone buildings with relatively smaller floor plates ▪ Lack of amenities ▪ Developer-owned buildings with limited lease options	▪ Government offices (PSUs) ▪ Industrial houses ▪ Banks and Private corporate houses
2000 - 2008	▪ Emergence of campus-style concepts ▪ Grade A facilities with basic amenities ▪ The presence of individual-owned developments ▪ Emergence of developer-led supply	▪ Emergence of technology and engineering services ▪ Growth of the IT industry in India and India's emergence as a hub for outsourcing ▪ Increase in corporate MNC occupiers
2009 - 2012	▪ Grade A campus-style facilities with limited support amenities and parking facilities ▪ Large standalone developments in secondary locations	▪ Growth in Information Technology (IT) and Business Process Management (BPM) across prominent markets ▪ IT-focused policies and the emergence of SEZs ▪ Enhanced service offerings ▪ Emergence of the biotech sector
2013 - 2020	▪ Emergence of large integrated developments with better but limited amenities ▪ Emergence of green buildings ▪ Proliferation of flexible workspaces	▪ MNCs focusing on high-end services; preference for large integrated parks ▪ Demand from domestic companies and local businesses ▪ Emergence of start-ups and incubation spaces
2021 - Onwards	▪ Multiple types of flexible workspaces solutions exist in the market to solve for diverse occupier needs ▪ Emergence of Tier-II Cities for office sector ▪ Shift towards large integrated campus-style developments with focus on amenitization, technology integration and employee experience	▪ Return-to-office as a key driver for office demand ▪ Demand from GCCs and MNCs setting up their office campuses ▪ Adoption of hybrid/distributed working practices leading to more organizations evaluating flex workspace options ▪ Emergence of start-up ecosystem

Source: CBRE, Ambit Capital research

Exhibit 53: India's office stock is growing at a healthy ~6% CAGR from 2019; with favourable DD-SS dynamics, expect ~7% growth over CY25-27E

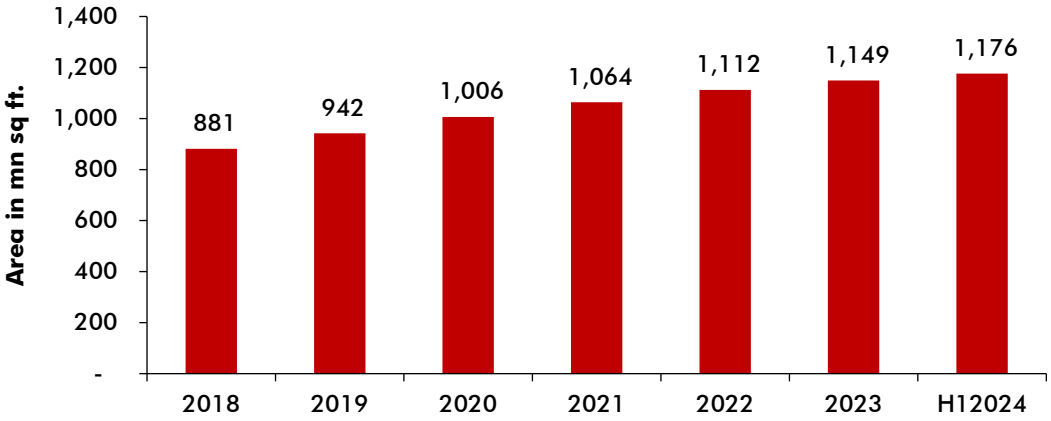


Source: CBRE, Ambit Capital research

Asia-Pacific (APAC): Fastest growing office market

Over the last few years, the office real estate market in the Asia-Pacific (APAC) region has undergone a significant transformation. Driven by strong demand and new construction, the total office stock in the region grew by approximately 295msf between 2018 and the first half of 2024. Following the Covid-19 pandemic, the APAC office leasing market has fully recovered, with companies once again actively planning their real estate strategies. During the period from 2018 to mid-2024, the total recorded office stock in the region grew at 5.4% CAGR.

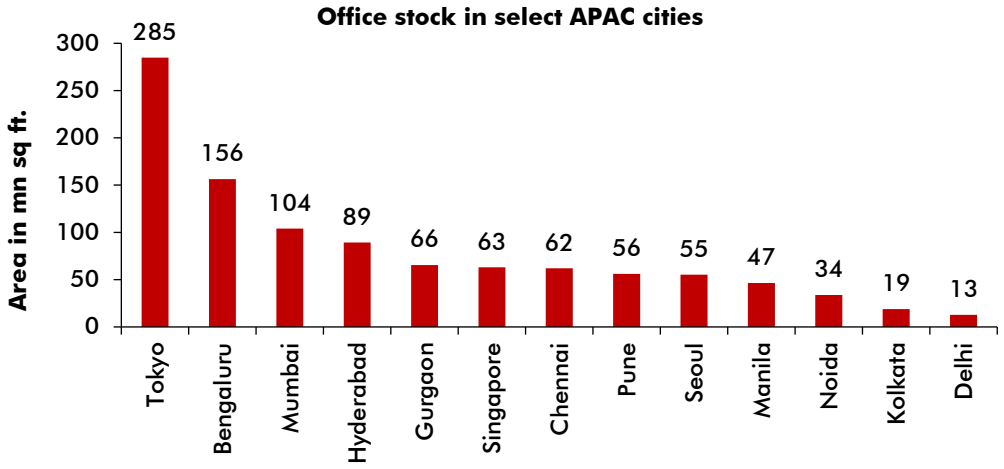
Exhibit 54: Grade A office stock in APAC has grown at 5% CAGR over 2018-2023



Source: CBRE, Ambit Capital research

When compared to other major cities like Seoul, Manila, Singapore and Tokyo, key Indian cities such as Bengaluru, Mumbai and Hyderabad currently have the largest total office stock in the Asia-Pacific region. India has seen a rise in interest and traction from occupiers, leading to increased demand for office spaces. This growing preference for high-quality workspaces combined with India's substantial office inventory shows the country's capacity to meet the changing needs of businesses. As a result, the market has seen a significant increase in the absorption of premium office spaces.

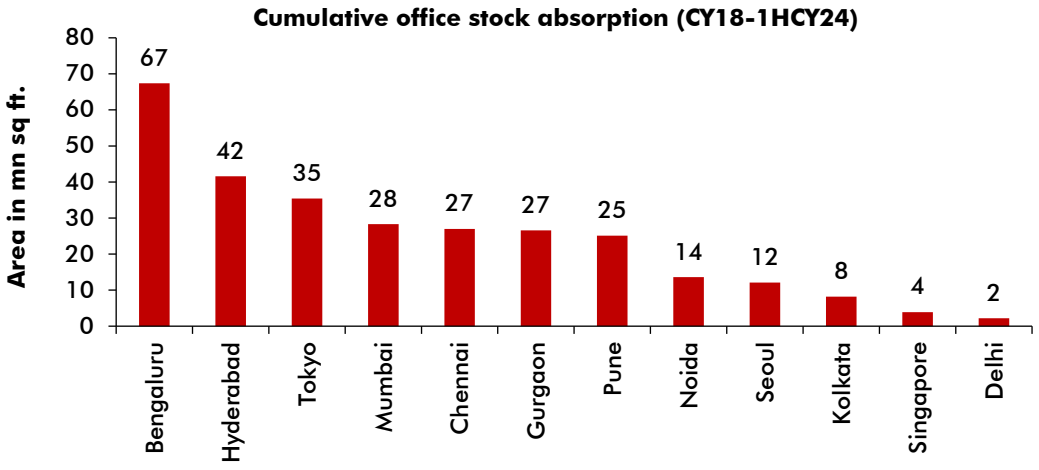
Exhibit 55: Tokyo possesses the largest office stock amongst APAC cities followed by four Indian Tier-1 cities



Source: CBRE, Ambit Capital research

Fuelled by an expanding economy, rising domestic consumption and relatively affordable rents, key Indian cities have become leaders in global office space absorption. This is largely due to increasing demand from both domestic and MNCs. Between 2018-1H2024, Bengaluru, the largest market in the Asia-Pacific region, absorbed more office space than Tokyo, Seoul and Singapore combined.

Exhibit 56: Favourable DD-SS dynamics in favour of Indian cities with Bengaluru and Hyderabad cumulatively accounting for ~110msf of absorption



Source: CBRE, Ambit Capital research

Appendix 2- GCC momentum and start-up energy fuel office absorption

India's office market is experiencing an unprecedented surge, driven by several factors. Global Capability Centres (GCCs) are at the forefront, establishing and expanding their in-house research, development and strategic operational hubs in India. This shift from simple back-office functions to high-value-added services has made GCCs a major source of office space absorption. Additionally, a vibrant start-up ecosystem is fuelling demand as a new generation of tech-focused companies and entrepreneurs seek modern, flexible workspaces. These start-ups and a growing number of businesses are attracted by India's competitive cost advantage for both real estate and highly skilled labour. This is further amplified by the country's vast and readily available English-speaking talent pool, which gives it a significant edge over other global markets. Together, these drivers are transforming India into a preferred global hub for corporate real estate, creating robust and sustainable demand for high-quality office spaces.

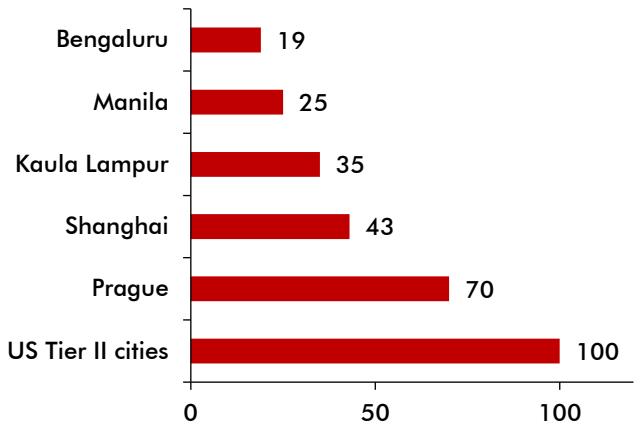
English-speaking talent pool

India is home to a vast and skilled workforce, thanks to its high number of graduates and improving educational institutions. As of 2022, the country produced 11.3mn graduates, including ~1mn engineers and 2.3mn commerce graduates. In 2023, India led the world in producing STEM (Science, Technology, Engineering, and Mathematics) graduates, with over 2.5mn. This talent pool is further strengthened by India's growing digital workforce, accounting for about 38% of the total technology talent. This expansion is supported by various government initiatives like PM Kaushal Vikas Yojana 4.0, Future Skills Prime and the National Digital Literacy Mission, which aim to enhance digital skills. These efforts are expected to help India meet the demand for skilled professionals, reinforcing its position as a global leader in tech talent.

Competitive cost advantage

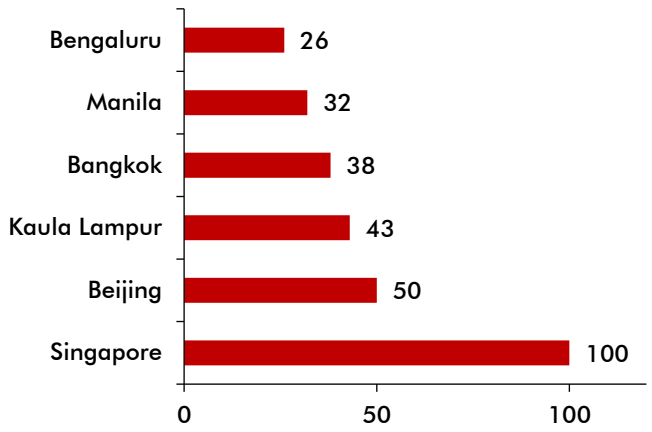
India maintains a significant cost advantage over many other countries. For instance, the operating cost per employee for IT services, particularly for application development and maintenance, is relatively low. This led to rise of outsourcing in India.

Exhibit 57: Bengaluru's operating cost per FTE for BMP-F&A and...



Source: NASSCOM, CBRE, Ambit Capital research Note: Indexed to US Tier II cities=100

Exhibit 58: ...operating cost per FTE for IT services is the lowest vs global cities



Source: NASSCOM, CBRE, Ambit Capital research Note: Indexed to Singapore=100

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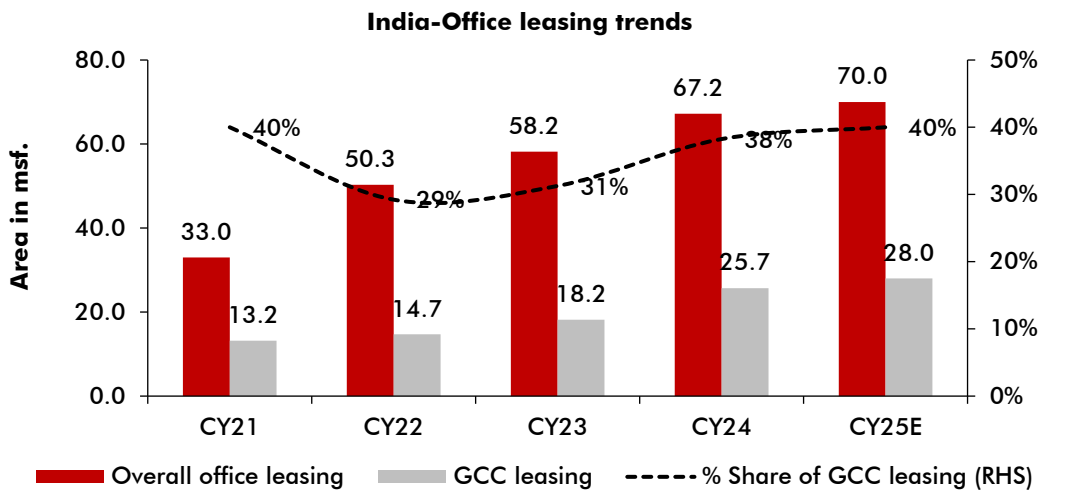
Beyond outsourcing: The new era of GCCs

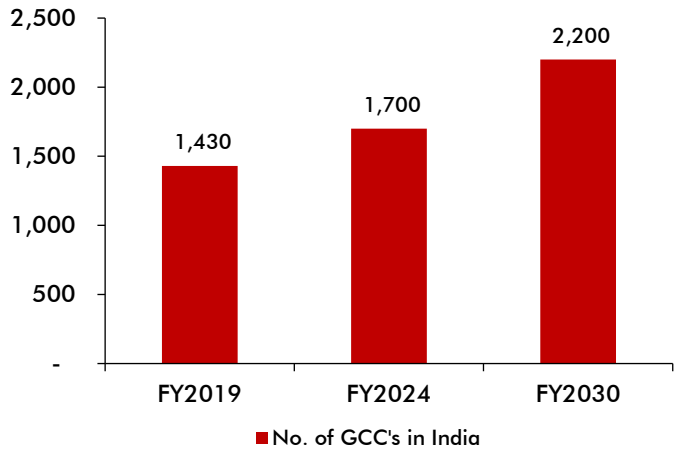
GCCs have become a primary driver of office space demand in India, fundamentally reshaping the commercial real estate landscape. Initially established as back-office support centres, GCCs have evolved into strategic hubs for research and development, innovation and other high-value functions. This shift has led to a significant increase in demand for premium, Grade-A office spaces. Many GCCs are setting up large, dedicated campuses in major cities like Bengaluru, Hyderabad, and Pune, whilst also expanding into flexible workspaces and managed offices to support their agile operations and growing workforce. With India's vast talent pool and cost advantages, the number of GCCs and their footprint is projected to continue growing, solidifying their role as the main force behind office space absorption across the country.

Exhibit 59: Share of GCC leasing in top 7 cities has grown at 20% CAGR over CY21-25E



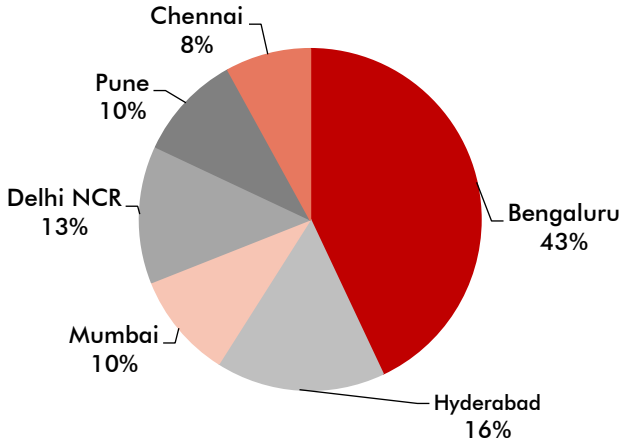
Source: Colliers, Ambit Capital research. Note: Data pertains to Grade A office stock in top 7 cities- Bengaluru, Mumbai, Pune, Chennai, Delhi NCR, Hyderabad and Kolkata.

Exhibit 60: Number of GCCs in India to grow at ~4% CAGR over FY24-30 with...



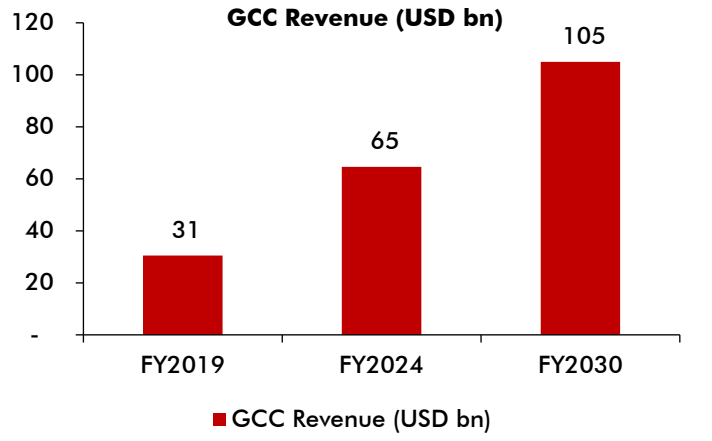
Source: NASSCOM, Ambit Capital research

Exhibit 61: ...Bengaluru emerging as the key market to cater to GCCs



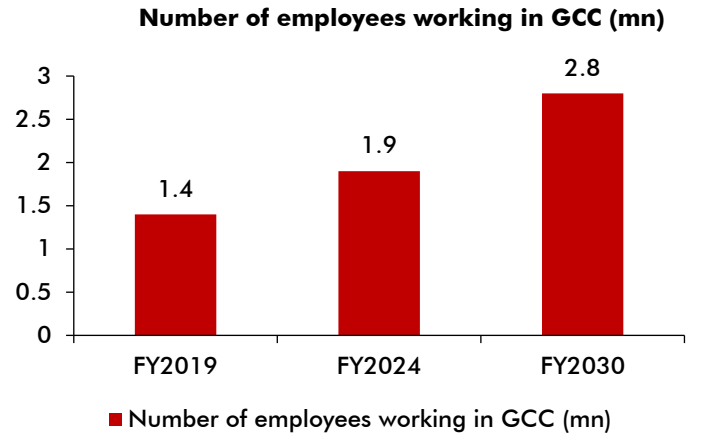
Source: IBEF, Ambit Capital research

Exhibit 62: GCCs' revenue to grow by ~3x over FY19-30...



Source: NASSCOM, Ambit Capital research

Exhibit 63: ...with employees expected to double



Source: NASSCOM, Ambit Capital research

Exhibit 64: GCCs belonging to different sectors like Engineering, Fintech, Retail, etc. have established offices in India

Source: NASSCOM, Ambit Capital research. Note: Image includes only select GCCs

Exhibit 65: Bengaluru, Chennai and Hyderabad anchor >60% of GCC demand

City	Average rentals (Rs/sq ft/month)	Cumulative GCC leasing	Leading sectors of GCC demand
Mumbai	168	6.3	Technology, BFSI
Pune	85	7.7	Technology, BFSI
Bengaluru	98	39.4	Technology, Engineering & Manufacturing
Chennai	78	13.7	Technology, BFSI
Hyderabad	83	21.1	Technology, BFSI
Kolkata	59	0.5	Technology, Consulting
Delhi NCR	114	11.1	Technology, BFSI

Source: Colliers, Ambit Capital research

Exhibit 66: India offers a better value proposition vs other developing countries

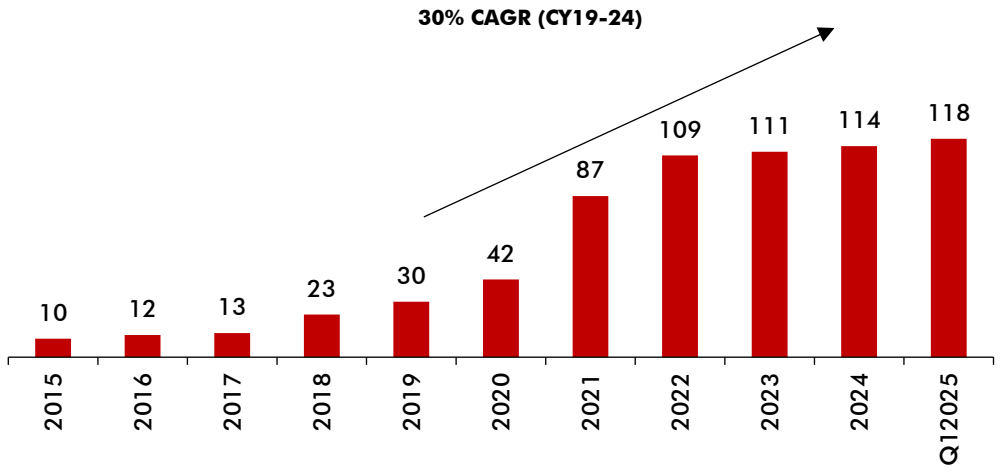
Metric	India	Brazil	Poland	Philippines	Mexico
Talent Pool	◕	◔	●	◔	◔
STEM Ecosystem	●	◑	◕	◑	◑
Manpower expenses	●	◕	◑	◕	◕
Real Estate Cost	●	●	◕	◕	◕
Ease of setting up business	◕	◔	◕	◑	◑
Economic Growth	●	◑	◑	◕	◔

Source: IMF, Colliers, Ambit Capital research. Note: ● - Strong; ◕ - Relatively Strong; ◑ - Average; ◔ - Relatively weak

Rise of start-up ecosystem in India

India's booming start-up ecosystem is a significant driver of demand for both traditional and flexible office spaces. Now the 3rd largest in the world, the ecosystem is thriving due to a supportive business environment, a skilled workforce, widespread digital transformation, and a strong culture of innovation. The number of recognized start-ups in India has grown by 34% over CY23-24, reaching over 159k by Jan'25. ~49% of these start-ups are located in Tier-1 cities, where they actively seek out workspace solutions to accommodate their growth.

Exhibit 67: Indian unicorns have grown ~4x from post-Covid-19 era



Source: Press Information Bureau, Department for Promotion of Industry and Internal Trade Jun'2025, Ambit Capital research.

Appendix 3 – Key questions addressed for Investors

Ind-AS remains the core reporting standard for flex workspace operators and creates notable differences from I-GAAP, especially in lease accounting. Under Ind-AS 116, companies must recognize Right-of-Use (RoU) assets and lease liabilities for leases >12 months. Lease liabilities are recorded at the present value of future payments, whilst RoU assets are depreciated over the lease term. This shifts rental costs from operating expenses to depreciation and interest, inflating operating margins on paper. Hence, investors should use (pre-Ind AS 116) EBITDA to strip out Ind-AS 116 effects and reflect the true cash-based profitability after factoring in actual lease outflows.

Exhibit 68: Smartworks generates healthy OCFs

Particulars (Rs mn)	Smartworks			IndiQube			Awfis		
	FY23	FY24	FY25	FY23	FY24	FY25	FY23	FY24	FY25
EBITDA (Ind AS reported)	4,240	6,597	8,573	3,359	4,953	6,165	1,556	2,454	4,024
Less: Principal and interest on lease liabilities	3,876	5,536	6,850	3,012	3,820	5,020	1,399	1,745	2,462
Normalized EBITDA	364	1,060	1,722	347	1,133	1,145	157	709	1,562
Operating Cash Flows	5,317	7,433	9,285	3,239	5,422	6,116	1,952	2,284	3,895
Less: Principal and interest on lease liabilities	3,876	5,536	6,850	3,012	3,820	5,020	1,399	1,745	2,462
Normalized OCF	1,441	1,897	2,435	227	1,602	1,096	553	539	1,433
Normalized OCF/ Normalized EBITDA (x)	3.96	1.79	1.41	0.65	1.41	0.96	3.52	0.76	0.92

Source: Company, Ambit Capital research

Exhibit 69: Impact of accounting loss reported due to application of Ind-AS 116

Particulars (Rs mn)	Smartworks			IndiQube			Awfis		
	FY23	FY24	FY25	FY23	FY24	FY25	FY23	FY24	FY25
Interest on Lease Liabilities	1,970	2,498	2,791	1,693	2,212	2,810	698	888	1,321
Depreciation on ROU Assets	2,695	3,186	4,527	2,434	3,123	3,869	1,141	1,408	1,972
Total Impact on P&L	4,665	5,684	7,317	4,127	5,335	6,679	1,839	2,296	3,293
Payment of lease liabilities	3,876	5,536	6,850	3,012	3,820	5,020	1,399	1,745	2,462
Net Impact on P&L	789	148	467	1,115	1,515	1,659	440	551	831

Source: Company, Ambit Capital research

Appendix 4 – Flow of capital in India's flex workspace

Over the past decade, private equity (PE) and venture capital (VC) funding in India's co-working and flexible office sector has seen significant growth, reflecting the rapid expansion of this industry amid India's evolving work culture. The initial wave of investment, roughly between 2015 and 2019, was characterized by growth-focused funding. This era saw significant funding rounds for companies like Awfis, 91springboard and Smartworks, amongst others, all aimed at aggressive expansion and capturing market share. The focus was on scaling up the number of centres and seats across major metropolitan areas to cater to the burgeoning demand from freelancers, start-ups and even large enterprises seeking flexible real estate solutions. Real Estate developer Brigade Enterprises has forayed into co-working by setting up 'BuzzWorks'; Hospitality player OYO too has launched its managed workspace, 'Powerstation'.

Funding matures as hybrid work models scale

The Covid-19 pandemic acted as a major inflection point. The shift to remote work initially cast a shadow over the sector, leading to a temporary slowdown in funding and a renewed focus on unit economics and profitability. However, this period also highlighted the inherent value of flexibility. As companies began to adopt hybrid work models, the demand for managed office spaces surged, leading to a robust recovery.

Since 2021, the funding landscape has matured significantly. Investor sentiment is now geared towards sustainable and profitable growth. Companies that have demonstrated strong operational efficiency and a clear path to profitability have attracted substantial later-stage funding.

Exhibit 70: Rising investments in the co-working sector

Year	Investor	Target	Deal size (mn)
2017	Peak XV	Awfis	Rs1,220
2017	Blume Ventures	BHive	USD2.2
2018	Westbridge	IndiQube	USD15
2019	OYO	Innov8	USD30
2019	Chrys Capital	Awfis	USD30
2019	Keppel Land	Smartworks	USD25
2019	SmartOwner Capital Growth Fund	Workspace	Rs300
2020	Anthill & Other investor groups	91Springboard	Rs450
2021	KKR & TIGA Investments	The Executive Centre (TEC)	Undisclosed
2022	Hill House	Table Space	USD300
2022	BPEA Credit	WeWork India	Rs5,500
2025	Gauri Khan, Mankind Pharma, Other individual investors	Innov8	Rs1,100

Source: Various new articles, Ambit Capital research

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Flex platform with enterprise DNA

Smartworks is India's largest enterprise-focused managed office platform with ~10.1msf AUM, operating 54 centres across 15 cities with ~270k seating capacity. Occupancy was ~81% (2QFY26). By developing large-scale managed campuses from bare-shell spaces, it primarily caters to enterprise clients (>300 seats) under long-term leases, driving predictable revenue. Expansion aided by higher occupancy will improve margins; expect 35k-40k seat addition p.a. with ~84% occupancy. This would drive ~400bps margin expansion by FY28E. IPO proceeds of ~₹4.5bn were utilized to reduce debt and will fund growth initiatives. We expect 23%/35% revenue/EBITDA (pre-Ind AS) CAGR over FY25-28E; DCF based 1yr TP of ₹590 implies 18x 1yr fwd EV/EBITDA (pre-Ind AS). Focus on managed offices drives preference for Smartworks. Pecking order: Smartworks=IndiQube>Awfis. Key risk: Limited brand pull.

Competitive position: STRONG Changes to this position: POSITIVE

Tapping fastest-growing managed office space; eliminates ALM risk

India's managed office space increased at ~47% CAGR since CY18, whilst co-working spaces grew by ~16%. Smartworks pivoted from traditional co-working to focus on providing managed workspace solutions to large enterprises (>300 seats). Enterprise clients contribute ~90% of revenues; high stickiness >85% retention rates has eliminated ALM risk in the medium term.

Affordable rentals through non-institutional partnerships

Non-institutional stock refers to developer-owned or individually held assets that lack professional management, struggling to attract quality tenants. Smartworks bridges this gap by partnering with such landlords, giving it edge in locking in lucrative rental prices. Non-institutional landlord mix was 76% (2QFY26).

Cost leadership through standardization and scale

Smartworks enjoys cost leadership by standardizing designs, using modular/reusable fit-outs and leveraging scale across its large campuses. Its operating cost of ₹34-36psf and low capex of ~₹1350psf (vs ~₹1,500/2,000 for IndiQube/Awfis) stem from efficient bare-shell conversions and high space utilization.

Valuations still do not reflect long-term growth potential

We expect Smartworks to grow its AUM by ~3x by FY42. Higher scale coupled with operating leverage will lead to margin expansion from ~12.5% EBITDAM (pre-Ind AS) to ~16.4% in FY28E. Prefer Smartworks owing to focus on managed offices, lower churn rates, >80% occupancy and a frugal cost structure. Our 1-year DCF-based TP of ₹590 implies 18x 1-year fwd EV/EBITDA (pre-Ind AS) vs 18x/15x for IndiQube/Awfis.

Key Financials

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Revenue	10,394	13,740	17,244	21,370	25,864
EBITDA	6,597	8,572	10,916	14,018	17,303
EBITDA margin	63.5%	62.4%	63.3%	65.6%	66.9%
EBITDA (pre-IND AS)	1,060	1,722	2,425	3,337	4,251
EBITDA margin (pre-Ind AS)	10.2%	12.5%	14.1%	15.6%	16.4%

Source: Company, Ambit Capital research

Real Estate Services

Recommendation

Mcap (bn):	₹52/US$0.6
6M ADV (mn):	₹0.5/US$-
CMP:	₹455
TP (12 Mths):	₹590
Upside (%):	30

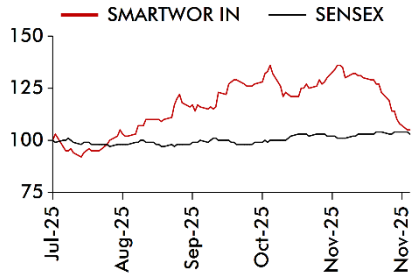
Flags

Accounting:	GREEN
Predictability:	GREEN
Earnings Momentum:	GREEN

Catalysts

- 35k-40k seat additions annually (1.5-2msf); ~84% occupancies to drive ~300bps margin expansion (FY27E).
- OCF/EBITDA to remain >1x, implying healthy cash conversion.

Performance



Source: ICE, Ambit Capital Research

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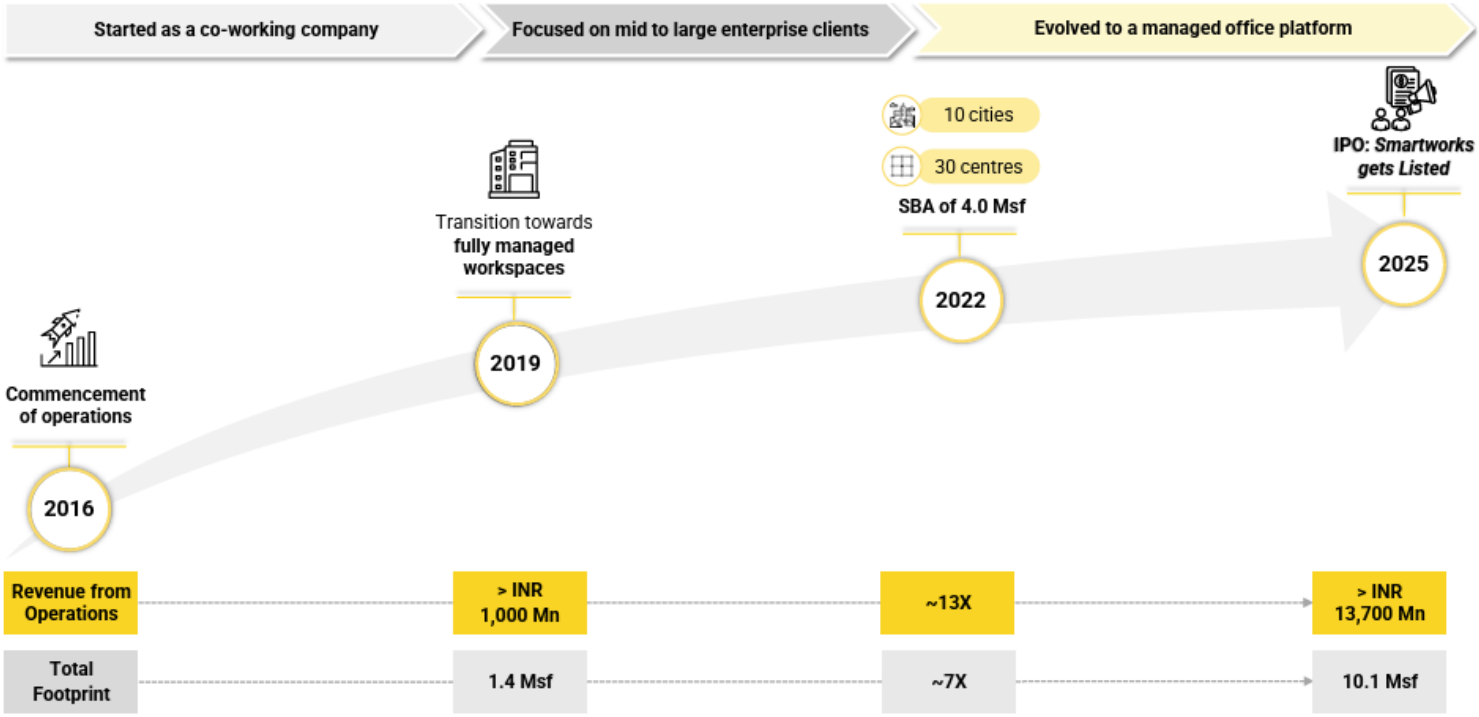
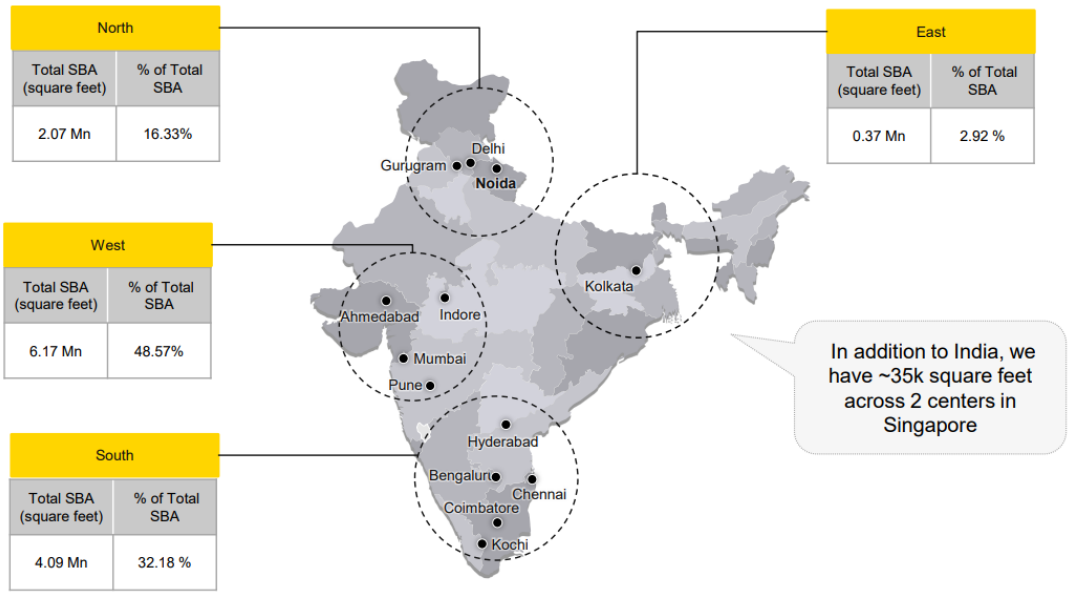
Narrative in charts

Exhibit 1: Evolving from co-working to India's leading managed office platform



Source: Company, Ambit Capital research

Exhibit 2: Smartworks has strong presence in India and operates 2 centres in Singapore



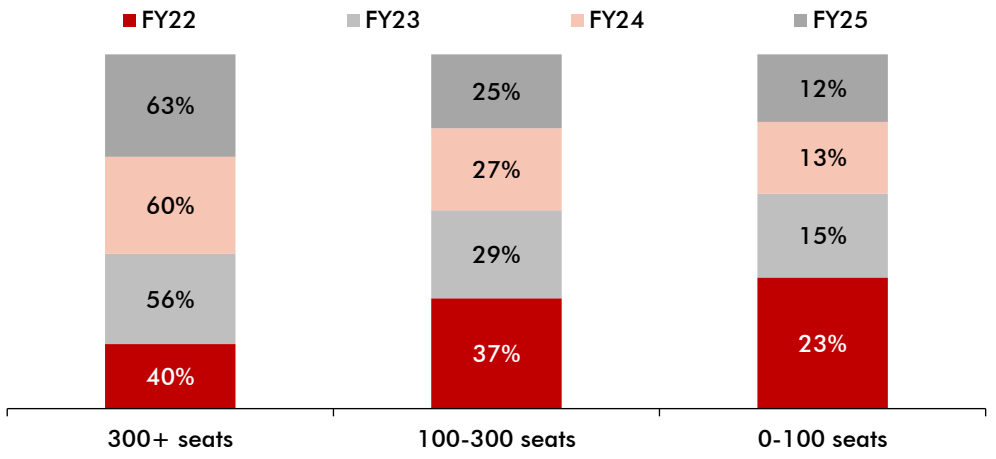
Source: Company, Ambit Capital research. Note: Data as of 2QFY26.

Exhibit 3: SW dominates top Tier-1 cities like Pune/Mumbai with ~30%/20% market share

City	Total Flex Stock (in msf)	Smartworks market share
Bengaluru	27-29	7%
Mumbai	8.4-9.4	19%
Pune	11.5-12.5	30%
Chennai	6.5-7.5	7%
Hyderabad	11.4-12.4	10%
Kolkata	1.5-2	15%
Noida	6.4-7.4	11%

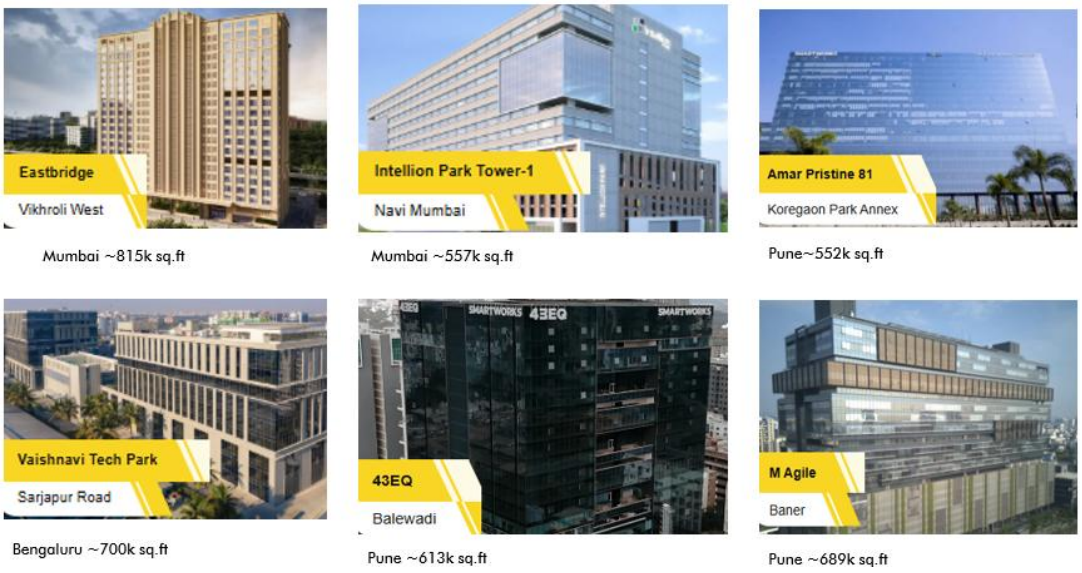
Source: Company, Ambit Capital research

Exhibit 4: Focus is to cater to larger seat cohorts (300+ seats)



Source: Company, Ambit Capital research

Exhibit 5: Strength lies in transforming large properties across India's key clusters into amenities rich 'Smartworks' branded campuses



Source: Company, Ambit Capital research

Exhibit 6: Key assumptions of our DCF; expect AUM to grow by ~3x by FY42E

	FY24	FY25	FY31E	FY42E
Operational Seats	163,022	183,613	398,995	693,995
Occupancy %	80%	83%	85%	86%
Occupied seats	130,043	152,619	337,151	593,366
Rental Income (₹ mn)	9,971	12,893	38,328	112,335
Vas (₹ mn)	423	847	4,791	16,850
Total Revenue (₹ mn)	10,394	13,740	43,119	129,185
% Mix				
Rental Income %	96%	94%	89%	87%
Vas %	4%	6%	11%	13%
EBITDA (₹ mn) (pre Ind AS)	1,060	1,722	7,532	28,485
EBITDAM % (pre Ind AS)	10.2%	12.5%	17.5%	22.1%
Capex	-2,663	-2,910	-4,312	-6,459
Free cash flow	-422	-680	4,780	23,899

Source: Company, Ambit Capital research

Exhibit 7: Assume 15% WACC, 6% terminal growth; TP of ₹590 implies 18x 1-yr fwd EV/EBITDA (pre-Ind AS)

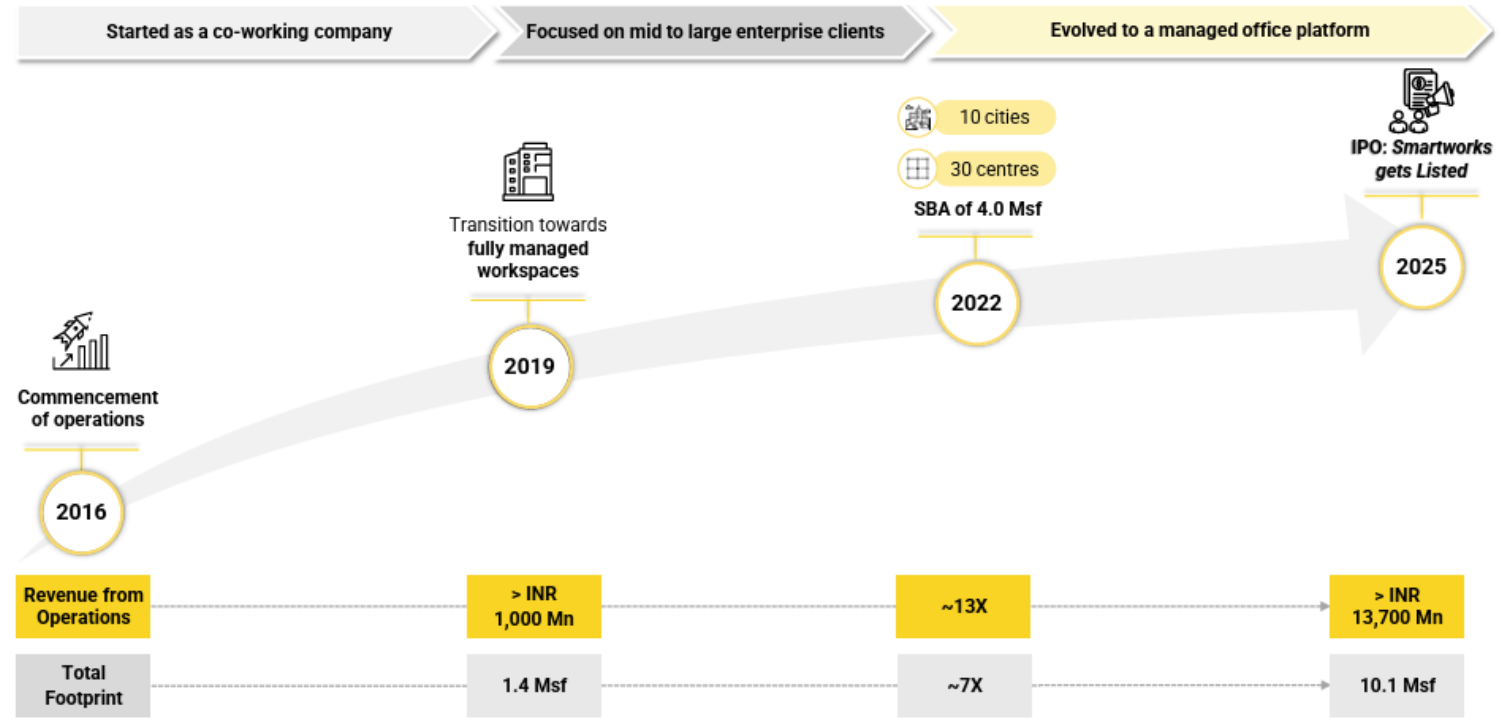
	₹ mn
Enterprise Value	67,418
Net debt (FY26E)	-44
Equity Value	67,462
Number of shares (in mn)	114
Value per share (TP)	590
CMP (₹)	455
Upside %	30%

Source: Company, Ambit Capital research. Note: CMP as of Dec 3, 2025.

Scaling smart: Managed workspaces for enterprises

Smartworks operates as an office experience and managed campus platform, primarily targeting mid-to-large enterprise clients who require customized, fully serviced and tech-enabled workspace solutions. The core model involves leasing entire/large bare-shell properties in prime locations, often from passive and non-institutional landlords and then transforming them into "Smartworks" branded managed campuses. These campuses are equipped with modern designs, integrated proprietary technology, and a diverse range of daily-life and aspirational amenities, such as cafeterias, gyms, crèches, and smart stores, which are provided through revenue-sharing arrangements with service partners (Value-Added Services or VAS). The company's primary revenue stream is lease rentals from its managed workspace solutions, supplemented by ancillary revenues from VAS, software fees, and Fit-out-as-a-Service (FaaS), in which they provide design and build solutions for third-party offices. This strategy leverages economies of scale, operational outsourcing for clients and capital-efficient execution to achieve predictable cash flows from long-term enterprise contracts.

Exhibit 8: Evolving from co-working to India's leading managed office platform



Source: Company, Ambit Capital research

Building India's largest managed office ecosystem

Smartworks operates India's largest managed office platform, commanding significant national scale built on predictable, annuity-driven revenues. As of FY25, the company's total leased Super Built-up Area (SBA) reached 8.99 msf across 50 centres in 15 cities, with a capacity of 203,118 seats and an overall occupancy rate of ~83%. The operational strategy emphasizes capital efficiency, notably maintaining an industry-leading fit-out cost of approximately ₹1,350 psf and achieving an average payback period of just 30-32 months for mature centres, compared to typical industry periods of 51-52 months. This lean operational model, supported by the proprietary tech platform BuildX, allows the company to outpace the market by scaling rapidly whilst mitigating cyclical risks and sustaining strong normalised EBITDA margins (~12.5% in FY25) and cash conversion (Normalised OCF/EBITDA consistently >1).

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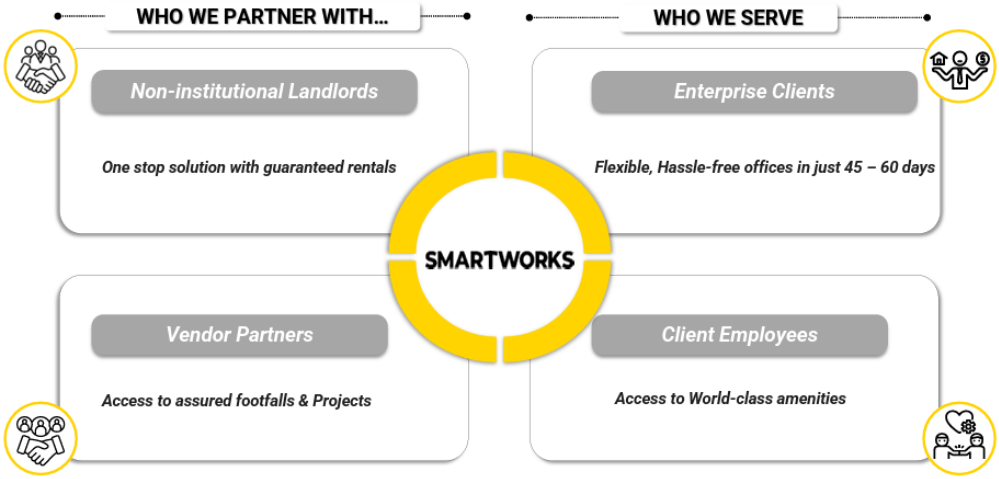
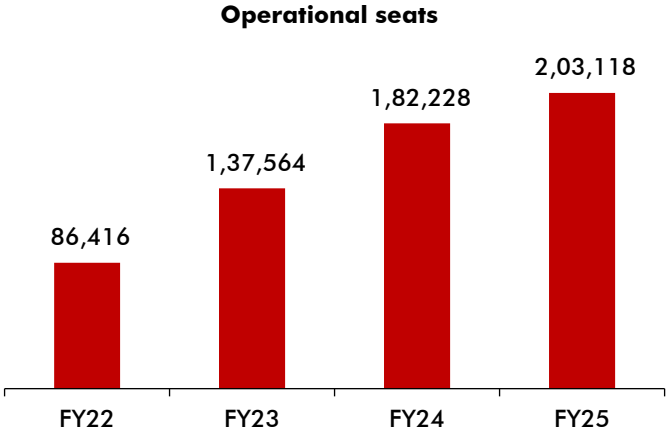
Exhibit 9: One platform connecting all players across the ecosystem



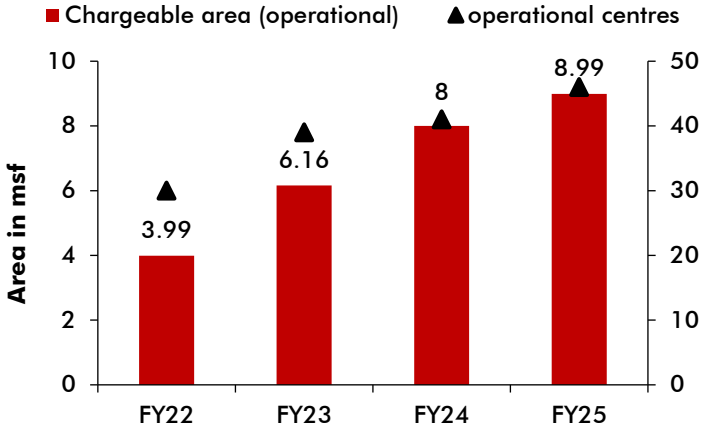
Source: Company, Ambit Capital research

Exhibit 10: Operational seats have grown at 33% CAGR from FY22-FY25 whilst...



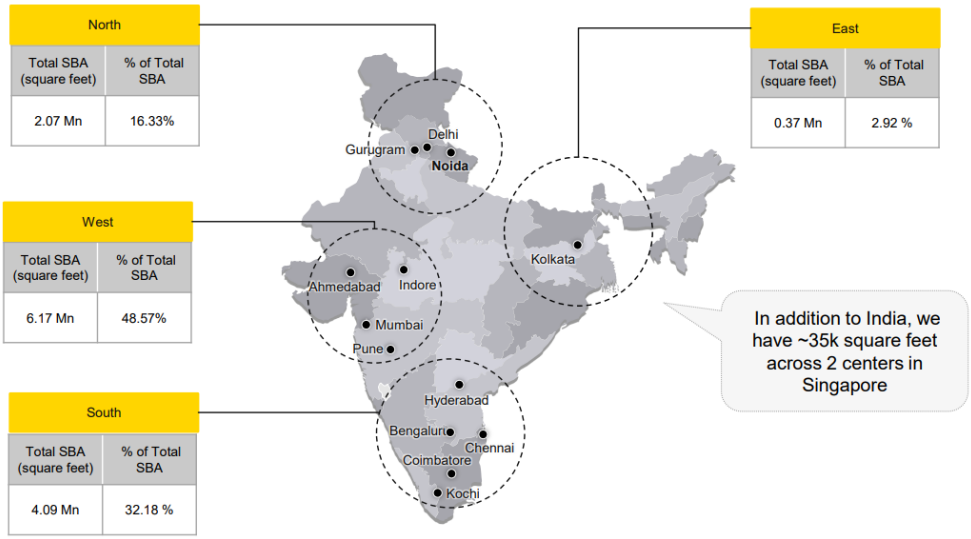
Source: Company, Ambit Capital research

Exhibit 11: ...chargeable area and operational centres have grown by ~2x



Source: Company, Ambit Capital research

Exhibit 12: Smartworks has strong presence in India and operates 2 centres in Singapore



Source: Company, Ambit Capital research. Note: Data as of 2QFY26.

Exhibit 13: SW dominates top Tier-1 cities like Pune/Mumbai with ~30%/20% MS...

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Pune	11.5-12.5	30%
Chennai	6.5-7.5	7%
Hyderabad	11.4-12.4	10%
Kolkata	1.5-2	15%
Noida	6.4-7.4	11%

Source: Company, Ambit Capital research

Exhibit 14: ...managing ~94% of its operational SBAs in some of the key clusters

City	Cluster	Flex Stock (msf)	Smartworks stock (msf)	Market share
Pune	SBD -West	4.5-5	2	~40%
Pune	CBD	3.3-3.8	0.7	~18%
Gurgaon	Golf course rd.	1.6-2.1	0.65	~31%
Bengaluru	ORR	7.2-7.7	0.99	~13%
Hyderabad	IT corridor	8.5-9	1.22	~14%
Chennai	Off CBD	1.7-2.2	0.2	~9%

Source: Company, Ambit Capital research

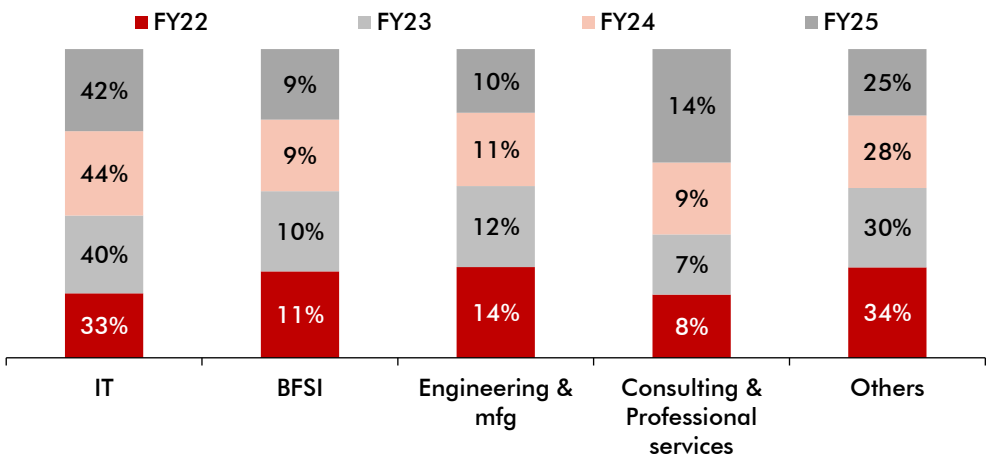
Enterprise-centric model with diversified sector exposure

Smartworks' business model is fundamentally de-risked by its strong focus on the Enterprise segment, which accounted for ~88% of rental revenue in FY25. This focus on mid-to-large Enterprises translates into larger, more stable contracts, with ~63% of rental revenue generated from clients requiring >300 seats, and this cohort commands a weighted-average total tenure of 50 months. The platform exhibits healthy industry diversification, with core sectors including Information Technology, Consulting, Engineering/Manufacturing and BFSI. That said, Smartworks caters to ~738 clients, and revenue from the top 20 clients accounted for ~28% in FY25. Furthermore, ~32% of rental revenue originated from multi-city clients, underscoring the company's proven ability to serve as a scalable pan-India workspace partner for major corporations.

Exhibit 15: Diversified client base with presence across all industries

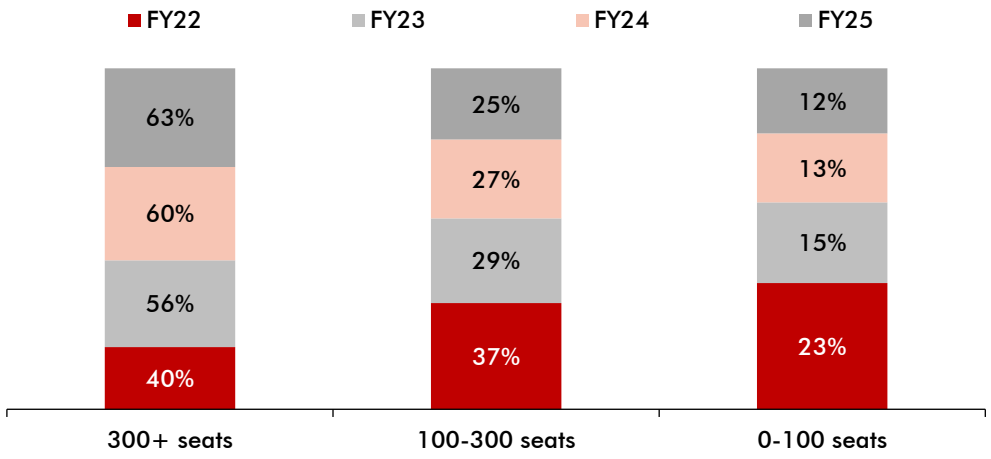
Source: Company, Ambit Capital research

Exhibit 16: Share of clientele from IT/ITES continues to dominate with ~42% share in FY25



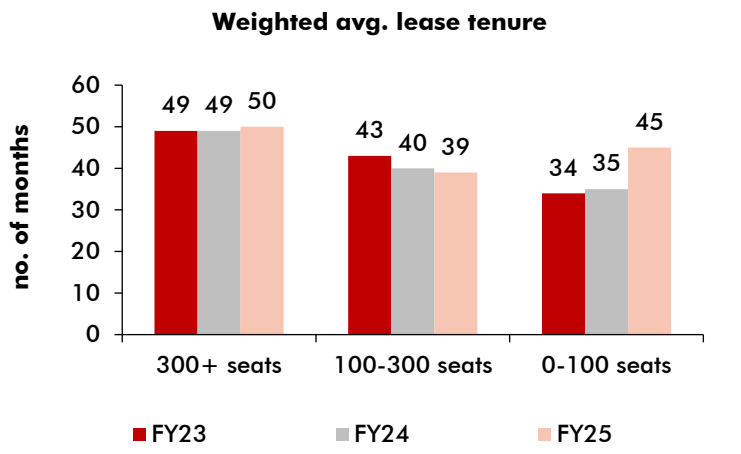
Source: Company, Ambit Capital research

Exhibit 17: Focus remains to cater to larger seat cohorts (300+ seats), leading to...



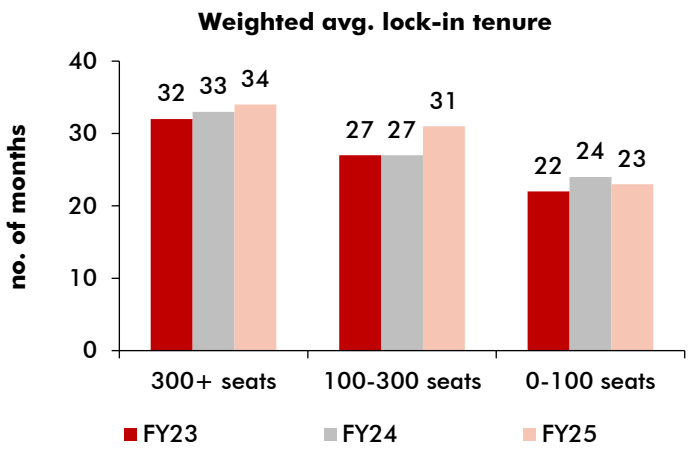
Source: Company, Ambit Capital research

Exhibit 18: ...higher lease tenures along with...



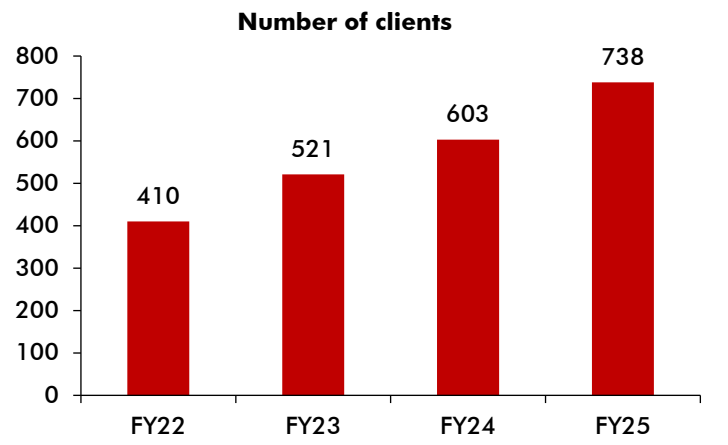
Source: Company, Ambit Capital research

Exhibit 19: ...higher lock-in periods



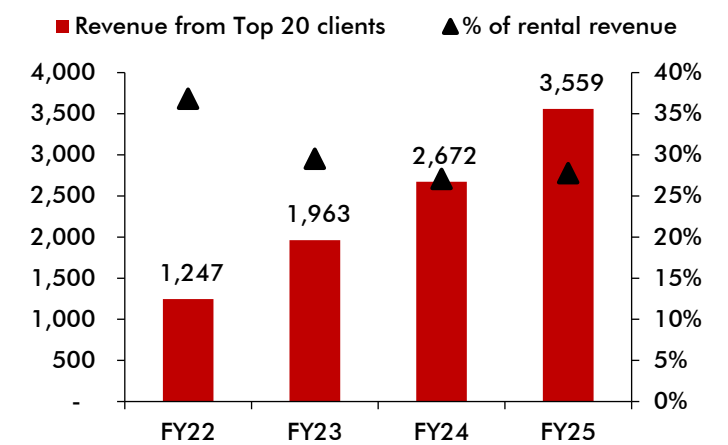
Source: Company, Ambit Capital research

Exhibit 20: Steady increase by ~2x in client base...



Source: Company, Ambit Capital research

Exhibit 21: ...whilst reducing dependency on clients

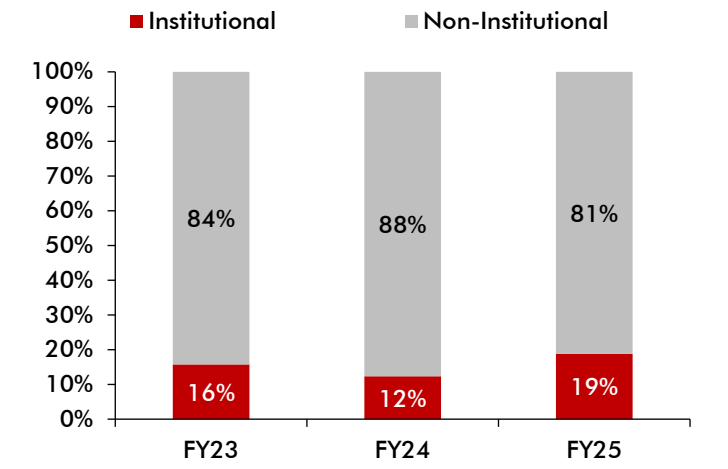


Source: Company, Ambit Capital research

Transforming Developer-Held Assets into Smart Managed Workspaces

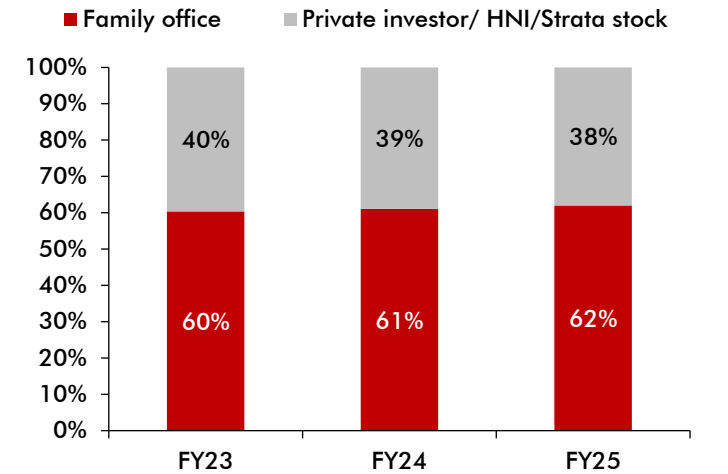
Smartworks addresses a key fragmentation in the Indian commercial organized stock market, where approximately ~70% of the space is non-institutionally owned as of Mar '25. This non-institutional stock, held by developers, individual investors and high-net-worth individuals, is often managed inefficiently, with landlords struggling to attract reputable tenants and maximize property yield. Smartworks fills this gap by partnering with passive landlords and leasing entire or large properties in key clusters. This strategy provides landlords with rental assurance and financial security for their entire asset, simultaneously relieving them of the management burden. By transforming these bare-shell properties into 'Smartworks' branded, fully serviced managed campuses, the operator leverages economies of scale and offers landlords a simple, single-tenant solution for their entire development, bypassing the effort required to lease space to multiple tenants.

Exhibit 22: SW primarily sources spaces from non-institutional landlords...



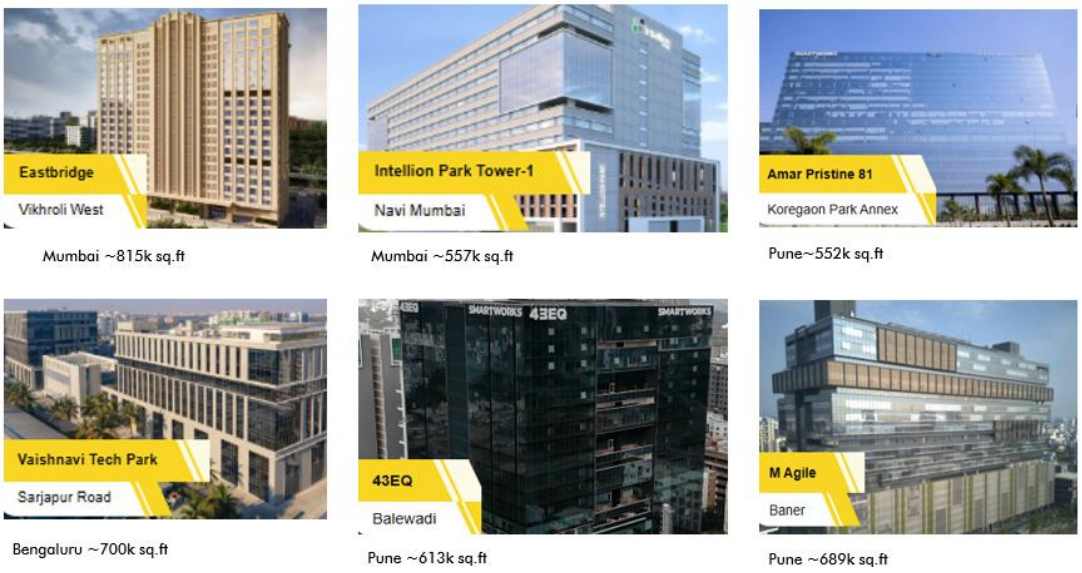
Source: Company, Ambit Capital research

Exhibit 23: ...comprising ~62% of family offices



Source: Company, Ambit Capital research

Exhibit 24: Strength lies in transforming large properties across India's key clusters into amenities rich 'Smartworks' branded campuses

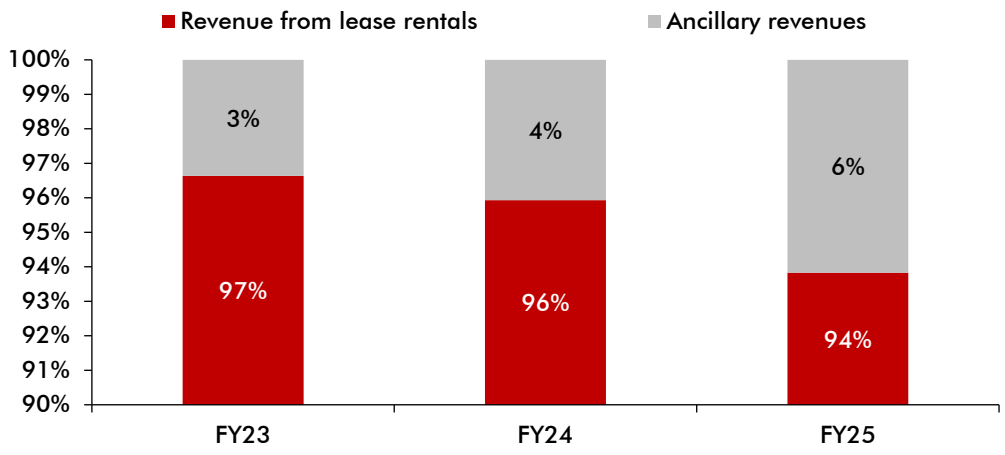


Source: Company, Ambit Capital research

Diversified revenue model through ancillary and fit-out services

Smartworks supplements its core rental income by generating ancillary revenue through a diverse suite of value-added services (VAS), including Fit-out-as-a-Service (FaaS). The company's managed campuses are equipped with amenities, provided through revenue-sharing arrangements with service partners, such as cafeterias, sports zones, gymnasiums, crèches, convenience stores and medical centres, which enhance the employee experience and drive productivity. Additionally, ancillary services include meeting room charges, one-time setup costs, parking fees, internet access and electricity charges. Beyond services within its campuses, Smartworks introduced FaaS in FY24, leveraging its design and vendor expertise to provide tailored fit-out solutions for enterprises' own offices as a distinct revenue stream. Clients benefit from Smartworks' quick project execution, with workspace delivery completed within 45–60 days of signing the contract. These ancillary businesses are asset-light and margin-accretive, strategically positioned to diversify income streams and capitalize on cross-selling opportunities within its large enterprise client base.

Exhibit 25: Workspace leasing remains the primary focus for Smartworks, comprising ~94% of FY25 revenues



Source: Company, Ambit Capital research

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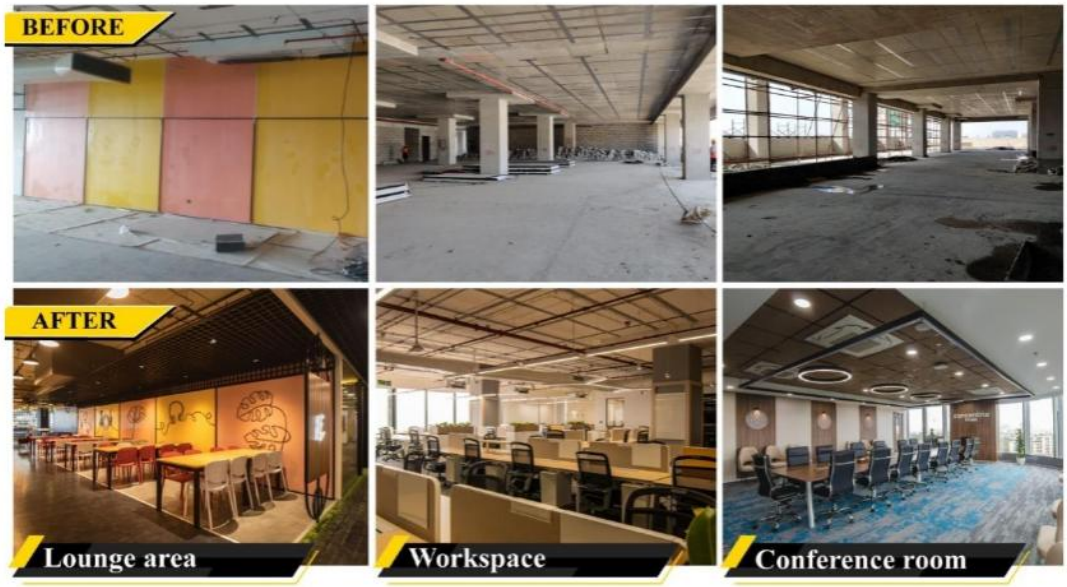
Exhibit 26: Smartworks provides a range of diverse amenities in its campuses

Source: Company, Ambit Capital research

Exhibit 27: Transformation of bare-shell properties into fully managed workspaces

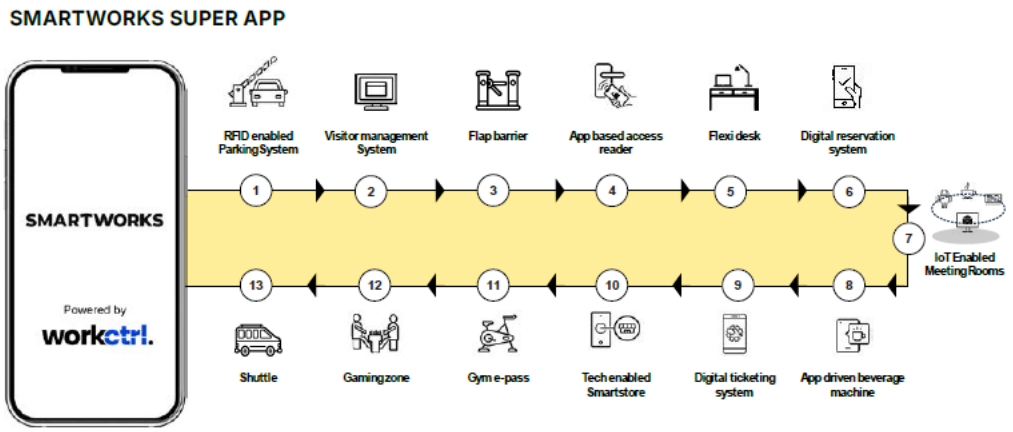


Source: Company, Ambit Capital research

Leveraging technology to enhance enterprise experience

Smartworks' operational efficiency and client experience are strengthened by its integrated proprietary technology suite, a core pillar of its execution model. The in-house platforms include BuildX for design and project management, a custom CRM to streamline the sales cycle, and a virtual building management system that automates energy and facility operations through IoT integration. Additionally, the SW App and Client Portal enhance tenant engagement. By capturing data across multiple touchpoints, these technologies enable scalable operations, risk mitigation and the development of new ancillary revenue streams.

Exhibit 28: Smartworks Super App provides a variety of essential features



Source: Company, Ambit Capital research

To tap the GCCs, Smartworks launched 'SmartVantage', a curated partner network that supports GCCs with essential services such as legal, compliance, taxation, talent acquisition, and operational advisory, creating an integrated ecosystem for success in India. GCCs accounted for ~15% of rental revenue in 2QFY26.

Exhibit 29: SmartVantage - Purpose-built solutions for GCCs

Source: Company, Ambit Capital research

Eliminating asset-liability mismatch in the medium term

The primary financial risk for flexible workspace operators like Smartworks is an asset-liability mismatch, characterized by long-term, fixed-cost obligations (Liabilities) being funded by shorter-term, flexible revenue streams (Assets). As of FY25, Smartworks' average lease tenure with landlords is ~136 months, whilst the average lease tenure with clients is ~46 months. This gap exposes the company to renewal risk, where a significant drop in market rents or occupancy could leave it responsible for high fixed lease payments. Smartworks' strategy successfully mitigates this duration mismatch, effectively eliminating ALM risk till FY27.

- Client type: The model is enterprise-focused, with ~90% of rental revenue coming from enterprise clients and ~63% of rental revenue coming from clients occupying 300+ seats. Large enterprises typically translate to longer tenures and higher revenue stability.
- **Retention and stability:** High client stickiness is evident with a seats retention rate >85% and a weighted average total tenure of 46 months, effectively bridging the gap between client contract length and property lease duration.
- **Client concentration:** Client concentration is actively managed by limiting single clients to a maximum of 30% of a large centre's space. Revenue contribution from the top 10 clients dropped from 39% in FY19 to 19% in FY25.

Exhibit 30: Smartworks' strategy effectively eliminates ALM risk till FY27E

Mitigation Area	Key Metric (FY25)	Analysis
Maturity Coverage	Contracted Revenue from Client Lock-ins: ₹20,604mn	▪ The contracted lease rental income from existing lock-in periods alone covers all rental obligations until FY27, substantially mitigating near-term liquidity risk.
Pricing Buffer	Pricing Strategy: Target rental revenue at least 2x the lease rentals owed to landlords	▪ This strong pricing multiplier builds a significant gross margin buffer to absorb potential fluctuations in occupancy or operating costs.
Cash Conversion	Normalised Operating Cashflow (OCF): ₹2,435mn; Receivable Days: <7 days	▪ A consistently high Normalised OCF/EBITDA ratio (over 1x) confirms high cash conversion and a resilient, asset-light, negative working capital structure.
Efficiency/Payback	Breakeven Occupancy: ~65%-70%; Average Payback Period: ~30-32 months	▪ The fast payback period (compared to the typical operator range of 51-52 months) accelerates the recovery of capital expenditure and minimizes the period a centre remains exposed to underperformance risk.

Source: Company, Ambit Capital research

Long-term FCF scalability to drive multiples re-rating

India's total office stock (883 msf in 1QCY25) is expected to grow at a 6-7% CAGR till CY27. Assuming a modest 3-4% CAGR till CY42, the office stock would be ~1.7bn sq ft. Currently, flex office accounts for ~10% of the office stock. Focusing on a larger seat cohort provides revenue stability, higher occupancies and lower churn rates. We expect rental revenues to grow at 23% CAGR from FY25-28E, aided by 31% CAGR in the VAS segment. With occupancies ~83%-84% in the medium term, we expect this to ramp up to ~86% by FY42E. Smartworks to grow its portfolio to ~690k seats in FY42, which implies ~31msf of AUM; ~3x from its current AUM of ~10msf. Higher scale, coupled with operating leverage, will lead to margin expansion from ~12.5% EBITDAM (pre-Ind AS) to ~16.4% in FY28E. Our 1-year TP of ₹590 implies an 18x 1-year forward EV/EBITDA (pre-Ind AS).

Exhibit 31: Near-term assumptions

Particulars	FY24	FY25	FY26E	FY27E	FY28E	Comments
SBA (in msf)	8.00	8.99	11.00	12.50	14.00	Expect the operational area to increase by 1.5-2 msf per year
Operational seats	163,022	183,613	220,336	259,996	298,995	Operational seats to grow at 18% CAGR from FY25-28E
Blended Occupancy across all centres %	80%	83%	84%	84%	84%	Expect occupancies to be stable at 83-84%
Occupied seats	130,043	152,619	183,980	217,097	249,661	
Implied Area/ desk (sq ft)	44	44	45	45	45	
Average price/ occupied seat (₹)	7,053	7,602	7,906	8,222	8,551	Expect seat pricing to grow at 4% CAGR from FY25-28E
P&L						
Rental income	9,971	12,893	15,967	19,787	23,948	Expect revenues from rental income to grow at 23% CAGR from FY25-28E, owing to higher seat realizations
YoY Growth %	45%	29%	24%	24%	21%	
VAS	423	847	1,277	1,583	1,916	Expect revenues from VAS to grow at 31% CAGR from FY25-28E
YoY Growth %	77%	100%	51%	24%	21%	
Total Revenue from op	10,394	13,740	17,244	21,370	25,864	Expect revenues to grow at 23% CAGR from FY25-28E
YoY Growth %	46%	32%	26%	24%	21%	
EBITDA (Pre-Ind AS)	1,060	1,722	2,425	3,337	4,251	Expect EBITDA to grow at 35% CAGR from FY25-28E
EBITDAM (Pre-Ind AS)	10.2%	12.5%	14.1%	15.6%	16.4%	Margin expansion owing to scale, lean cost structure and rising occupancies
Balance sheet						
Net debt	3,886	3,481	-44	592	1,092	
ROCE % (pre Ind AS)	25%	39%	59%	65%	54%	RoCE to improve owing to better operating leverage and lean BS
Cash flows						
Net OCF	7,433	9,285	11,689	14,790	17,498	Smartworks to generate healthy OCFs
Capex	(2,632)	(2,909)	(3,818)	(4,331)	(4,788)	Capex to increase owing to leasing of new properties and refurbishment of older ones
Lease payments	(5,536)	(6,850)	(8,491)	(10,681)	(13,052)	Lease payments to witness ~5% YoY escalations per sq ft
FCF	(734)	(475)	(621)	(222)	(342)	FCF to remain negative in the medium term
OCF (pre-tax)/ EBITDA (pre-Ind AS)	2.0	1.2	1.3	1.3	1.2	Cash conversion likely to remain strong; OCF/EBITDA to remain >1

Source: Company, Ambit Capital research

Exhibit 32: Key assumptions of our DCF; expect AUM to grow by ~3x by FY42E

	FY24	FY25	FY31E	FY42E
Operational Seats	163,022	183,613	398,995	693,995
Occupancy %	80%	83%	85%	86%
Occupied seats	130,043	152,619	337,151	593,366
Rental Income (₹ mn)	9,971	12,893	38,328	112,335
Vas (₹ mn)	423	847	4,791	16,850
Total Revenue (₹ mn)	10,394	13,740	43,119	129,185
% Mix				
Rental Income %	96%	94%	89%	87%
Vas %	4%	6%	11%	13%
EBITDA (₹ mn) (pre Ind AS)	1,060	1,722	7,532	28,485
EBITDAM % (pre Ind AS)	10.2%	12.5%	17.5%	22.1%
Capex	-2,663	-2,910	-4,312	-6,459
Free cash flow	-422	-680	4,780	23,899

Source: Company, Ambit Capital research

Exhibit 33: Assume 15% WACC, 6% terminal growth; TP of ₹590 implies 18x 1-yr fwd EV/EBITDA (pre-Ind AS)

	₹ mn
Enterprise Value	67,418
Net debt (FY26E)	-44
Equity Value	67,462
Number of shares (in mn)	114
Value per share (TP)	590
CMP (₹)	455
Upside %	30%

Source: Company, Ambit Capital research. Note: CMP as of Dec 3, 2025.

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Exhibit 34: Smartworks trades at ~15x FY27 EV/EBITDA (pre Ind AS); rising scale and occupancies to drive rerating

Particulars	BBG Ticker	CMP	Mcap (₹ mn)	Rating	TP 12m	EV/EBITDA (x) (reported basis)			EV/EBITDA (x) (pre Ind AS)			FY25-28E CAGR (%)	
						FY25	FY26	FY27	FY25	FY26	FY27	Rev	EBITDA
Flex/co-working operators													
Smartworks Coworking Spaces	SMARTWOR IN EQUITY	453	51,774	BUY	590	5	5	4	27	21	15	23%	35%
IndiQube Spaces	INDIQUBE IN EQUITY	207	43,506	BUY	270	6	5	4	31	19	15	24%	43%
Awfis Space Solutions	AWFIS IN EQUITY	512	36,606	BUY	640	9	7	5	24	18	14	21%	28%
WeWork India Management	WEWORK IN EQUITY	597	79,965	NR	-	DNA	8	6	DNA	DNA	DNA	DNA	DNA
EFC (I) Limited	EFCIL IN EQUITY	262	26,083	NR	-	DNA	5	3	DNA	DNA	DNA	DNA	DNA
Domestic Hotels chains													
Indian Hotels Co Ltd	IH IN EQUITY	735	1,045,900	BUY	900	37	31	28	NA	NA	NA	13%	15%
ITC Hotels Ltd	ITCHOTEL IN EQUITY	208	433,004	BUY	255	34	29	25	NA	NA	NA	13%	17%
Chalet Hotels Ltd	CHALET IN EQUITY	913	199,682	BUY	1,115	30	24	19	NA	NA	NA	21%	18%
Leela Palaces Hotels & Resorts	THELEELA IN EQUITY	405	135,336	BUY	550	19	21	18	NA	NA	NA	15%	20%
Lemon Tree Hotels Ltd	LEMONTRE IN EQUITY	163	128,962	BUY	200	24	21	17	NA	NA	NA	13%	17%
SAMHI Hotels Ltd	SAMHI IN EQUITY	185	40,961	BUY	375	13	12	11	NA	NA	NA	12%	15%
REITs													
Embassy Office Parks	EMBASSY IN EQUITY	449	425,585	BUY	460	18	14	13	NA	NA	NA	16%	18%
Mindspace Business Parks REIT	MINDSPCE IN EQUITY	481	292,987	BUY	470	19	14	13	NA	NA	NA	17%	19%
Brookfield India Real Estate Trust	BIRET IN EQUITY	334	213,732	BUY	355	13	11	10	NA	NA	NA	12%	14%
Nexus Select Trust	NXST IN EQUITY	163	246,991	NR	-	-	17	16	NA	NA	NA	10%	11%

Source: Company, Ambit Capital research. Note: Data as of Dec 3, 2025. Ambit estimates used for coverage companies.

Risks & Catalysts

Risks

Client/geographical concentration

Smartwork's business relies heavily on rental revenue from a limited set of key cities and large enterprise clients. For FY25, ~75% of rental revenue came from the top four cities: Pune, Bengaluru, Hyderabad and Mumbai. Similarly, large enterprise clients (300+ seats) generate ~63% of rental revenue. Any adverse economic or political event in these four cities, or the premature loss of a few major clients, could severely impact revenue and cash flow.

Demand sensitivity in flexible office operations

Smartworks' growth trajectory is closely tied to maintaining strong occupancy levels across its centres. Any moderation in office space demand—stemming from broader macroeconomic uncertainty, delayed expansion plans by global capability centres (GCCs), or corporate cost-optimisation measures—could impact the pace of seat absorption. Such a slowdown may, in turn, exert pressure on revenues and operating margins, as fixed costs remain high and pricing power weakens. Sustaining demand momentum and diversifying client segments, therefore, remain critical to mitigating these cyclical risks.

Heightened reliance on intermediaries

A significant portion of new clients originates from property consultants and brokers, leading to substantial commission and brokerage expenses (~₹400 mn in FY25). Increased reliance on these intermediaries gives Smartworks lower negotiating power as they may prioritize competitors or demand higher fees.

Catalysts

Superior economies of scale and execution efficiency leading to margin expansion by ~300bps by FY27E

Smartworks leverages its large-scale model (average centre size of 0.18 million sq. ft. as of FY25) to achieve economies of scale and cost-efficient execution. Management remains confident to add 35k-40k seats annually, translating to ~1.5-2msf of area addition every year. We expect operational seats to grow by 19% CAGR from FY25-27E supported by stable ~84% occupancy levels. Ramp up of occupancies in centres quick turnaround of new centres will aid growth and expand EBITDA (pre-Ind AS) margins from ~12.5% in FY25 to ~15.6% in FY27E; improvement by ~300 bps.

Stable cash generation anchoring growth; expect OCF/EBITDA to remain >1x

Smartworks generates strong and predictable cash flows, anchored by long-duration contracts and low vacancy risk. Smartworks consistently records normalised OCF/EBITDA ratios >1x, underscoring its healthy cash conversion. Tight receivables discipline—with debtor days ~7 and a structurally negative working capital cycle—reinforces liquidity. We expect Smartworks to maintain a cash conversion of >1x.

Experienced promoters, BoD & management

Smartworks was co-founded in Dec'15 by Neetish Sarda (Managing Director) and Harsh Binani (Executive Director). Neetish Sarda oversees critical functions like sales, operations and technology**. Harsh Binani directs the finance, corporate strategy, investor relations and HR departments. Both co-founders have years of experience in the flex-workspace industry. The board also includes three Independent Directors, VK Subburaj (with over 33 years of experience in administrative services), Rajeev Rishi (with over 37 years of experience in the banking sector) and Pushpa Mishra (with experience in commercial law, company law, and arbitration law). They were all appointed in 2024.**

Exhibit 35: Board is diverse, well-qualified and experienced

Name	Designation	Education	Background
Atul Gautam	Chairman & Non-executive Director	Bachelor's degree in Science & Master's degree in western history from University of Lucknow.	▪ Associated with Punjab National Bank for over three decades. ▪ He has also been associated with the Indian Banks' Association as a senior advisor. ▪ He has ~42 years of experience in the field of banking and the financial sector.
Neetish Sarda	Managing Director	Bachelor's degree in Science from University of London	▪ He is the founder of Smartworks and has over nine years of experience in the field of flexible workspaces.
Harsh Binani	Executive Director	Bachelor's degree in Economics from Shri Ram College of Commerce, University of Delhi; MBA from J.L. Kellogg School of Management, Northwestern University, USA	▪ He was associated with McKinsey & Company, Chicago. ▪ He has around fourteen years of experience in management consulting and the flexible workspace industry.
VK Subburaj	Independent Director	Bachelor's and Master's degree in Science from Tamil Nadu Agricultural University; Doctor of Philosophy in Agriculture from Gandhigram Rural University, Tamil Nadu	▪ He was an IAS officer and served as the Secretary, Department of Pharmaceuticals, Ministry of Chemicals and Fertilisers, Government of India. ▪ He has over 33 years of experience in administration services in various Ministries of the Government of India. ▪ He has also been a technical member on the National Company Law Tribunal, New Delhi.
Rajeev Rishi	Independent Director	Bachelor's degree in Arts; Bachelor's degree in Law from Punjab University; diploma in advanced Human Resource management from Ross School of Business, University of Michigan, USA.	▪ He has previously been associated with Indian Banks' Association, Oriental Bank of Commerce, Central Bank of India, and YES Trustee Limited. ▪ He has more than 37 years of experience in the banking sector.
Pushpa Mishra	Independent Director	Bachelor's degree in Law from the University of Calcutta.	▪ She has experience in the fields of commercial law, company law, arbitration law, constitutional law and other allied laws
Ho Kiam Kheong	Non-executive Director	Bachelor of Engineering (Civil) from the National University of Singapore; Master's degree in Engineering from the University of Liverpool.	▪ He has served as the Chief Development Officer at Reem Investments, Senior Vice President of new markets at CapitaLand Residential Limited. He has served in various positions at SembCorp Engineers and Constructors Pte. Ltd. ▪ He has more than 35 years of experience in real estate investments, development and operations across various geographies.

Source: Company, Ambit Capital research

Exhibit 36: Smartworks' management has significant experience

Name	Designation	Education	Background
Sahil Jain	Chief Financial Officer (CFO)	He is a fellow of both ICAI and ICSI, and holds a commerce degree from St. Xavier's College, Kolkata. He has completed a management program from IIM Bangalore and cleared two CFA levels.	▪ His earlier experience includes roles at Religare Finvest and Vision Comptech.
Pratik Agarwal	Chief Business Officer	He holds a Bachelor's degree in Science and a diploma in economics from the University of London	▪ He has been associated with Smartworks since 2016.
Anirudh Tapuriah	Chief of Strategy and Investor Relations	Qualified Chartered Accountant, Company Secretary; completed the Executive Program in Business Management from IIM Calcutta.	▪ Before joining Smartworks in 2021, Anirudh was associated with Shyam Steel, SBI Capital Markets, and Grant Thornton. ▪ As of date, he brings over 14 years of experience.
Gokul Rajasekar	Group Chief Technology Officer	He holds an Electronics and Communication Engineering degree from Anna University, Chennai.	▪ Before joining Smartworks, he was the Chief Technology Officer at Workctrl. ▪ He also founded/co-founded Supplys/CashPlow.
Kalpana Devnani	Chief Human Resources officer	She holds a B.Tech in Computer Science; PG diploma from MDI Gurgaon	▪ She previously served in HR leadership roles at Jubilant Foodworks, Esme Consumer and ICICI Bank.
Punam Dargar	Company Secretary and Compliance Officer	Commerce graduate from the University of Calcutta; associate member of the Institute of Company Secretaries of India.	▪ Before joining Smartworks in 2020, she worked with Agarpara Jute Mills Limited.

Source: Company, Ambit Capital research

Accounting and ESG

Smartworks consistently generates a healthy pre-tax CFO/EBITDA along with stable free cash flows. Focus remains on generating healthy cash flows and >1 CFO/EBITDA ratio. That said, overall cash balance as a % of total assets remained quite low. However, post-IPO, the company has a significant cash buffer. Given the company's healthy operating cash flows, we don't see this as a major risk.

Exhibit 37: Accounting checks show no major issues

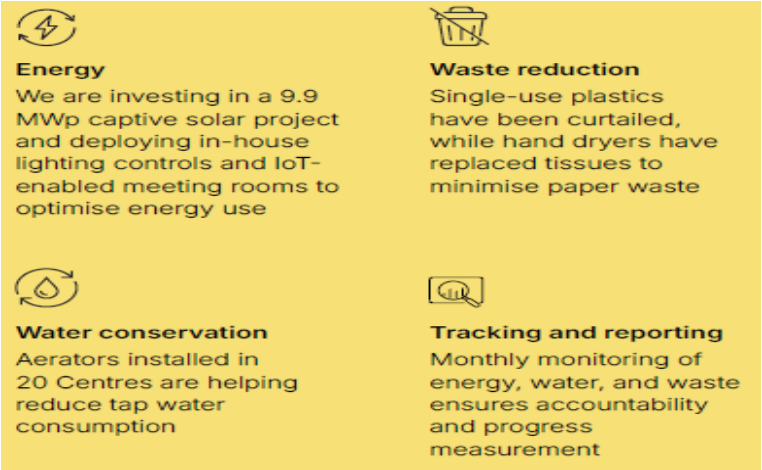
Ratio	Flags	FY23	FY24	FY25	Description
Cash conversion (pre-tax CFO/EBITDA)	GREEN	126%	116%	105%	Cash conversion of company remained healthy. The company's operations are not capital-intensive.
FCF/revenue	GREEN	16%	38%	42%	The company has generated healthy FCFs since FY23.
Misc. expenses as a % of revenue	GREEN	0.3%	0.2%	0.2%	No material miscellaneous expenses.
Contingent liabilities as a % of net worth	GREEN	0%	2%	0%	No contingent liabilities.
Cash outflow to RPT as a % of revenue	GREEN	-11%	-9%	-9%	Cash Outflows to Related parties have been <10% in FY24/25
Managerial remuneration as a % of Revenue	GREEN	0.3%	0.2%	0.3%	Remuneration paid to KMP appears to be appropriate.
Cash as % of Total Assets	AMBER	5%	1%	1%	Cash balance remained low. However, post-IPO, the company has a significant cash buffer.

Source: Company, Ambit Capital research

Smartworks' ESG commitments

Since Jun'23, Smartworks has strengthened its commitment to sustainability through a comprehensive ESG framework encompassing both short- and long-term objectives. The company's focus areas include expanding clean energy adoption, enhancing environmental performance across its centres and embedding sustainability more deeply into its technology-driven operations. Smartworks is developing impactful social initiatives and fortifying its risk management practices to ensure its positive influence extends to the communities it serves, whilst also enabling clients to achieve their own sustainability goals.

Exhibit 38: ESG initiatives focus on some critical aspects



Source: Company, Ambit Capital research

Exhibit 39: Explanation of our flags on page 1

Segment	Score	Comments
Accounting	GREEN	We do not find anything unusual in the company's accounting policies that warrant suspicion, and believe the reported numbers are a true reflection of performance.
Predictability	GREEN	Smartworks has delivered consistent quarterly improvement in revenue and EBITDA growth. Further, it received 'Stable' Grade A credit ratings from CARE.
Earnings momentum	GREEN	Revenue grew at 39% CAGR from FY23-25; reported EBITDA grew at 42% from FY23-25; expect 23%/35% Revenue/EBITDA growth from FY25-28E.

Source: Company, Ambit Capital research

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Smartworks Coworking Spaces (SMARTWOR IN, BUY)

Valuation Methodology

We have used DCF methodology to arrive at a fair valuation. We have used 15% CoE/WACC and 6% terminal growth.

Risks

- Demand sensitivity in flex office operations.
- Client/geographical concentration.

Financials - Consolidated

Income statement

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Revenue	**10,394**	**13,740**	**17,244**	**21,370**	**25,864**
-growth (Rev)	46.1%	32.2%	25.5%	23.9%	21.0%
Gross profit	**10,394**	**13,740**	**17,244**	**21,370**	**25,864**
Gross profit growth	46.1%	32.2%	25.5%	23.9%	21.0%
Employee expenses	496	654	776	940	1,112
Other expenses	271	354	379	427	466
EBITDA	**6,597**	**8,572**	**10,916**	**14,018**	**17,303**
-growth (EBITDA)	55.6%	29.9%	27.3%	28.4%	23.4%
Depreciation	4,727	6,360	8,168	8,946	9,781
EBIT	**1,870**	**2,212**	**2,748**	**5,073**	**7,522**
-growth (EBIT)	176%	18.3%	24.2%	84.6%	48.3%
Other income	737	356	431	427	517
EBIT (including other income)	**2,607**	**2,568**	**3,179**	**5,500**	**8,039**
Finance costs	3,283	3,364	4,328	4,951	5,063
Profit before tax	**(676)**	**(796)**	**(1,149)**	**549**	**2,976**
Profit before tax (adjusted)	**(676)**	**(796)**	**(1,149)**	**549**	**2,976**
-growth (PBT)	(50.4%)	17.7%	44.4%	(148%)	442%
Tax	(177)	(163)	-	138	749
PAT	**(500)**	**(633)**	**(1,149)**	**411**	**2,227**
Profit after tax (adjusted)	**(500)**	**(633)**	**(1,149)**	**411**	**2,227**
-growth (PAT)	(50.6%)	26.7%	81.5%	(136%)	442%
EPS (basic) (₹)	(5.2)	(6.2)	(10.1)	3.6	19.5
EPS (diluted)	(5.2)	(6.2)	(10.1)	3.6	19.5

Source: Ambit Capital research, Company

Balance sheet

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Property, plant and equipment	9,639	11,380	12,806	14,215	15,489
Capital work in progress	633	1,355	1,355	1,355	1,355
Right of use assets	24,403	26,282	26,979	28,156	29,183
Other intangible assets	161	175	175	175	175
Total fixed assets	**34,835**	**39,191**	**41,315**	**43,901**	**46,201**
Other non-current assets	3,984	4,765	6,196	7,387	9,053
Total non-current assets	**38,819**	**43,956**	**47,511**	**51,287**	**55,254**
Trade receviables	141	255	331	410	496
Cash and cash equivalents	524	689	2,001	1,065	265
Other current assets	1,987	1,607	2,904	2,686	4,079
Total current assets	**2,652**	**2,552**	**5,236**	**4,161**	**4,841**
Total assets	**41,471**	**46,508**	**52,747**	**55,448**	**60,094**
Share capital	790	1,032	1,143	1,143	1,143
Other equity	(290)	47	3,003	3,414	5,641
Total equity	**500**	**1,079**	**4,146**	**4,557**	**6,783**
Long-term borrowings	2,397	2,160	1,530	1,330	1,130
Long-term provisions	53	71	71	71	71
Lease liabilities	26,295	28,028	30,061	31,082	30,288
Other non-current liabilities	2,676	3,004	4,082	4,700	5,929
Total non-current liabilities	**31,421**	**33,264**	**35,744**	**37,183**	**37,419**
Short-term borrowings	1,876	1,817	1,307	1,207	1,107
Trade payables	1,198	1,159	1,465	1,815	2,197
Lease liabilities	3,787	5,368	5,305	5,485	5,345
Other current liabilities	2,679	3,805	5,644	6,065	8,107
Short term provisions	9.6	15.7	15.7	15.7	15.7
Total current liabilities	**9,550**	**12,165**	**13,737**	**14,589**	**16,772**
Total liabilities	**40,971**	**45,429**	**49,481**	**51,772**	**54,191**
Total equity and liabilities	**41,471**	**46,508**	**53,627**	**56,329**	**60,974**

Source: Ambit Capital research, Company

Cash flow statement

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Profit before tax	**(676)**	**(796)**	**(1,149)**	**549**	**2,976**
Depreciation	4,727	6,360	8,168	8,946	9,781
Interest expense	3,283	3,364	4,328	4,951	5,063
Other items	(717)	(294)	(431)	(427)	(517)
Working capital changes	1,004	346	773	910	944
Taxes	(188)	304	-	(138)	749
Cash flow from operations	**7,433**	**9,285**	**11,689**	**14,790**	**18,996**
(Net) capital expenditure	(2,632)	(2,909)	(3,818)	(4,331)	(4,788)
Acq./(disp.) of Investments	(109)	(1,615)	(880)	-	-
Interest/dividend Received	79	32	-	-	-
Other items	740	82	431	427	517
Cash flow from investments	**(1,922)**	**(4,410)**	**(4,267)**	**(3,903)**	**(4,270)**
Net short-term borrowings	(71)	45	(510)	(100)	(100)
Net long-term borrowings	(293)	(306)	(630)	(200)	(200)
Interest paid	(537)	(417)	737	(269)	(239)
Payment of lease liabilities	(5,536)	(6,850)	(8,491)	(10,681)	(13,052)
Other items	667	1,152	(1,431)	(573)	(436)
Cash flow from financing	**(5,772)**	**(6,377)**	**(6,109)**	**(11,823)**	**(14,027)**
Opening cash balance	**2,023**	**524**	**689**	**2,001**	**1,065**
Net change in cash	**(260)**	**147**	**1,312**	**(936)**	**(800)**
Closing cash balance	**1,763**	**670**	**2,001**	**1,065**	**265**

Source: Ambit Capital research, Company

Preferred Ratios

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
EBITDA margin	63.5%	62.4%	63.3%	65.6%	66.9%
EBITDA margin (pre-Ind AS)	10.2%	12.5%	14.1%	15.6%	16.4%
EBIT margin	18.0%	16.1%	15.9%	23.7%	29.1%
Net debt/equity	7.5	3.0	0.2	0.3	0.3

Source: Ambit Capital research, Company

Ratio analysis

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Gross margin	100%	100%	100%	100%	100%
EBITDA margin	63.5%	62.4%	63.3%	65.6%	66.9%
EBIT margin	18.0%	16.1%	15.9%	23.7%	29.1%
Net profit margin	(4.8%)	(4.6%)	(6.7%)	1.9%	8.6%
Net debt/equity	7.5	3.0	0.2	0.3	0.3
pre-tax RoCE	36.5%	45.0%	45.6%	72.1%	93.4%
post-tax RoCE	27.0%	35.8%	45.6%	53.9%	69.9%
ROE (%)	(99.9%)	(58.7%)	(27.7%)	9.0%	32.8%

Source: Ambit Capital research, Company

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Expanding via hub & spoke network

With ~21%/20% market share, IndiQube dominates fast growing markets of Bengaluru and Chennai. It manages ~9.1msf across 125 centres in 16 cities, offering >203k seats. IndiQube's 800-client base is anchored by GCCs, which form 40% of clientele – highest amongst peers. Focus on enterprises requiring >300 seats drives stability in revenues. IndiQube's hub & spoke model combines large hubs in prime areas with smaller centres in adjacent markets. Focus on enterprise clients, presence in key markets, high share of GCC clientele and rising scale will drive rerating. We expect revenue/EBITDA (pre-Ind AS) to grow at 24%/43% CAGR over FY25–28E; build in ~87% exit occupancies by FY42, with AUM growing ~2.6x by FY42E. 1yr DCF-based TP of ₹270 implies 18x 1yr fwd EV/EBITDA. Prefer Smartworks=IndiQube>Awfis. Risk: Geographical concentration.

Competitive position: STRONG | Changes to this position: POSITIVE

Integrated workspace model strengthening competitive edge

IndiQube's multi-tiered offerings, viz. Grow, Bespoke, Cornerstone, MiQube and One give it a differentiated, full-stack operating model compared to traditional flex players. This enhances scalability, unlocks cross-sell potential and ultimately strengthens customer stickiness and margins.

Supply strategy anchored in asset upgradation

IndiQube's supply strategy focuses on acquiring full buildings in strong micro-markets and partnering with landlords to upgrade aging Grade B assets into modern, green workspaces. Through its Cornerstone vertical, it revitalizes old properties by integrating interiors, amenities, tech and sustainability. These upgraded assets now comprise ~29% of portfolio.

Value-added services (VAS) – leading growth lever

VAS forms a key revenue and retention driver, complementing workspace leasing with interior design & build, facility management and B2B/B2C services, including F&B, facility maintenance and employee transport. We expect VAS revenue to grow at 13% CAGR over FY25-28E.

Scalability to drive continued rerating

Expect IndiQube to grow its AUM by ~2.6x by FY42. 25k-30k seat additions p.a. with ~85% occupancies will lead to margin expansion from ~10.8% EBITDAM (pre-Ind AS) to ~17% in FY28E. TP of ₹270 implies 18x 1yr forward EV/EBITDA (pre-Ind AS) vs 18x/15x for Smartworks/Awfis.

Key Financials

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Revenue	8,306	10,593	14,272	17,044	20,052
EBITDA	4,953	6,165	8,492	10,516	12,673
EBITDA margin	59.6%	58.2%	59.5%	61.7%	63.2%
EBITDA (pre-IND AS)	1,133	1,145	2,198	2,735	3,365
EBITDA margin (pre-Ind AS)	13.6%	10.8%	15.4%	16.0%	16.8%

Source: Company, Ambit Capital research

Real Estate Services

Recommendation

Mcap (bn):	₹44/US$0.5
6M ADV (mn):	₹0.5/US$-
CMP:	₹208
TP (12 Mths):	₹270
Upside (%):	30

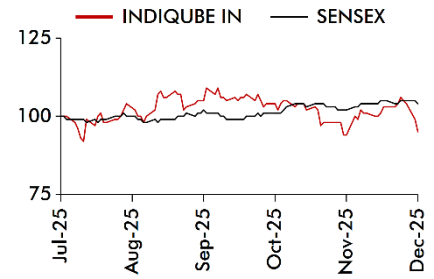
Flags

Accounting:	GREEN
Predictability:	GREEN
Earnings Momentum:	GREEN

Catalysts

- 18% CAGR (FY25-27E) in operational seats; scale leading to margin expansion by ~520bps (FY27E).
- 12% VAS revenue CAGR (FY25-27E); recurring VAS to support topline growth.

Performance



Source: ICE, Ambit Capital Research

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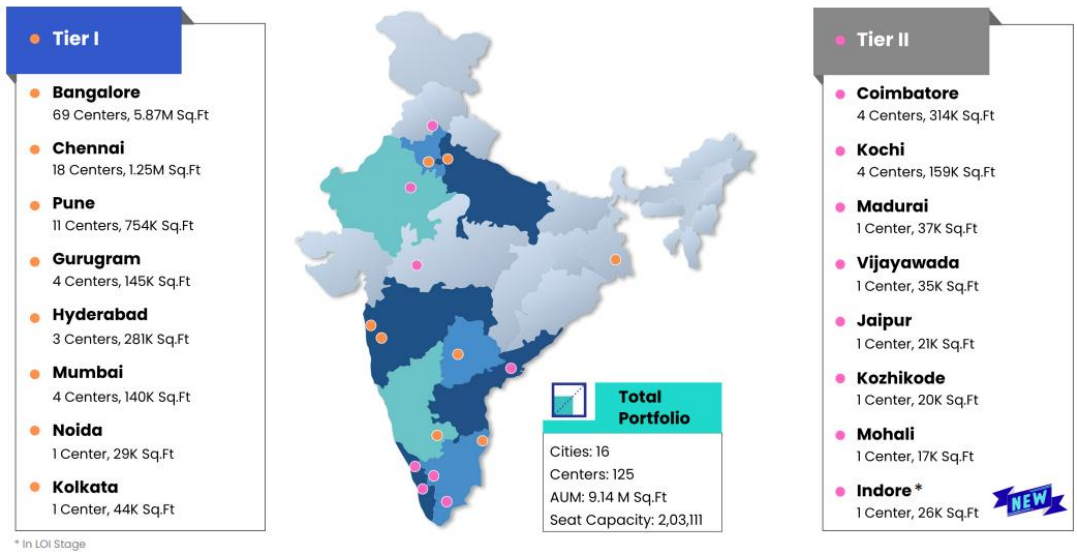
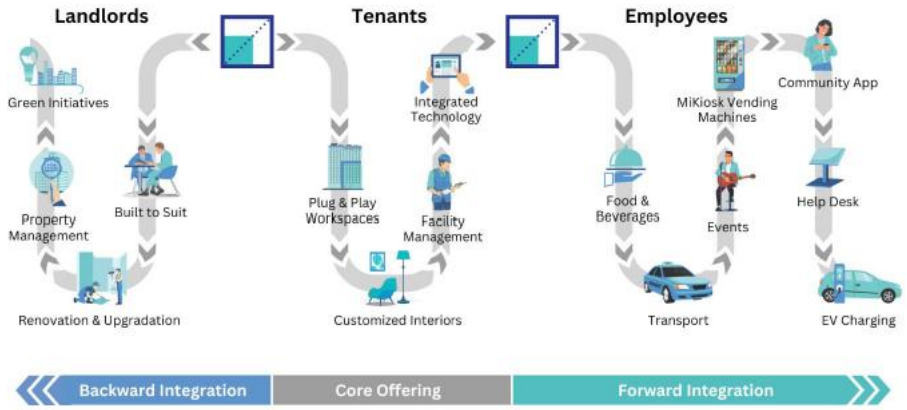
Narrative in charts

Exhibit 1: IndiQube has a strong network presence across Tier-1/2 Indian cities



Source: Company, Ambit Capital research. Note: Data as of 2QFY26

Exhibit 2: Present across entire workspace value chain; enhancing customer experience



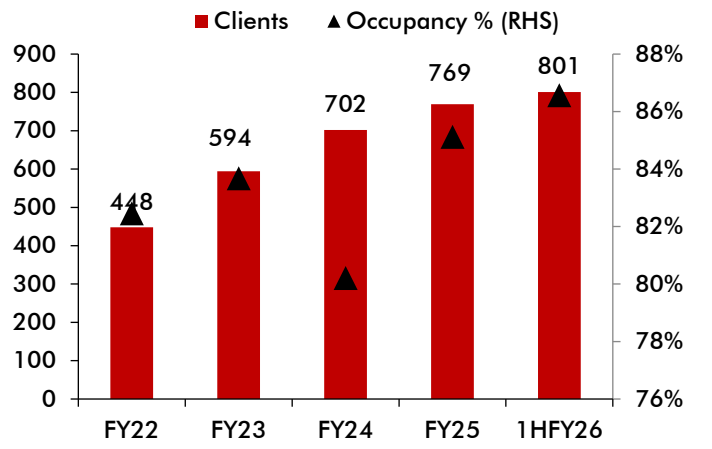
Source: Company, Ambit Capital research

Exhibit 3: IndiQube dominates South India with ~20% market share (MS) in Bengaluru/Chennai; amongst largest CRE markets in India

City	Total Flex Stock (in msf)	IndiQube MS	Smartworks MS
Bengaluru	27-29	21%	7%
Mumbai	8.4-9.4	1%	19%
Pune	11.5-12.5	6%	30%
Chennai	6.5-7.5	19%	7%
Hyderabad	11.4-12.4	2%	10%
Kolkata	1.5-2	1%	15%

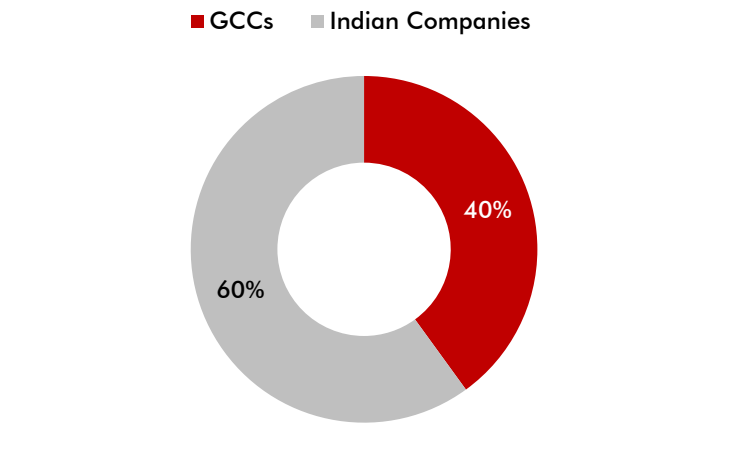
Source: Company, Ambit Capital research

Exhibit 4: ~2x client growth since FY22 owing to higher brand pull thereby attracting...



Source: Company, Ambit Capital research

Exhibit 5: ...GCCs which constitute ~40% of clientele; highest GCC mix amongst peers

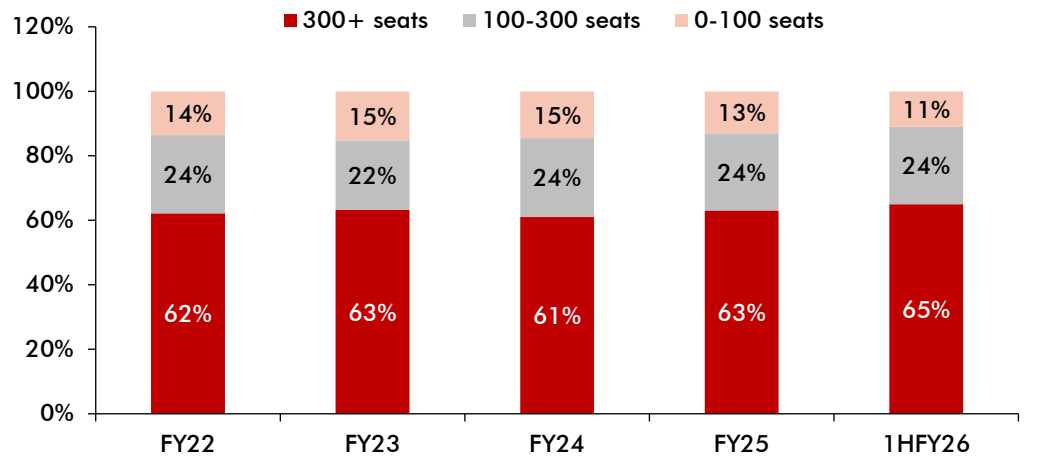


Source: Company, Ambit Capital research

Exhibit 6: Diversified marquee client base

Source: Company, Ambit Capital research

Exhibit 7: IndiQube's focus remains to cater to larger seat cohorts (300+ seats)



Source: Company, Ambit Capital research

Exhibit 8: Key assumptions to our DCF; expect AUM to grow by ~2.6x by FY42E

	FY24	FY25	FY31E	FY42E
Operational Seats	118,530	139,183	290,851	518,851
Occupancy %	80%	85%	86%	87%
Occupied seats	95,073	118,473	250,132	451,400
Rental Income (₹ mn)	6,804	8,703	25,769	81,526
Vas (₹ mn)	1,502	1,890	4,638	20,382
Total Revenue (₹ mn)	8,306	10,593	30,407	101,908
% Mix				
Rental Income %	82%	82%	85%	80%
Vas %	18%	18%	15%	20%
EBITDA (₹ mn) (pre-Ind AS)	1,133	1,145	5,410	21,910
EBITDAM % (pre-Ind AS)	13.6%	10.8%	17.8%	21.5%
Capex	-1,831	-2,521	-3,041	-5,095
Free cash flow	-229	-1,425	3,445	18,434

Source: Company, Ambit Capital research

Exhibit 9: Assume 15% WACC, 6% terminal growth; TP of ₹270 implies 18x 1yr fwd EV/EBITDA (pre-Ind AS)

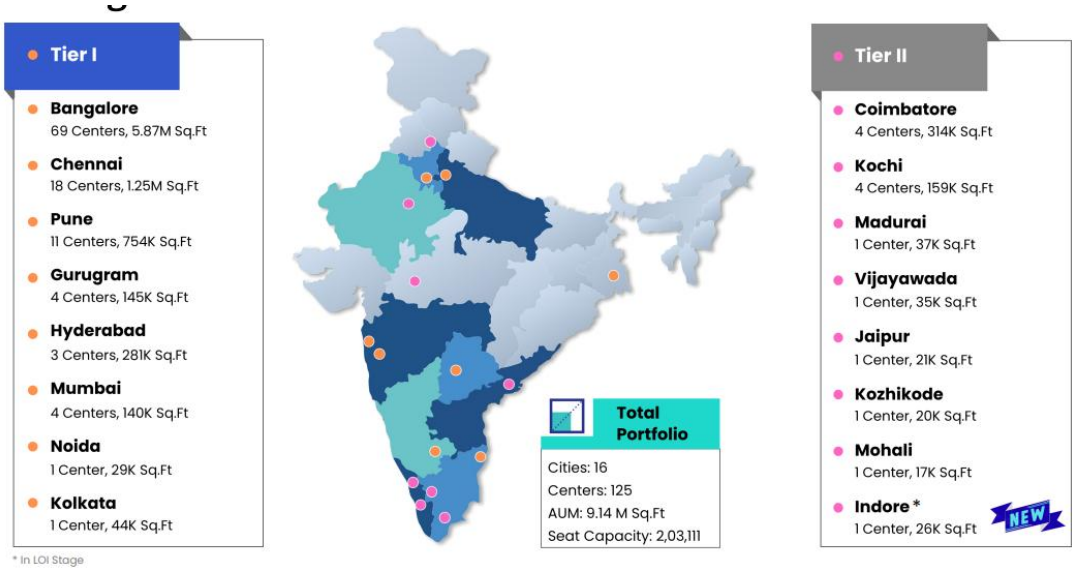
	₹ mn
Enterprise Value	54,293
Net debt (FY26E)	-2,309
Equity Value	56,602
Number of shares (in mn)	210
Value per share (TP)	270
CMP (₹)	208
Upside	30%

Source: Company, Ambit Capital research. Note: CMP as of Dec 3, 2025.

Enterprise-led growth in a diversifying managed office market

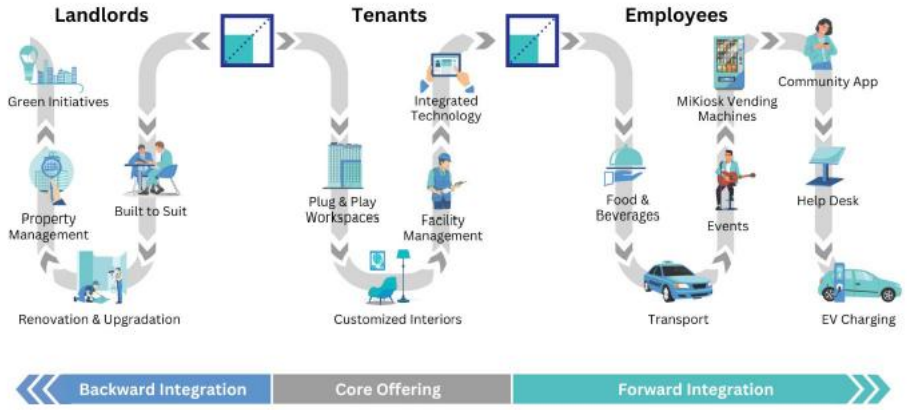
IndiQube Spaces operates as a managed workplace solutions provider, delivering end-to-end, sustainable and technology-enabled office infrastructure designed to elevate the traditional workspace experience. The core of its business model is asset light; it leases entire buildings or floors from landlords, custom builds into functional offices, and then sub-leases them to clients. The company's offerings are integrated across value chain, including IndiQube Grow for plug-and-play workspaces, IndiQube Bespoke for customizable interior design and build services, IndiQube One for comprehensive B2B/B2C services like facility management and transport, the MiQube™ technology stack for operational efficiency and employee engagement and IndiQube Cornerstone for renovating and upgrading landlords' older assets. This integrated approach is centred on an "enterprise-first" demand strategy, attracting large clients, including a significant portion of Global Capability Centres (GCCs) and Indian enterprises, who value scalable, and customized and flexible workspace solutions.

Exhibit 10: IndiQube has a strong network presence across Tier-1/2 Indian cities



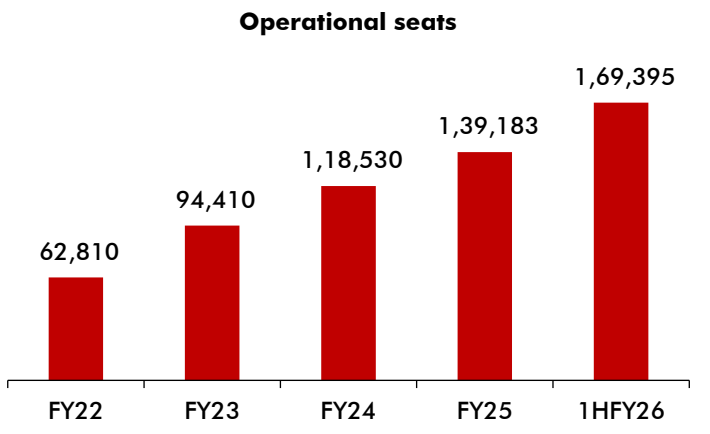
Source: Company, Ambit Capital research. Note: Data as of 2QFY26

Exhibit 11: Present across entire workspace value chain; enhancing customer experience



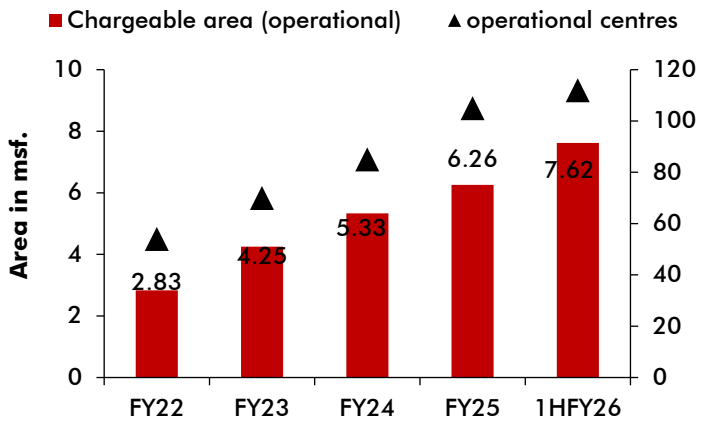
Source: Company, Ambit Capital research

Exhibit 12: Operational seats have grown at 30% CAGR over FY22-25 whilst...



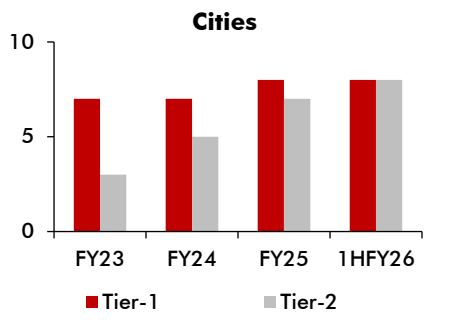
Source: Company, Ambit Capital research

Exhibit 13: ...chargeable area and operational area have grown by ~2x



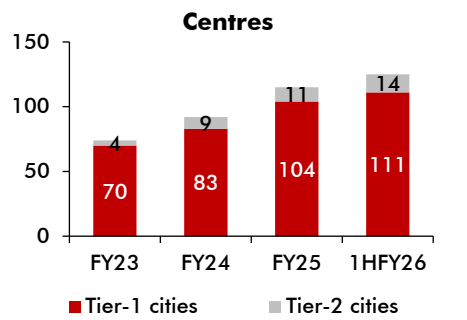
Source: Company, Ambit Capital research

Exhibit 14: Presence in 8 T-1/2 cities...



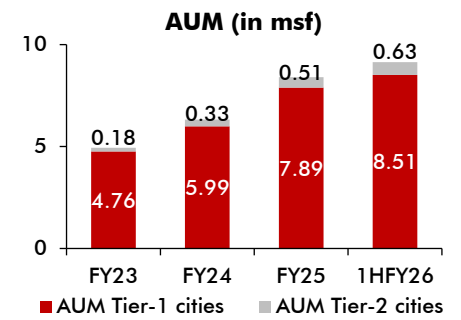
Source: Company, Ambit Capital research

Exhibit 15: ...with ~90% centres and...



Source: Company, Ambit Capital research

Exhibit 16: ...~94% AUM in T-1 cities



Source: Company, Ambit Capital research

Exhibit 17: IndiQube dominates South India with ~20% MS in Bengaluru/Chennai; amongst the largest CRE markets in India

City	Total Flex Stock (in msf)	IndiQube MS	Smartworks MS
Bengaluru	27-29	21%	7%
Mumbai	8.4-9.4	1%	19%
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Chennai	6.5-7.5	19%	7%
Hyderabad	11.4-12.4	2%	10%
Kolkata	1.5-2	1%	15%

Source: Company, Ambit Capital research

IndiQube's core offering is structured around a comprehensive suite of solutions

- **IndiQube Grow:** The primary solution providing plug-and-play workspaces (both large corporate hubs and small satellite offices/spokes) for enterprises and co-working tenants, integrating customized interiors, amenities, and technology.
- **IndiQube Bespoke:** Offers customizable interior design and build solutions, including space planning and turnkey execution, allowing clients to create personalized workspaces within their own premises or leased space.
- **IndiQube One:** Provides comprehensive B2B and B2C services, including end-to-end facility management, asset maintenance, IT support, catering/F&B, and transportation services.
- **MiQube:** A technology stack that integrates smart solutions (like a community app and tenant platform) to streamline operations, enhance employee experience, and manage the workplace efficiently.
- **IndiQube Cornerstone:** Focuses on landlord-centric asset management, renovating and modernizing aging, non-institutional Grade B properties by adding green features, amenities, and technology to enhance their value and rental yield.

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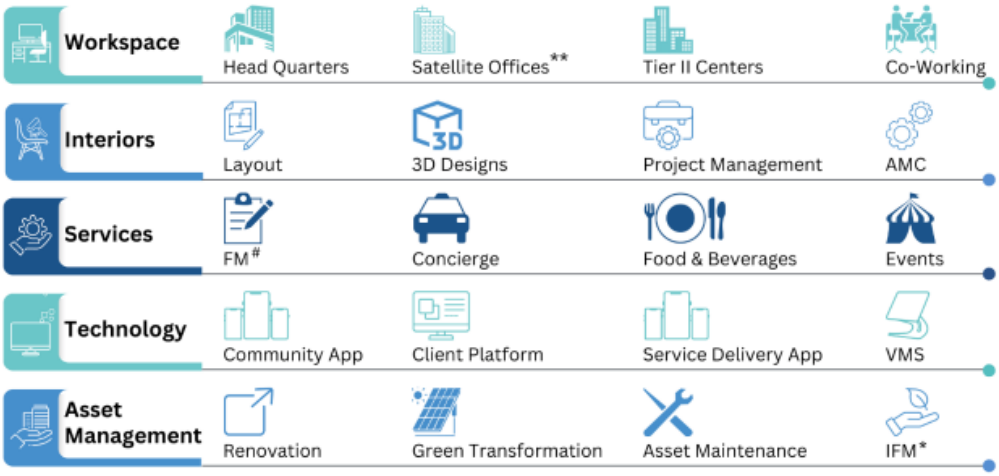
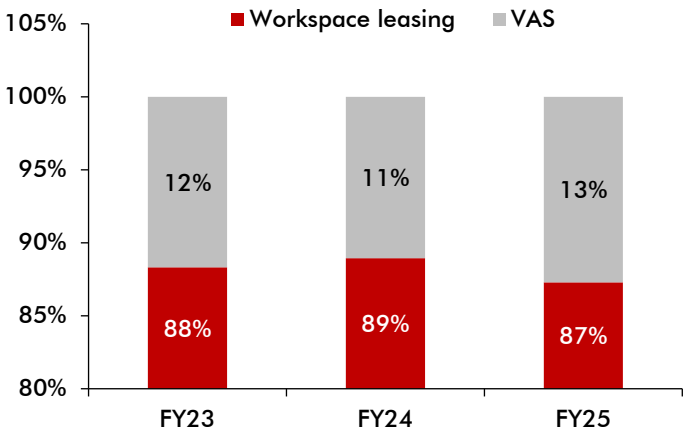
Exhibit 18: Different business segments catering to customers within and outside the ecosystem



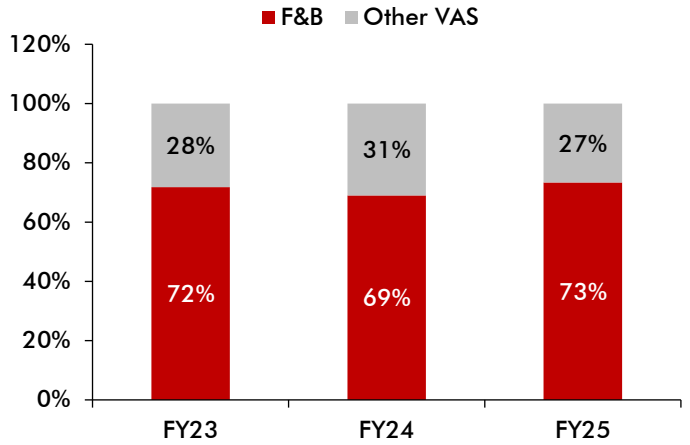
Source: Company, Ambit Capital research

Exhibit 19: Workspace leasing comprises ~87% of FY25 revenues



Source: Company, Ambit Capital research

Exhibit 20: F&B revenue CAGR was ~26% over FY23-25



Source: Company, Ambit Capital research

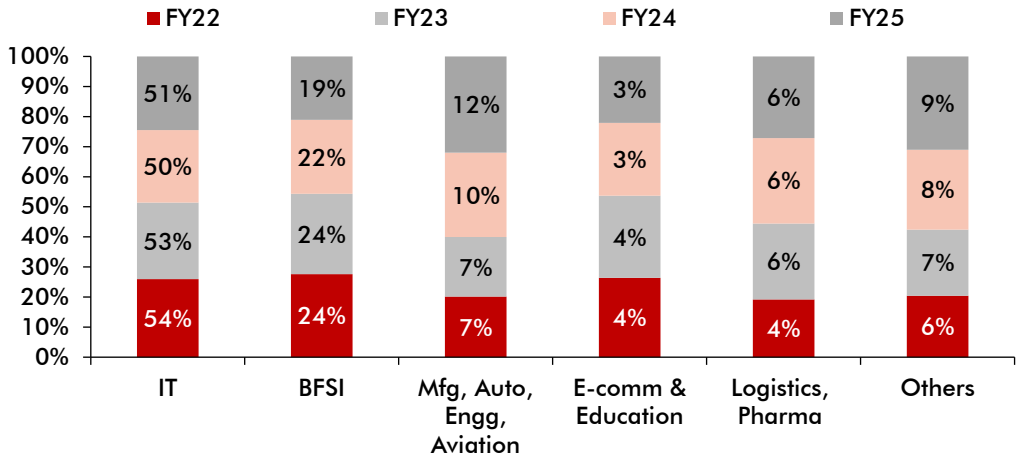
Enterprise-first client strategy driving revenue stability

IndiQube caters to a diverse clientele, focusing on mid-to-large enterprise clients who require scalable solutions across multiple centres and cities. As of FY25, the company serves over 769 clients across various sectors, demonstrating its broad appeal. Around 63% of the occupied seats are from clients leasing >300 seats, reflecting its "enterprise-first" strategy and helping secure a stable revenue stream. The clientele is balanced, with 43.56% comprising Global Capability Centres (GCCs) and 56.44% being Indian enterprises. These clients, which include unicorn start-ups and leading corporates, span industries, such as IT/ITES, manufacturing, engineering, aviation, BFSI, consulting, and e-commerce. This focus on larger tenants results in long-term relationships, evidenced by an average lock-in tenure of 36 months for clients occupying over 300 seats.

Exhibit 21: Diversified marquee client base

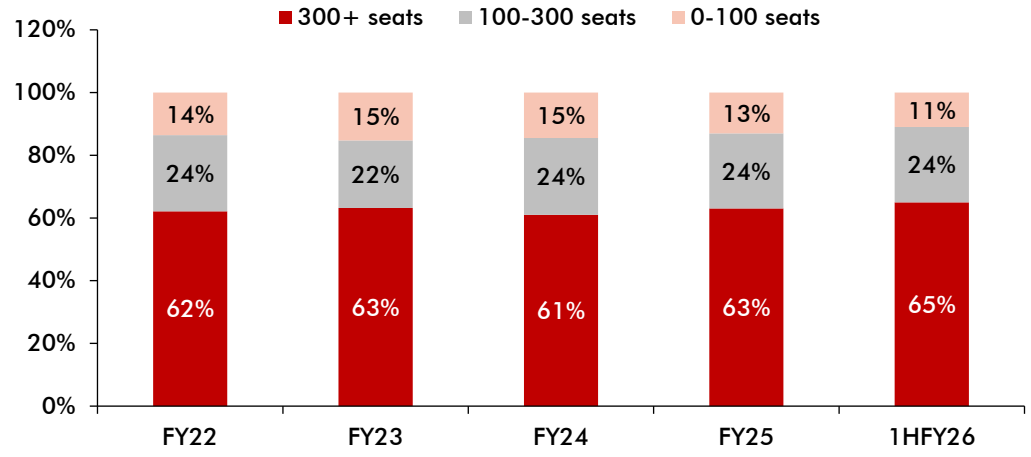
Source: Company, Ambit Capital research

Exhibit 22: Diversified client base; % mix of IT has been declining over the years



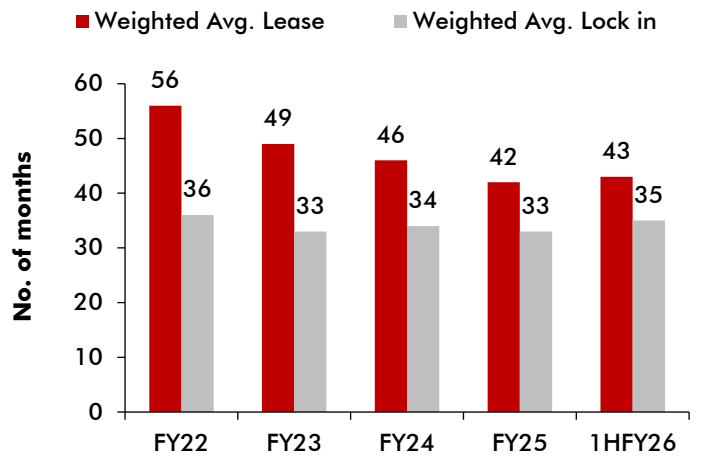
Source: Company, Ambit Capital research

Exhibit 23: IndiQube's focus remains to cater to larger seat cohorts (300+ seats)



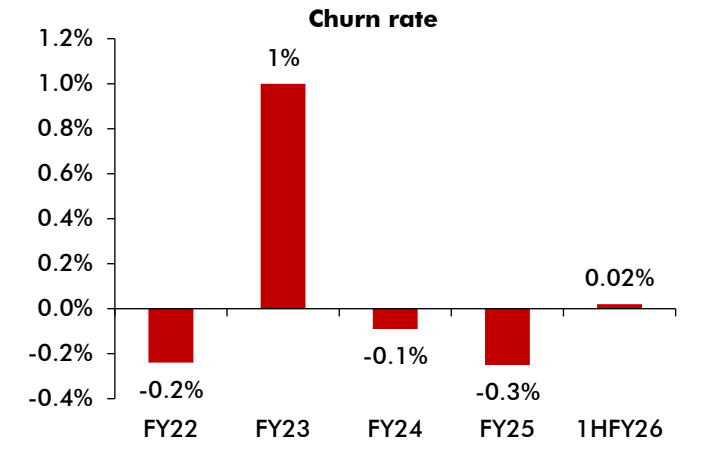
Source: Company, Ambit Capital research

Exhibit 24: Overall lease tenures of >40 months



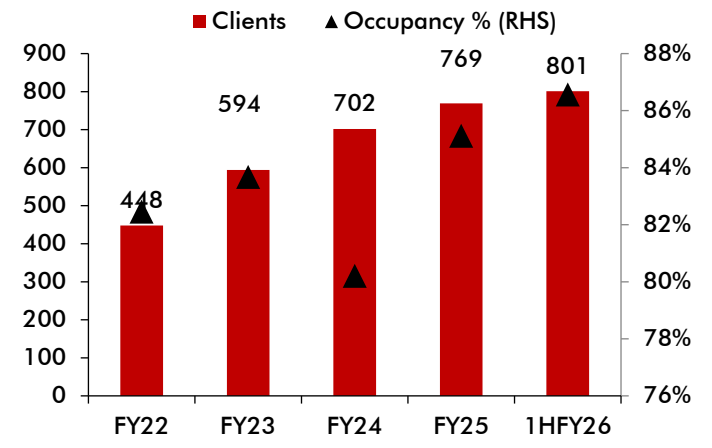
Source: Company, Ambit Capital research

Exhibit 25: Lowest churn rates vs peers



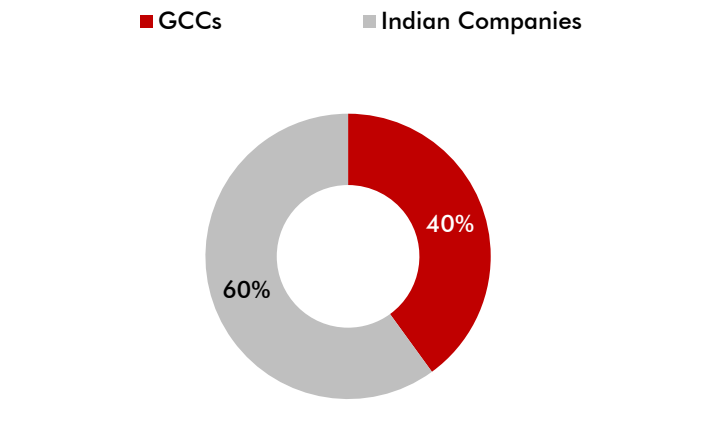
Source: Company, Ambit Capital research

Exhibit 26: Number of clients has increased by ~2x; sustained ~87% overall occupancy levels



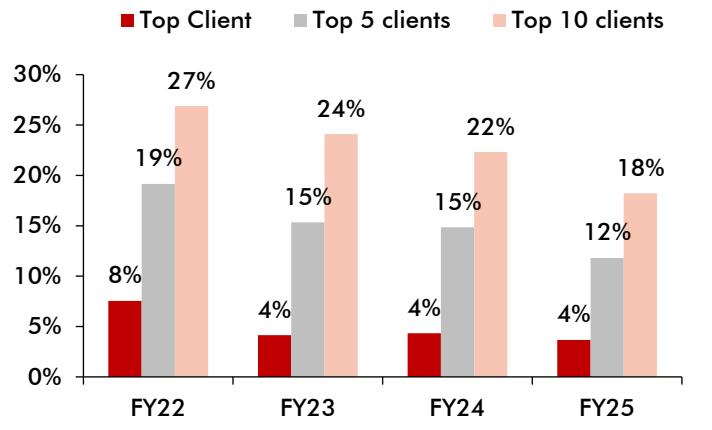
Source: Company, Ambit Capital research

Exhibit 27: Established brand presence in key markets, leading to the largest GCC clientele mix amongst peers



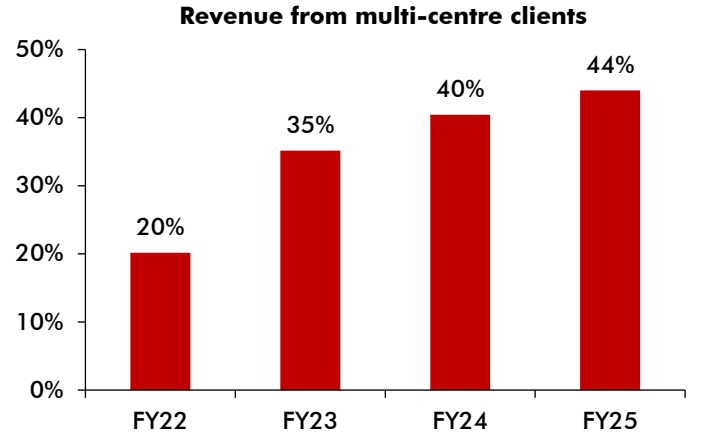
Source: Company, Ambit Capital research

Exhibit 28: Declining revenue dependency from top 5/10 clients



Source: Company, Ambit Capital research

Exhibit 29: ~44% revenue from multi-centre clients, reflecting strong client stickiness



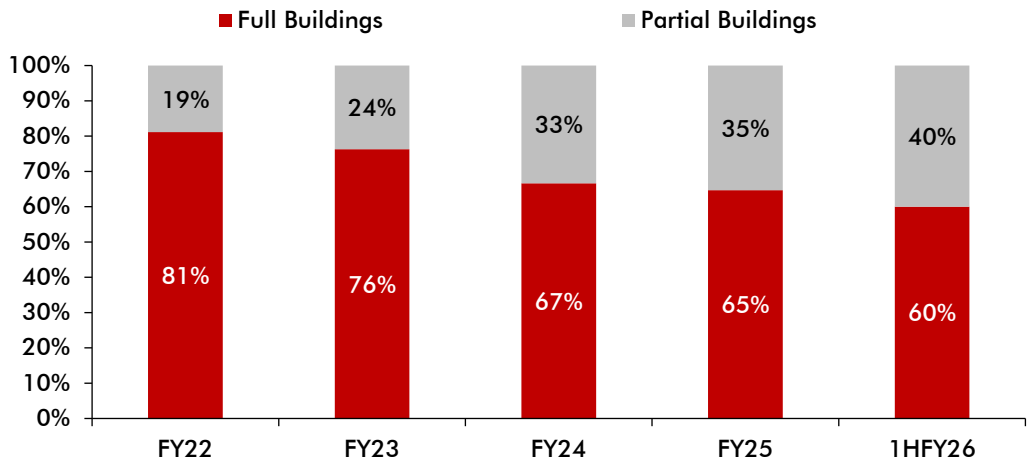
Source: Company, Ambit Capital research

Supply strategy anchored in asset upgradation

IndiQube's supply strategy, part of its backward integration capabilities, prioritizes securing full buildings in high-demand micro-markets characterized by strong connectivity and talent pools. A key component of this approach is actively partnering with landlords not only to lease new properties, but also to transform non-institutional and aging Grade B properties in central business districts into high-quality, green, and modern workspaces. This renovation and upgradation, often carried out through the IndiQube Cornerstone solution, involves integrating interiors, amenities, proprietary technology and sustainability initiatives to enhance the asset's appeal and functionality.

This focus on upgrading underutilized assets not only enhances the quality of its supply and unlocks asset value, but also increases the overall return potential; as of 1QFY26, these renovated properties accounted for ~29% of IndiQube's total portfolio.

Exhibit 30: Hub & Spoke model with hubs (full buildings) comprising ~60% of AUM



Source: Company, Ambit Capital research

Business model-led scalability to drive re-rating

India's total office stock (883msf 1QCY25) is expected to grow by 6-7% CAGR till CY27. Assuming a moderate 3-4% CAGR till CY42, the office stock would be ~1.7bn sq ft. Currently, the market share of IndiQube in flex office stock is ~9%. Focus on a larger seat cohort provides revenue stability, thereby leading to higher occupancies. We expect rental revenue CAGR to be 26% over FY25-28E, led by ~25k-30k seat additions p.a. and ~4-5% rental escalations. We assume 13% CAGR in VAS segment over FY25-28E. Thus, expect overall revenue CAGR to be 24% over FY25-28E. With occupancies ~85% in the medium term, we expect this to ramp up to ~87% by FY42E. Assume a healthy 80:20 mix of rental income and VAS in FY42E. IndiQube is expected to grow its portfolio to ~518k seats in FY42, which implies ~23msf of AUM; ~2.6x from its current AUM of ~9msf. Higher scale coupled with operating leverage will lead to margin expansion from ~10.8% EBITDAM (pre-Ind AS) to ~17% in FY28E. Our DCF-based 1yr TP of ₹270 implies 18x 1yr forward EV/EBITDA.

Exhibit 31: Expect 24%/43% Revenue/ EBITDA growth over FY25-28E; margin expansion owing to scale and stable occupancies

Particulars	FY24	FY25	FY26E	FY27E	FY28E	Comments
SBA (in msf)	5.33	6.26	7.58	8.72	9.85	
Operational seats	118,530	139,183	168,411	193,673	218,851	Operational seats to grow at 16% CAGR over FY25-28E.
Blended Occupancy across all centres %	80%	85%	85%	85%	85%	Expect occupancies to be ~84-85%.
Occupied seats	95,076	118,467	143,150	164,622	186,023	
Implied area/desk (sq ft)	45	45	45	45	45	Seat density to be ~45 sq ft.
Average price /occupied seat (₹)	6,514	6,792	7,098	7,417	7,751	Expect seat pricing to grow at 4% CAGR over FY25-28E.
P&L						
Rental income	6,804	8,703	12,193	14,652	17,302	Expect revenue CAGR from rental income to be 26% over FY25-28E.
YoY Growth %	49%	28%	40%	20%	18%	
VAS	1,502	1,890	2,079	2,391	2,750	Expect revenue CAGR from VAS to be 13% over FY25-28E.
YoY Growth %	23%	26%	10%	15%	15%	
Total Revenue from op	8,306	10,593	14,272	17,044	20,052	Expect revenue CAGR to be 24% over FY25-28E.
YoY Growth %	43%	28%	35%	19%	18%	
EBITDA (pre-Ind AS)	1,133	1,145	2,198	2,735	3,365	Expect EBITDA CAGR to be 43% over FY25-28E.
EBITDAM (pre-Ind AS)	13.6%	10.8%	15.4%	16.0%	16.8%	Margin expansion owing to scale and stable occupancies.
Balance sheet						
Net debt	1,636	3,380	-2,309	-2,229	-2,309	Expect IndiQube to maintain net debt position.
ROCE % (pre-Ind AS)	39%	34%	95%	145%	140%	RoCE to improve owing to better operating leverage and lean BS.
Cash flows						
Net OCF	5,422	6,116	9,161	10,567	13,216	IndiQube to generate healthy OCFs.
Capex	(1,831)	(2,521)	(3,091)	(3,228)	(3,727)	Capex to increase owing to fit-outs of new properties and refurbishment of older ones.
Lease payments	(3,820)	(5,020)	(6,294)	(7,781)	(9,308)	Lease payments to witness ~5% YoY escalations per sq ft.
FCF	(229)	(1,425)	(224)	(442)	181	FCF to remain negative in medium term; to improve from FY28E.
OCF (pre-tax)/ EBITDA (pre-Ind AS)	1.4	1.0	1.3	1.0	1.2	OCF/EBITDA to remain >1.

Source: Company, Ambit Capital research

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Exhibit 32: Key assumptions to our DCF; expect AUM to grow by ~2.6x by FY42E

	FY24	FY25	FY31E	FY42E
Operational Seats	118,530	139,183	290,851	518,851
Occupancy %	80%	85%	86%	87%
Occupied seats	95,073	118,473	250,132	451,400
Rental Income (₹ mn)	6,804	8,703	25,769	81,526
Vas (₹ mn)	1,502	1,890	4,638	20,382
Total Revenue (₹ mn)	8,306	10,593	30,407	101,908
% Mix				
Rental Income %	82%	82%	85%	80%
Vas %	18%	18%	15%	20%
EBITDA (₹ mn) (pre-Ind AS)	1,133	1,145	5,410	21,910
EBITDAM % (pre-Ind AS)	13.6%	10.8%	17.8%	21.5%
Capex	-1,831	-2,521	-3,041	-5,095
Free cash flow	-229	-1,425	3,445	18,434

Source: Company, Ambit Capital research

Exhibit 33: Assume 15% WACC, 6% terminal growth; TP of ₹270 implies 18x 1yr fwd EV/EBITDA (pre Ind AS)

	₹ mn
Enterprise Value	54,293
Net debt (FY26E)	-2,309
Equity Value	56,602
Number of shares (in mn)	210
Value per share (TP)	270
CMP (₹)	208
Upside %	30%

Source: Company, Ambit Capital research

Exhibit 34: IndiQube trades at ~15x FY27 EV/EBITDA (pre Ind AS); higher scale to drive rerating

Particulars	BBG Ticker	CMP	Mcap (₹ mn)	Rating	TP 12m	EV/EBITDA (x) (reported basis)			EV/EBITDA (x) (pre Ind AS)			FY25-28E CAGR (%)	
						FY25	FY26	FY27	FY25	FY26	FY27	Rev	EBITDA
Flex/co-working operators													
IndiQube Spaces	INDIQUBE IN EQUITY	207	43,506	BUY	270	6	5	4	31	19	15	24%	43%
Awfis Space Solutions	AWFIS IN EQUITY	512	36,606	BUY	640	9	7	5	24	18	14	21%	28%
Smartworks Coworking Spaces	SMARTWOR IN EQUITY	453	51,774	BUY	590	5	5	4	27	21	15	23%	35%
WeWork India Management	WEWORK IN EQUITY	597	79,965	NR	-	DNA	8	6	DNA	DNA	DNA	DNA	DNA
EFC (I) Limited	EFCIL IN EQUITY	262	26,083	NR	-	DNA	5	3	DNA	DNA	DNA	DNA	DNA
Domestic Hotels chains													
Indian Hotels Co Ltd	IH IN EQUITY	735	1,045,900	BUY	900	37	31	28	NA	NA	NA	13%	15%
ITC Hotels Ltd	ITCHOTEL IN EQUITY	208	433,004	BUY	255	34	29	25	NA	NA	NA	13%	17%
Chalet Hotels Ltd	CHALET IN EQUITY	913	199,682	BUY	1,115	30	24	19	NA	NA	NA	21%	18%
Leela Palaces Hotels & Resorts	THELEELA IN EQUITY	405	135,336	BUY	550	19	21	18	NA	NA	NA	15%	20%
Lemon Tree Hotels Ltd	LEMONTRE IN EQUITY	163	128,962	BUY	200	24	21	17	NA	NA	NA	13%	17%
SAMHI Hotels Ltd	SAMHI IN EQUITY	185	40,961	BUY	375	13	12	11	NA	NA	NA	12%	15%
REITs													
Embassy Office Parks	EMBASSY IN EQUITY	449	425,585	BUY	460	18	14	13	NA	NA	NA	16%	18%
Mindspace Business Parks REIT	MINDSPCE IN EQUITY	481	292,987	BUY	470	19	14	13	NA	NA	NA	17%	19%
Brookfield India Real Estate Trust	BIRET IN EQUITY	334	213,732	BUY	355	13	11	10	NA	NA	NA	12%	14%
Nexus Select Trust	NXST IN EQUITY	163	246,991	NR	-	-	17	16	NA	NA	NA	10%	11%

Source: Company, Ambit Capital research. Note: Data as of Dec 3, 2025. Ambit estimates used for coverage companies.

Risks and Catalysts

Risks

Geographic Concentration

The business is heavily reliant on a few Tier-I cities, with a significant majority of its portfolio and revenue concentrated in key markets like Bengaluru and Chennai. Any adverse economic or real estate development in these micro-markets poses a material risk to the overall business performance.

Demand Sensitivity in Flexible Office Operations

IndiQube's growth trajectory is closely tied to maintaining strong occupancy levels across its centres. Any moderation in office space demand, stemming from broader macroeconomic uncertainty, delayed expansion plans GCCs or corporate cost-optimisation measures could impact the pace of seat absorption. Such a slowdown may, in turn, exert pressure on revenues and operating margins, as fixed costs remain high and pricing power weakens. Sustaining demand momentum and diversifying client segments, therefore, remain critical to mitigating these cyclical risks.

Catalysts

Superior economies of scale and execution efficiency leading to margin expansion of ~500bps by FY28E

IndiQube aspires to add ~25-30k seats annually. We expect operational seats to grow by 18% CAGR over FY25-27E supported by stable ~85% occupancy levels. Ramp-up of occupancies in centres and quick turnaround of new centres will aid growth and expand EBITDA (pre-Ind AS) margins from ~10.8% in FY25 to ~16% in FY27E (~520bps improvement).

VAS (value-added services) to support topline growth

VAS forms a key revenue and retention driver, complementing workspace leasing with interior design & build, facility management and B2B/B2C services, including F&B, facility maintenance and employee transport. VAS accounts for ~13% of topline (1HFY26). VAS revenue grew by 66% YoY in 1HFY26. We expect VAS to grow at 12% CAGR over FY25-27E.

Experienced BoD & Management

Founded in Jan'15 by Rishi Das, Meghna Agarwal and Anshuman Das, IndiQube was born from the founders' own challenges of finding flexible, scalable, and cost-effective offices for their growing ventures. Rishi Das (Chairman & CEO), an IIT Roorkee alumnus, and Meghna Agarwal (COO), an IMT Ghaziabad alumni, had earlier co-founded Careernet Technologies and HirePro Consulting along with Anshuman Das, bringing extensive entrepreneurial and talent solutions experience to the venture.

Exhibit 35: Board is diverse, well-qualified and experienced

Name	Designation	Education	Background
Rishi Das	Chairman, Executive Director & CEO	Bachelors' degree in electrical engineering from University of Roorkee.	▪ Prior to joining the company, he co-founded and was associated with Careernet Technologies as COO and with Hirepro Consulting as CEO. ▪ He also co-founded Innoprop Spaces and Hirepro Technologies.
Meghna Agarwal	COO & Executive director	Post graduate diploma in executive management from IMT, Ghaziabad. She has also passed the final examination conducted by the Institute of Company Secretaries of India.	▪ Prior to joining the company, she was associated with Careernet Technologies as vice president. ▪ She has also co-founded Ultrafine Minerals.
Anshuman Das	Non-executive director	Bachelors' degree in textile technology from Indian Institute of Technology, Delhi.	▪ He co-founded and has been associated with Careernet Technologies Private Limited as its chief executive officer and with Hirepro Consulting Private Limited as its chief operating officer. ▪ He also co-founded Hirepro Consulting, Innoprop Spaces and Hirepro Technologies.
Sandeep Singhal	Non-executive director	Bachelors' degree in chemical engineering from the IIT, Delhi and master's degree in science in chemical engineering from University of Illinois. He has also completed a post-graduate diploma in management from IIM, Ahmedabad.	▪ He is an investment professional with over 20 years of investment advisory experience. ▪ He is the co-founder of WestBridge Capital and currently serves as a designated partner of WestBridge Advisors LLP, director on the board of directors of Mountain Managers Private Limited, and the investment manager of WestBridge AIF I.
Avalur Muralikrishnan	Independent director	Bachelors' degree in science from University of Madras. He is a certified chartered accountant.	▪ Prior to joining the company, he was associated with Vistra Corporate Services (India) Private Limited as its CEO and with Aztec Software and Technology Services Limited as its CFO.
Rahul Matthan	Independent director	Bachelors' degree in arts and law from National Law School of India University, Bengaluru.	▪ He has 30 years of experience in the legal industry. He is associated with Trilegal as a partner. ▪ He has been conferred with recognitions, including 'Hall of Fame' for technology, media and telecommunications by the Legal 500, and 'Leading Individual' for Data Protection by the Legal 500.
Naveen Tewari	Independent director	Bachelors' degree in engineering from IIT, Kanpur and master's degree in general management from Harvard Business School.	▪ He has held diverse management positions. He is the chief executive officer and founder of the InMobi Group. ▪ He was associated with Charles River Ventures as a consultant and with McKinsey & Company as a business analyst.
Sachi Krishana	Independent director	Masters' degree in arts in personnel management and industrial relations from TATA Institute of Social Sciences.	▪ She has 20 years of experience in the field of human resources. ▪ Prior to joining the company, she was associated with Amazon Web Services India Private Limited as human resources director, with Wipro Limited as a general manager and with PricewaterhouseCoopers as a consultant.

Source: Company, Ambit Capital research

Accounting and ESG

IndiQube consistently generates a healthy pre-tax CFO/EBITDA along with stable free cash flows. Focus remains on generating healthy cash flows and >1 CFO/EBITDA ratio. That said, overall cash balance as a % of total assets remains quite low. However, we don't perceive this as a major risk as client lock-ins of ~33 months protect IndiQube from asset-liability mismatches.

Exhibit 36: Accounting checks show no major issues

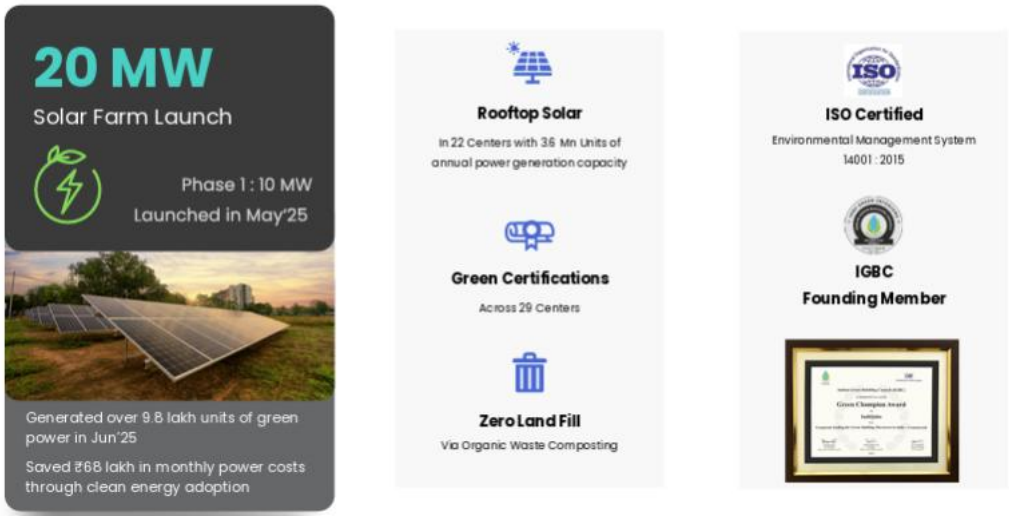
Ratio	Flags	FY23	FY24	FY25	Description
Cash conversion (pre-tax CFO/EBITDA)	GREEN	95%	105%	101%	Cash conversions of company remained healthy. Operations of company are not working capital intensive.
FCF/revenue	GREEN	27%	41%	33%	Company has generated stable FCFs since FY23.
Misc. expenses as a % of revenue	GREEN	0.1%	0.0%	0.0%	No material miscellaneous expenses.
Cash outflow to RPT as a % of revenue	GREEN	-9%	-4%	-4%	Cash outflows to related parties have been negligible.
Managerial remuneration as a % of Employee Benefit Expenses	GREEN	7%	5%	8%	Remuneration paid to KMP appears to be appropriate.
Cash as a % of Total Assets (ex- ROU)	AMBER	2%	0.04%	0.44%	Cash balance remains low.

Source: Company, Ambit Capital research

Building 'Green offices'; IndiQube's commitment to sustainability

IndiQube places strong emphasis on ESG initiatives, with particular focus on green buildings and sustainability as a service. The company has received LEED certifications across ~36% of its active stock. Its ESG focus includes integrating solar energy systems, maintaining automated sewage and water treatment plants (STPs/WTPs) to significantly reduce freshwater consumption, and promoting sustainable commuting with EV charging stations. Furthermore, IndiQube utilizes technology, such as its MiQube™ platform, to optimize energy usage and manage resources efficiently.

Exhibit 37: Installing Solar panels in centres will save electricity costs



Source: Company, Ambit Capital research

Exhibit 38: Explanation of our flags on page 1

Segment	Score	Comments
Accounting	GREEN	We do not find anything unusual in the company's accounting policies that warrant suspicion, and believe the reported numbers are a true reflection of performance.
Predictability	GREEN	IndiQube has delivered consistently in terms of Revenue/EBITDA growth. Further, it received 'Crisil A+ Stable' credit ratings.
Earnings momentum	GREEN	Revenue CAGR was 35% over FY23-25; EBITDA (pre-Ind AS) grew at 55% over FY23-25; expect 24%/43% Revenue/EBITDA (pre-Ind AS) growth over FY25-28E.

Source: Company, Ambit Capital research

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Indiqube Spaces (INDIQUBE IN, BUY)

Valuation Methodology

- We have used DCF methodology to arrive at a fair valuation. We have used 15% CoE/WACC and 6% terminal growth.

Risks

- Demand sensitivity in flex office operations.
- Client/geographical concentration.

Financials - Consolidated

Income statement

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Revenue	**8,306**	**10,593**	**14,272**	**17,044**	**20,052**
-growth (Rev)	43.3%	27.5%	34.7%	19.4%	17.7%
Cost of goods sold	390	520	642	733	802
Gross profit	**7,916**	**10,073**	**13,630**	**16,311**	**19,250**
Gross profit growth	43.7%	27.3%	35.3%	19.7%	18.0%
Employee expenses	638	758	999	1,108	1,163
Other expenses	5,015	3,150	4,139	4,687	5,414
EBITDA	**4,953**	**6,165**	**8,492**	**10,516**	**12,673**
-growth (EBITDA)	41.9%	24.5%	37.7%	23.8%	20.5%
Depreciation	3,922	4,871	5,974	6,653	7,287
EBIT	**1,030**	**1,294**	**2,518**	**3,863**	**5,386**
-growth (EBIT)	103%	25.6%	94.6%	53.4%	39.4%
Other income	371	436	642	767	902
EBIT (including other income)	**1,401**	**1,730**	**3,160**	**4,630**	**6,288**
Finance costs	2,560	3,304	4,748	5,140	5,485
Profit before tax	**(1,159)**	**(1,573)**	**(1,588)**	**(511)**	**804**
Profit before tax (adjusted)	**(1,159)**	**(1,573)**	**(1,588)**	**(511)**	**804**
-growth (PBT)	0.2%	35.8%	0.9%	(67.8%)	(257%)
Tax	(433)	(177)	-	-	202
PAT	**(726)**	**(1,396)**	**(1,588)**	**(511)**	**602**
Profit after tax (adjusted)	**(726)**	**(1,396)**	**(1,588)**	**(511)**	**602**
-growth (PAT)	(15.5%)	92.4%	13.7%	(67.8%)	(218%)
EPS (basic) (₹)	(5.5)	(7.6)	(7.6)	(2.4)	2.9
EPS (diluted)	(5.5)	(7.6)	(7.6)	(2.4)	2.9

Source: Ambit Capital research, Company

Balance sheet

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Property, plant and equipment	4,944	6,477	8,229	9,707	11,232
Capital work in progress	736	1,143	1,143	1,143	1,143
Right of use assets	25,876	32,995	35,428	36,756	38,005
Other intangible assets	86	76	76	76	76
Total fixed assets	**31,642**	**40,691**	**44,876**	**47,681**	**50,455**
Other non-current assets	3,364	4,059	5,716	5,958	7,777
Total non-current assets	**35,006**	**44,750**	**50,592**	**53,639**	**58,232**
Trade receviables	593	787	1,056	1,261	1,483
Cash and cash equivalents	4.5	60	452	372	452
Other current assets	1,075	1,253	1,875	1,861	2,534
Total current assets	**1,673**	**2,101**	**3,383**	**3,494**	**4,470**
Total assets	**36,679**	**46,851**	**53,975**	**57,133**	**62,702**
Share capital	1.8	130	210	210	210
Other equity	1,305	(161)	4,420	3,909	4,510
Total equity	**1,306**	**(31)**	**4,630**	**4,119**	**4,720**
Long-term borrowings	1,001	2,225	1,625	1,625	1,625
Long-term provisions	70	114	114	114	114
Lease liabilities	26,249	34,218	38,823	41,862	43,918
Other non-current liabilities	1,840	2,249	3,225	3,312	4,379
Total non-current liabilities	**29,161**	**38,806**	**43,787**	**46,913**	**50,035**
Short-term borrowings	639	1,215	885	885	885
Trade payables	442	544	743	887	1,044
Lease liabilities	2,597	3,220	3,840	4,140	4,344
Other current liabilities	2,517	3,074	4,434	4,532	6,016
Short term provisions	17.0	24	24	24	24
Total current liabilities	**6,212**	**8,076**	**9,925**	**10,468**	**12,313**
Total liabilities	**35,373**	**46,882**	**53,712**	**57,380**	**62,348**
Total equity and liabilities	**36,679**	**46,851**	**58,342**	**61,499**	**67,068**

Source: Ambit Capital research, Company

Cash flow statement

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Profit before tax	**(3,848)**	**(1,573)**	**(1,588)**	**(511)**	**804**
Depreciation	3,922	4,871	5,974	6,653	7,287
Interest expense	2,560	3,304	4,748	5,140	5,485
Other items	2,505	(337)	(642)	(767)	(902)
Working capital changes	79	(14.0)	669	51	745
Taxes	203	(134)	-	-	(202)
Cash flow from operations	**5,422**	**6,116**	**9,161**	**10,567**	**13,216**
(Net) capital expenditure	(1,835)	(2,527)	(3,091)	(3,228)	(3,727)
Interest/dividend Received	4.0	6.5	-	-	-
Other items	(96)	(69)	(3,724)	767	902
Cash flow from investments	**(1,928)**	**(2,590)**	**(6,815)**	**(2,461)**	**(2,824)**
Net short-term borrowings	-	500	-	-	-
Net long-term borrowings	355	1,387	(930)	-	-
Interest paid	(183)	(241)	(297)	(251)	(251)
Payment of lease liabilities	(3,820)	(5,020)	(6,294)	(7,781)	(9,308)
Other items	-	500	5,567	(154)	(753)
Cash flow from financing	**(3,648)**	**(3,375)**	**(1,954)**	**(8,186)**	**(10,312)**
Opening cash balance	**105**	**4.5**	**60**	**452**	**372**
Net change in cash	**(154)**	**152**	**392**	**(80)**	**80**
Closing cash balance	**(49)**	**157**	**452**	**372**	**452**

Source: Ambit Capital research, Company

Preferred Ratios

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
EBITDA margin	59.6%	58.2%	59.5%	61.7%	63.2%
EBITDA margin (pre-Ind AS)	13.6%	10.8%	15.4%	16.0%	16.8%
EBIT margin	12.4%	12.2%	17.6%	22.7%	26.9%
Net debt/equity	1.3	(109)	0.4	0.5	0.4

Source: Ambit Capital research, Company

Ratio analysis

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Gross margin	95.3%	95.1%	95.5%	95.7%	96.0%
EBITDA margin	59.6%	58.2%	59.5%	61.7%	63.2%
EBIT margin	12.4%	12.2%	17.6%	22.7%	26.9%
Net profit margin	(8.7%)	(13.2%)	(11.1%)	(3.0%)	3.0%
Net debt/equity	1.3	(109)	0.4	0.5	0.4
pre-tax RoCE	33.8%	40.7%	47.7%	56.1%	77.7%
post-tax RoCE	21.2%	36.1%	47.7%	56.1%	58.2%
ROE (%)	(55.5%)	4488%	(34.3%)	(12.4%)	12.7%

Source: Ambit Capital research, Company

AMBIT
Acumen at work
Institutional Equities

Awfis Space Solutions

BUY

INITIATING COVERAGE	AWFIS IN EQUITY	December 04, 2025

Vertically integrated flex operator

Awfis, amongst India's leading co-working operators with ~8msf AUM, manages 237 centres across 9 Tier-1/9 Tier-2 cities offering ~161k seats. Start-ups, freelancers, corporates, MNCs are amongst its diversified clientele. Whilst Awfis started with a focus on flexible co-working spaces, it has since evolved into a fully integrated workplace solutions platform. Own D&B vertical (~9% FY25 PBTM) makes Awfis stand out among listed flex peers. Portfolio-level blended occupancy was 74% (2QFY26). Its distinctive Managed Aggregation (MA) sourcing model, accounts for 61% of its capacity; enables an asset-light BS. Operational seats/centres have grown ~4x since FY21. Expect D&B revenue CAGR of 13% (FY25-28E); build in 21%/28% revenue/EBITDA (pre-Ind AS) CAGR over FY25-28E; 1yr DCF based TP of ₹640 implies 15x 1yr fwd EV/EBITDA. Prefer flex operators having managed office model. Prefer Smartworks=IndiQube>Awfis. Risks: Lower occupancies vs peers.

Competitive position: MEDIUM Changes to this position: POSITIVE

Targeting larger seat cohort with Gold and Elite

Through its three-tiered product offerings: Awfis, Gold and Elite, Awfis caters to diverse clientele like SMEs, start-ups, freelancers, MNCs/GCCs. With Gold/Elite, Awfis is shifting focus to larger seat cohorts (>500). It currently operates 21 Gold and 5 Elite centres. Pivoting towards larger seat cohort will provide rental stability leading to higher occupancies, whilst aiding margin expansion. We expect occupancies to increase to ~80% by FY42E.

Expanding beyond metros; established presence in Tier-2 cities

Awfis has mastered the art to tap into Tier-2 cities. Flex office stock in Tier-2 cities is ~5msf and has grown by ~9x since CY18. Awfis has 25 centres, ~13k seats in nine Tier-2 cities. The expanding skilled talent pool and increasing interest from MNCs have accelerated the demand for spaces in these cities.

Continues to leverage its design and build capabilities

Awfis' D&B division accounts for >20% of its revenues. This is a high-margin business with high asset turns. With large supply kicking in, supported by the need to transform office spaces, the D&B market opportunity size is expected to be ~₹190bn by CY30. Awfis' expertise is in transforming office spaces in ~60 days, we expect this segment to grow at 15% CAGR (FY26E-28E).

Higher co-working share drives discount; expect scale-led rerating

Expect Awfis to grow its AUM by ~2.5x by FY42. About 25k seat additions p.a. coupled with higher D&B margins will lead to margin expansion from ~13% EBITDAM in FY25 (pre-Ind AS) to ~15.6% in FY28E. Our 1yr DCF-based TP of ₹640 implies 15x 1yr forward EV/EBITDA (pre-Ind AS) vs 18x for Smartworks/IndiQube.

Key Financials

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Revenue	8,488	12,075	15,135	18,033	21,188
EBITDA	2,454	4,024	5,403	6,853	8,369
EBITDA margin	28.9%	33.3%	35.7%	38.0%	39.5%
EBITDA (pre-IND AS)	709	1,562	2,010	2,631	3,295
EBITDA margin (pre-Ind AS)	8.4%	12.9%	13.3%	14.6%	15.6%

Source: Company, Ambit Capital research

Real Estate Services

Recommendation

Mcap (bn):	₹36/US$0.4
6M ADV (mn):	₹0.3/US$-
CMP:	₹511
TP (12 Mths):	₹640
Upside (%):	25

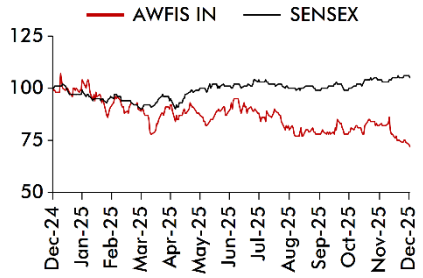
Flags

Accounting:	GREEN
Predictability:	GREEN
Earnings Momentum:	GREEN

Catalysts

- 20% CAGR (FY25-27E) in operational seats; scale to drive ~170bps margin expansion.
- 11% D&B revenue CAGR (FY25-27E); foray into B2B & B2C retail to support topline growth.

Performance



Source: ICE, Ambit Capital Research

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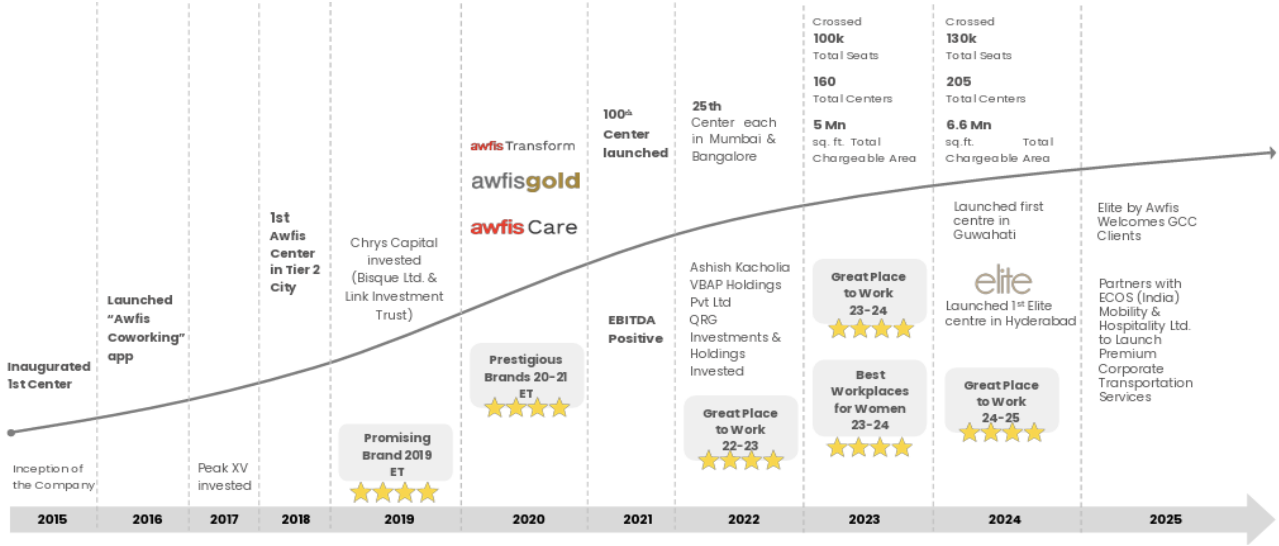
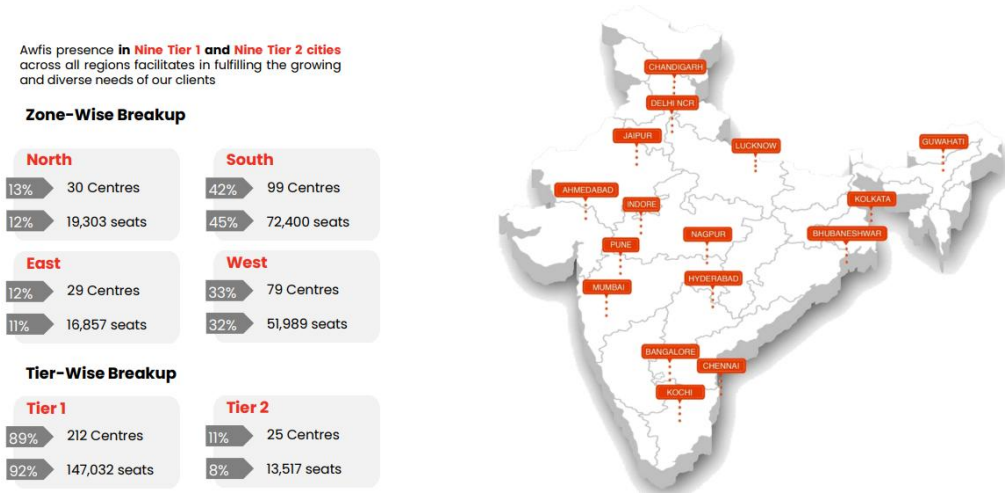
Narrative in charts

Exhibit 1: Over the years, Awfis has evolved to become a leading flexible workspace provider



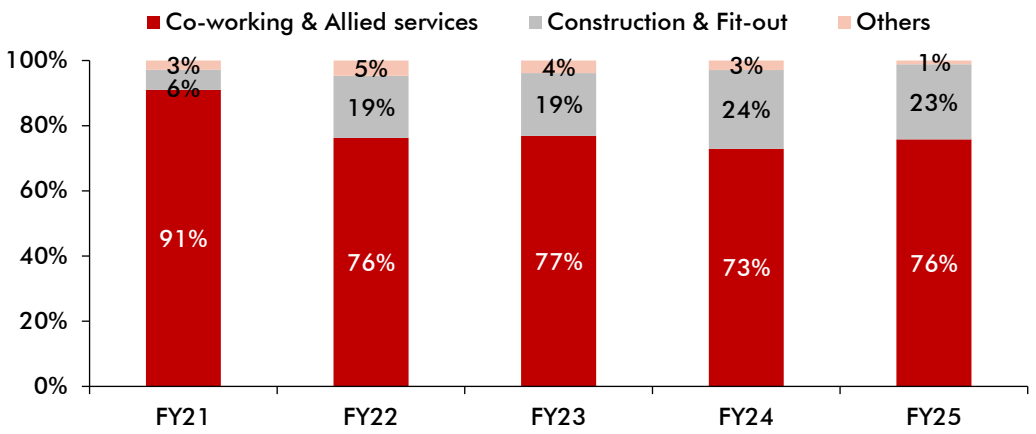
Source: Company, Ambit Capital research

Exhibit 2: Awfis has a strong network presence in 9 Tier-1 & 9 Tier-2 Indian cities



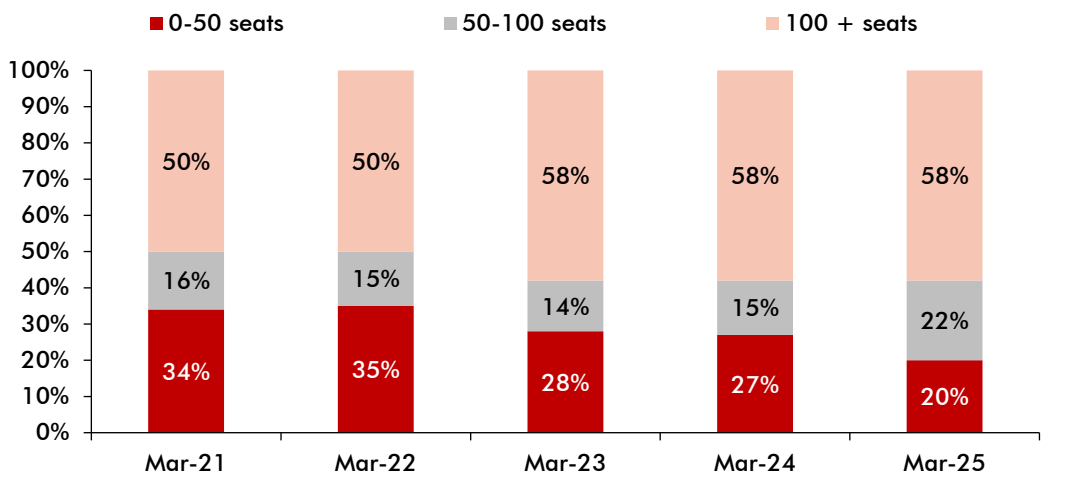
Source: Company, Ambit Capital research

Exhibit 3: Healthy mix of revenue streams; D&B revenue CAGR was 79% (FY22-25)



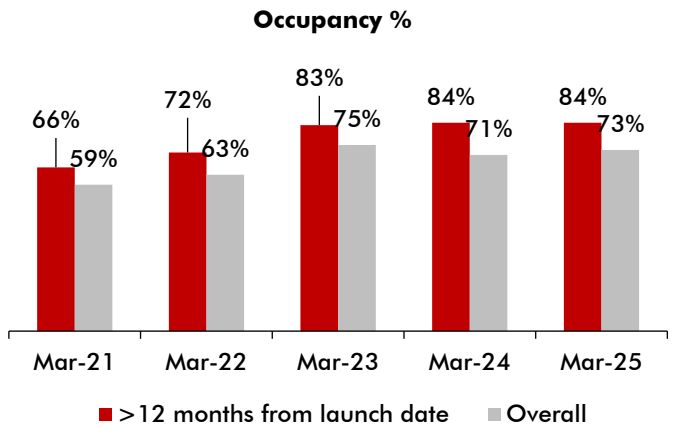
Source: Company, Ambit Capital research

Exhibit 4: Seat mix transitioning towards larger seat cohorts (100+ seats) leading to...



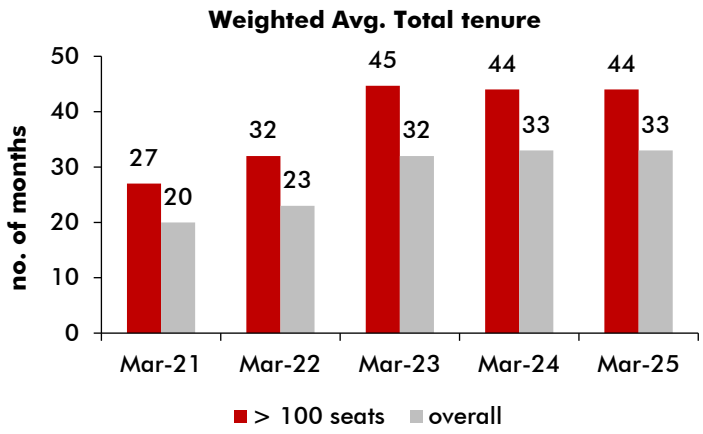
Source: Company, Ambit Capital research

Exhibit 5: ...higher overall occupancies since FY21 and...



Source: Company, Ambit Capital research

Exhibit 6: ...higher lease tenures



Source: Company, Ambit Capital research

Exhibit 7: Key assumptions to our DCF; expect AUM to grow by ~2.6x by FY42E

	FY24	FY25	FY31E	FY42E
Operational Seats	95,030	134,121	285,863	462,863
Occupancy %	71%	73%	77%	80%
Occupied seats	67,471	97,908	220,114	370,290
Co-working & allied services(₹ mn)	6,189	9,160	26,393	78,120
D&B (₹ mn)	2,049	2,783	7,126	23,436
Total Revenue (₹ mn)	8,238	11,943	33,520	101,556
% Mix				
Rental Income %	75%	77%	79%	77%
Vas %	25%	23%	21%	23%
EBITDA (₹ mn) (pre Ind AS)	709	1,562	5,586	21,073
EBITDAM % (pre Ind AS)	8.6%	13.1%	16.7%	20.8%
Capex	-1,451	-1,994	-2,682	-5,078
Free cash flow	-838	-939	2,756	15,513

Source: Company, Ambit Capital research

Exhibit 8: Assume 15% WACC, 6% terminal growth; TP of ₹640 implies 15x 1yr fwd EV/EBITDA (pre-Ind AS)

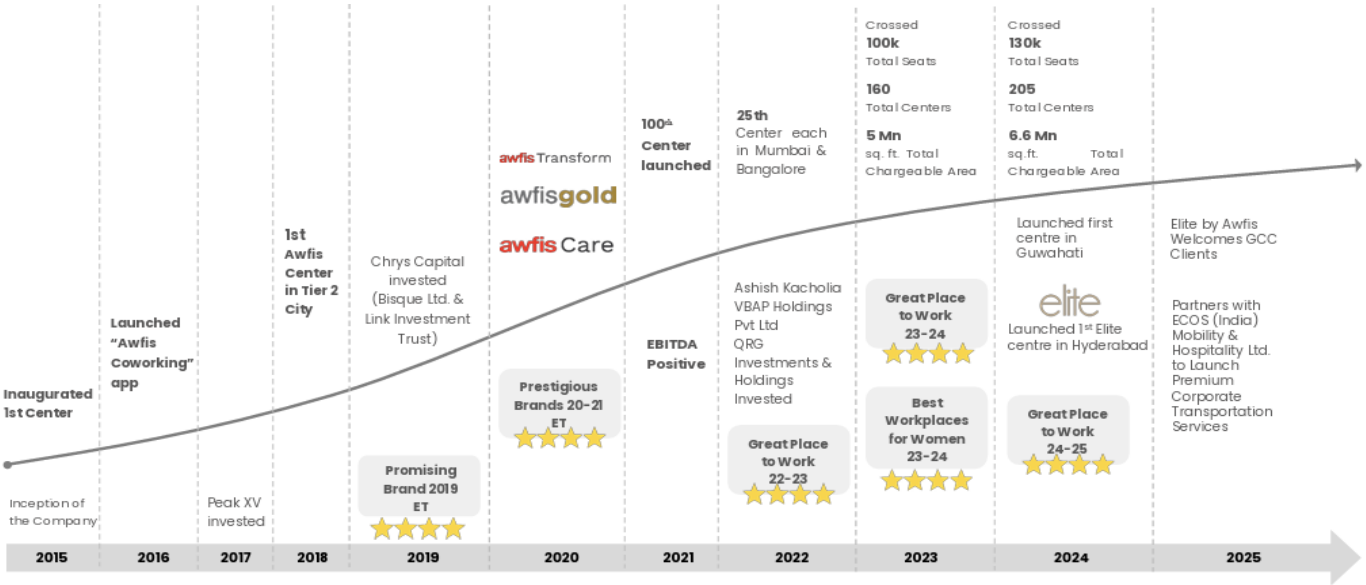
	₹ mn
Enterprise Value	43,930
Net debt (FY26E)	-1,500
Equity Value	45,430
Number of shares (in mn)	71
Value per share (TP)	640
CMP (₹)	511
Upside %	25%

Source: Company, Ambit Capital research. Note: CMP as of Dec 3, 2025.

Integrated workspace platform covering the full office lifecycle

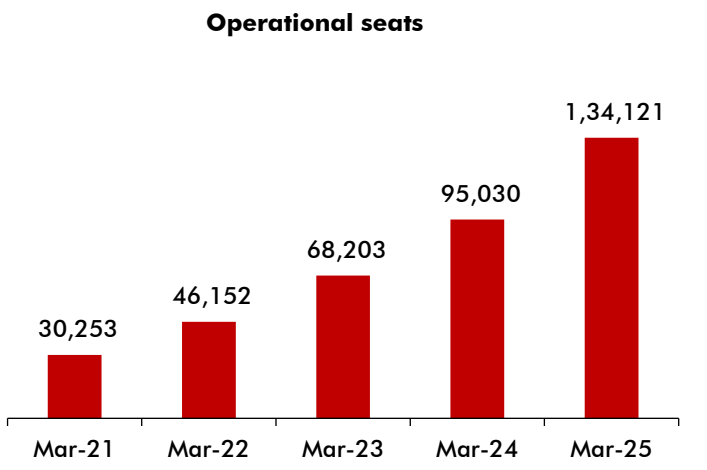
Awfis operates India's largest flexible workspace network with a business model centred on an asset-light Managed Aggregation (MA) model that supports rapid, capital-efficient scaling by establishing collaborative, risk-sharing partnerships with property owners. The core product offerings are segmented into three main verticals: Workspace Solutions (co-working and managed offices for varied team sizes), Awfis Transform (Design and Build services, including external commercial fit-outs) and allied services (now a part of Space Solutions), which encompass a comprehensive ecosystem of support like Awfis Café, TechLabs (IT solutions) and Mobility Solutions through partners like ECO Mobility. The clientele is diverse, spanning across corporate MNCs, SMEs, start-ups and freelancers. The company serves these varied segments through a three-tiered brand architecture: Awfis (core/value offering in Tier-1 and Tier-2 cities), Awfis Gold (premium spaces in select Tier-1 micro-markets) and Elite by Awfis (the newest, most sophisticated offering specifically targeting GCCs and multinational corporations).

Exhibit 9: Over the years, Awfis has evolved to become a leading flexible workspace provider



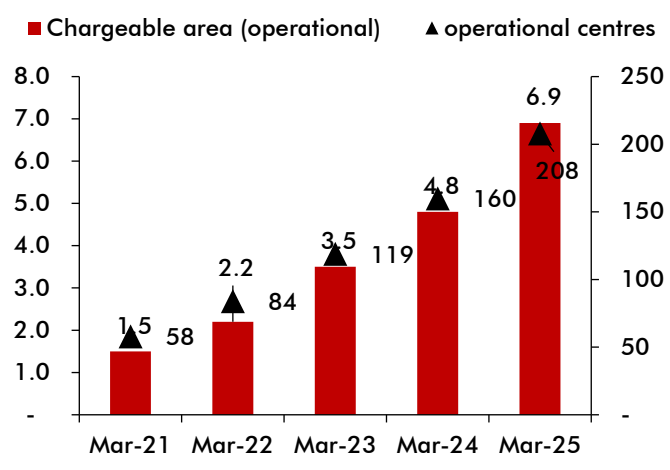
Source: Company, Ambit Capital research

Exhibit 10: Operational seats have grown at a CAGR of 45% over FY21-25 whilst...



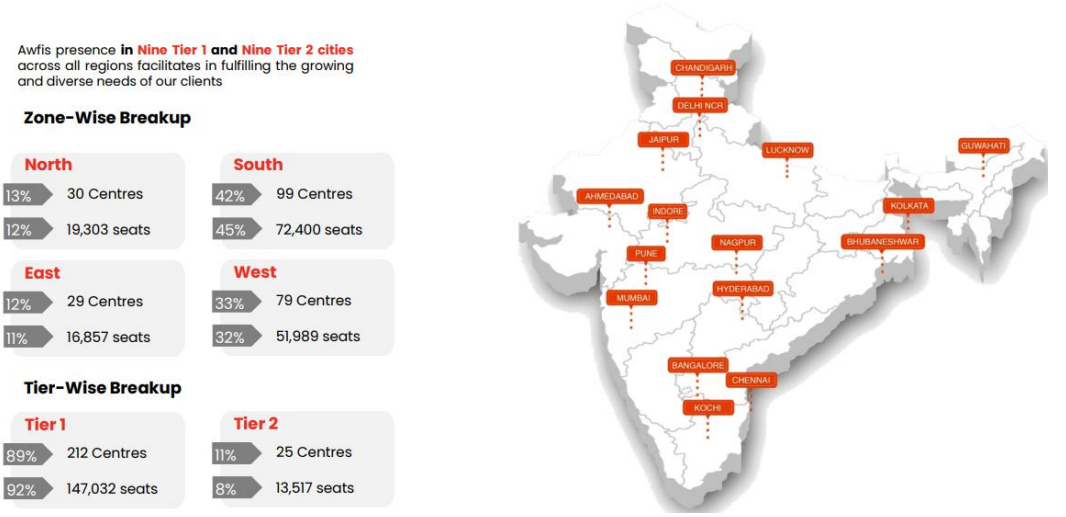
Source: Company, Ambit Capital research

Exhibit 11: ...chargeable area and operational centres have grown by ~4x



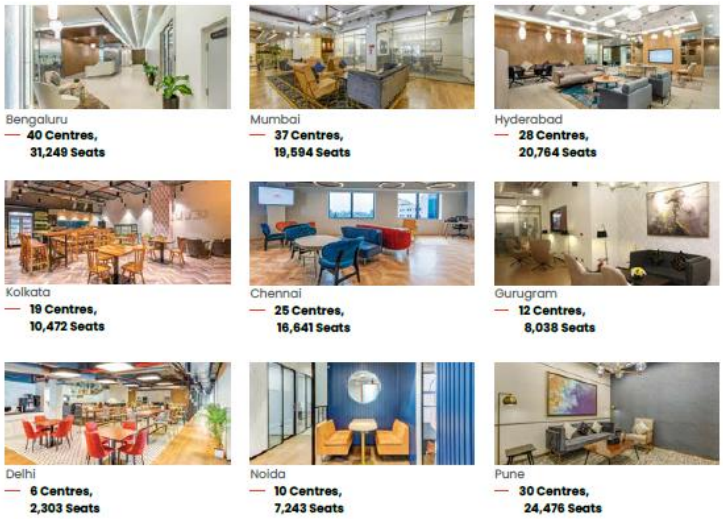
Source: Company, Ambit Capital research

Exhibit 12: Awfis has a strong network presence in 9 Tier-1 & 9 Tier-2 Indian cities



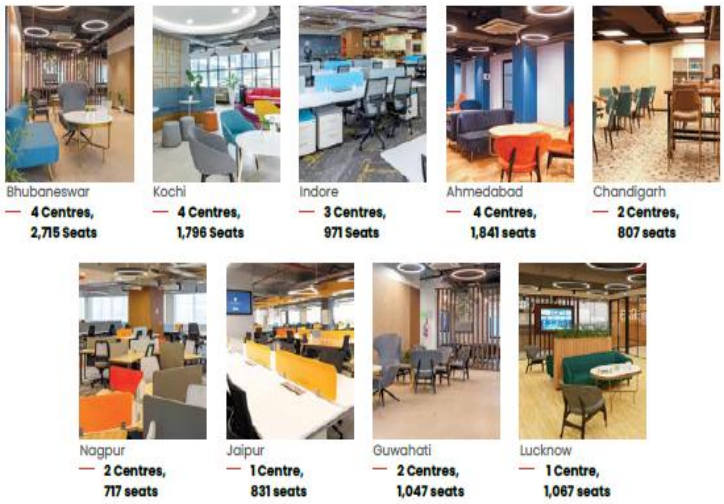
Source: Company, Ambit Capital research

Exhibit 13: Centres in Tier-1 cities



Source: Company, Ambit Capital research

Exhibit 14: Centres in Tier-2 cities



Source: Company, Ambit Capital research

Multi-tiered brand architecture to cater to diverse segments

- **Awfis (Core/Value Offering):** This is the core, value-driven offering of the company, focusing on accessibility and functionality. Caters primarily to a broad base of users, including freelancers, start-ups, Small and Medium Enterprises (SMEs) and mid-sized to large corporates looking for ready-to-move-in, cost-efficient, flexible workspace solutions. Found across a wide network, including both Tier-1 and Tier-2 cities.
- **Awfis Gold (Premium Segment):** A flagship premium workspace solution designed for an elevated work experience. Primarily aimed at the premium customer segment, including large-scale enterprises and CXOs who require Grade A properties, luxurious designs and best-in-class amenities. Strategically located in key micro-markets and prime business districts of Tier-1 cities (like Mumbai, Bengaluru, Hyderabad, and Chennai).
- **Elite by Awfis (Ultra-Premium/Enterprise Grade):** The newest and most sophisticated offering, designed as an ultra-premium, enterprise-grade workspace solution. Specifically crafted for GCCs and MNCs that demand offices matching global standards in security, compliance, technology integration and luxurious, bespoke design, often requiring a 40% premium over Gold centres. Elite offers highly customized, fully managed office solutions with advanced features like biophilic pods, executive suites, Zen rooms and integrated AV systems.

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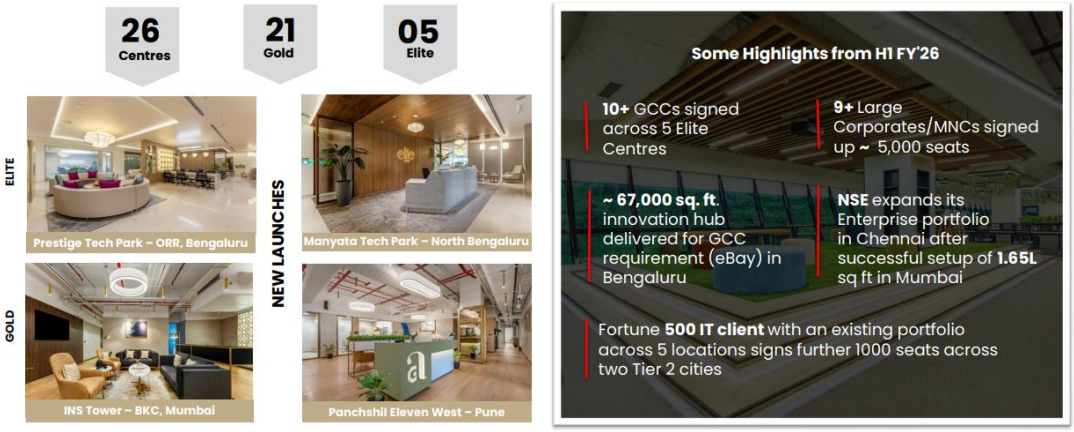
Exhibit 15: Awfis has built a unified customer-centric office ecosystem with presence across all verticals

Source: Company, Ambit Capital research

Exhibit 16: Strengthening focus on premiumization with Gold & Elite centres

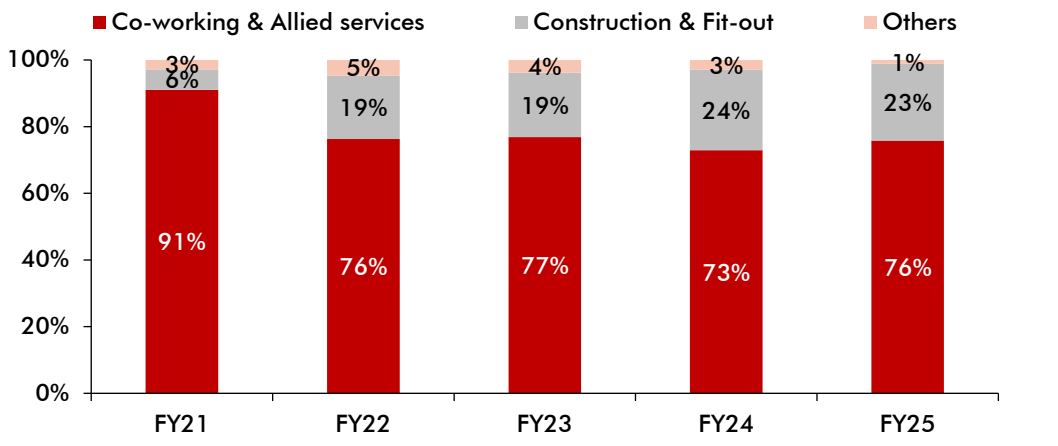


Source: Company, Ambit Capital research

Awfis Transform: Backward integration into Design & Build solutions

Awfis Transform is a strategic service vertical that functions as the company's dedicated Design and Build (D&B) segment. Launched in 2019, this segment offers comprehensive turnkey solutions for developing commercial office spaces, extending beyond the typical co-working fit-outs. Its primary scope includes both developing Awfis' own centres (including co-working and managed offices) and undertaking external commercial fit-out projects for clients seeking customized, ready-to-move-in offices. The service encompasses the full spectrum of a project, from initial space planning and design consultancy, which prioritizes end-user experience, technology integration and efficiency requirements to complete construction, fit-out supervision and delivery of a fully built workspace. This backward integration into the D&B supply chain allows Awfis to control the quality and speed of delivery for its clients. D&B division accounts for ~23% of Awfis' FY25 revenues and has grown at a CAGR of 78% over FY22-25. D&B division is characterized by higher profitability as compared to the core workspace business. Being an asset-light business, it offers higher margins and RoCE.

Exhibit 17: Healthy mix of revenue streams; D&B revenue CAGR of 79% over FY22-25



Source: Company, Ambit Capital research

Exhibit 18: Enhanced product offerings through D&B division

Source: Company, Ambit Capital research

Exhibit 19: Segment information – D&B offers higher profitability prospects

Segment information (₹ mn)	FY24	FY25
Co-working	6,189	9,160
D&B	2,049	2,729
PBT		
Co-working	109	458
D&B	104	233
PBT margins %		
Co-working	2%	5%
D&B	5%	9%

Source: Company, Ambit Capital research

Allied Services: Expanding the Awfis Value Proposition

Allied Services integrates high-value, non-core solutions directly into the workspace experience. This ecosystem extends well beyond providing physical space, aiming to simplify operations, enrich user engagement, and address complex enterprise needs. Key offerings include: Awfis Café, which operates over 200 in-centre cafés to create functional, collaborative zones and foster community engagement among members; TechLabs, which delivers integrated, enterprise-grade IT solutions, such as dedicated Internet Leased Lines (ILL), network infrastructure, and audio-visual (AV) support, making it a preferred choice for GCCs and mobility solutions, which provide on-demand, decentralized access through day passes, meeting room bookings and a strategic partnership with ECO Mobility for seamless first and last-mile corporate transportation.

Collectively, these allied services enhance client satisfaction and generate significant ancillary revenue by positioning Awfis as a complete workspace partner.

Catering to a well-diversified client base

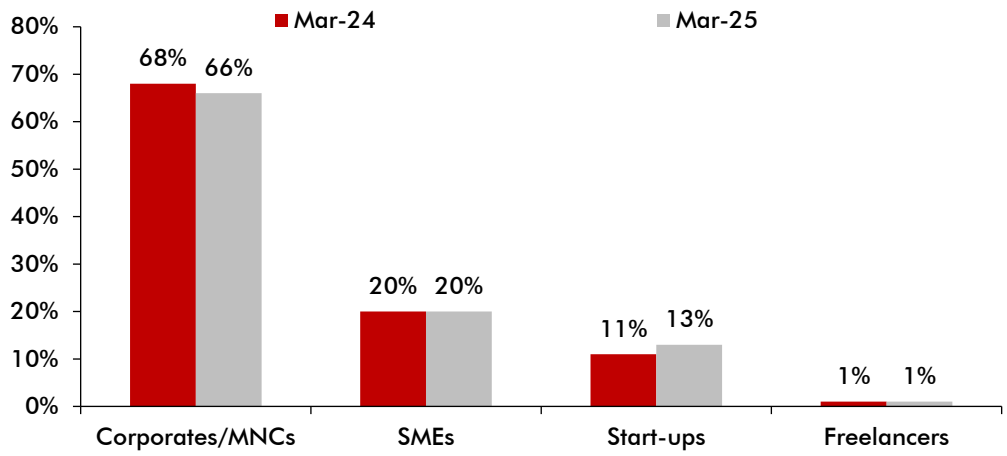
Awfis caters to a highly diversified clientele across its multi-tiered workspace offerings. As of FY25, the company's client segmentation by seats was: Corporate MNCs leading at approximately 66%, followed by SMEs (Small and Medium Enterprises) at 20%, Start-ups at 13%, and Freelancers at 1%.

Their premium brands, Awfis Gold and Elite by Awfis, are specifically designed to meet the high standards of this top-tier corporate segment, including Global Capability Centres (GCCs), ensuring that a consistent, enterprise-grade experience—including customization, technology, and compliance—is delivered across their pan-India network.

Exhibit 20: Distinguished client base with strong marquee names

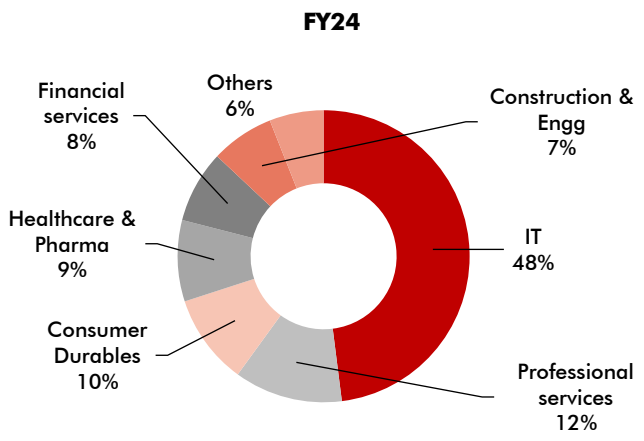
Source: Company, Ambit Capital research

Exhibit 21: Well-diversified client base



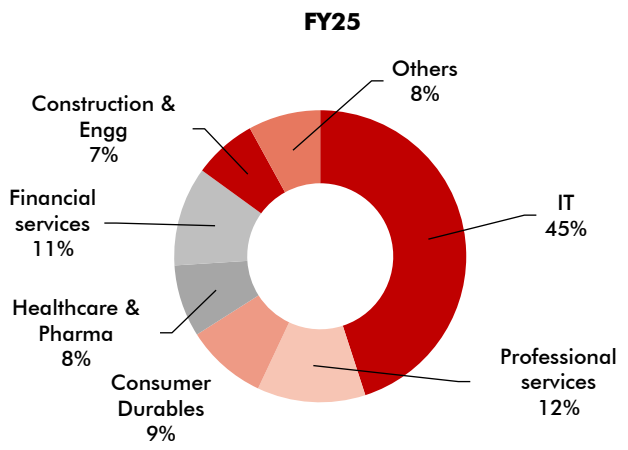
Source: Company, Ambit Capital research

Exhibit 22: Reliance on IT clientele reducing from 48% (FY24)...



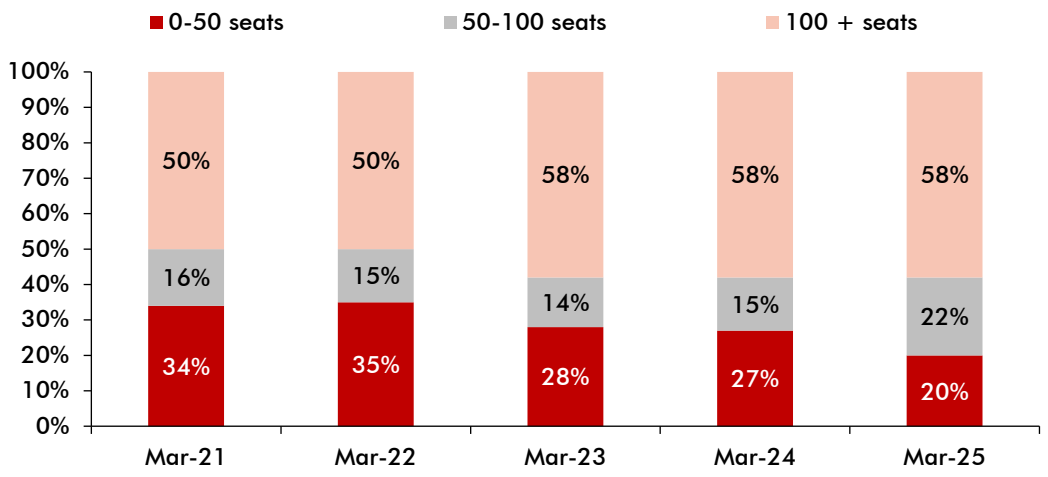
Source: Company, Ambit Capital research

Exhibit 23: ...to ~45% in FY25; rising use case by BFSI clientele



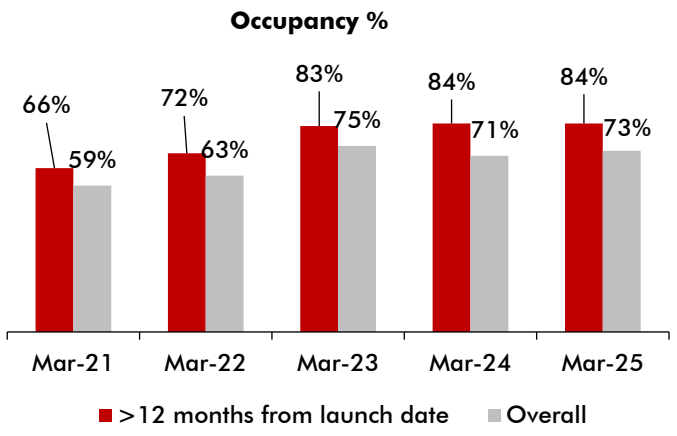
Source: Company, Ambit Capital research

Exhibit 24: Seat mix transitioning towards larger seat cohorts (100+ seats) leading to...



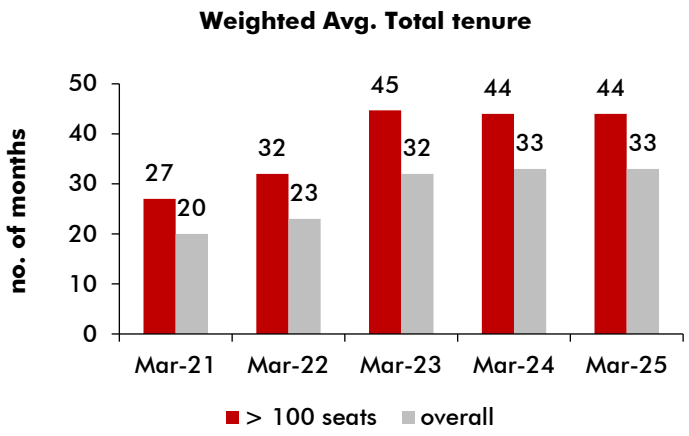
Source: Company, Ambit Capital research

Exhibit 25: ...higher overall occupancies since FY21 and...



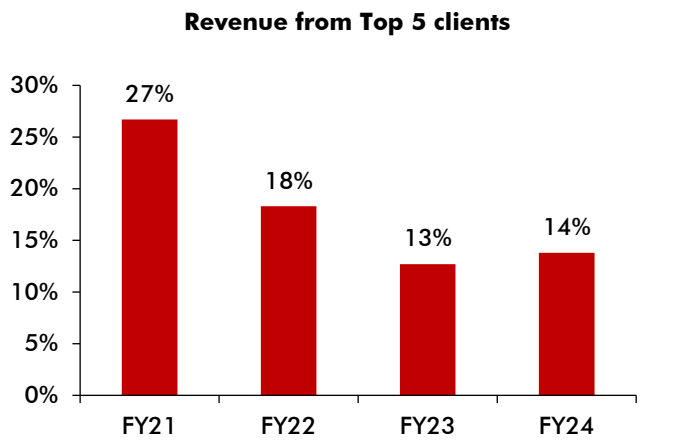
Source: Company, Ambit Capital research

Exhibit 26: ...higher lease tenures



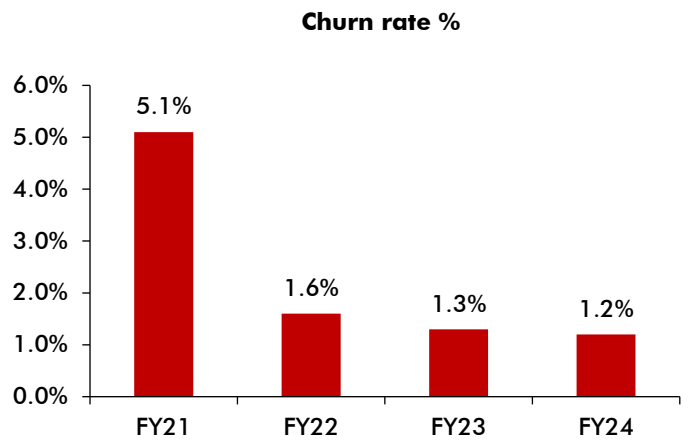
Source: Company, Ambit Capital research

Exhibit 27: Lower dependency on top 5 clients...



Source: Company, Ambit Capital research

Exhibit 28: ...followed by lower churn rates %

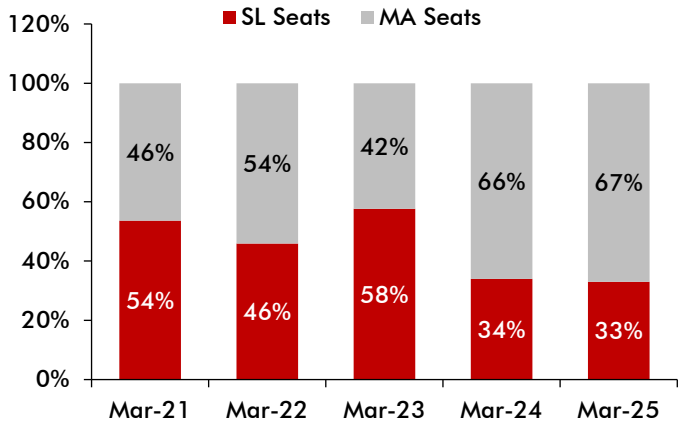


Source: Company, Ambit Capital research

Focus remains on asset-light managed aggregation model

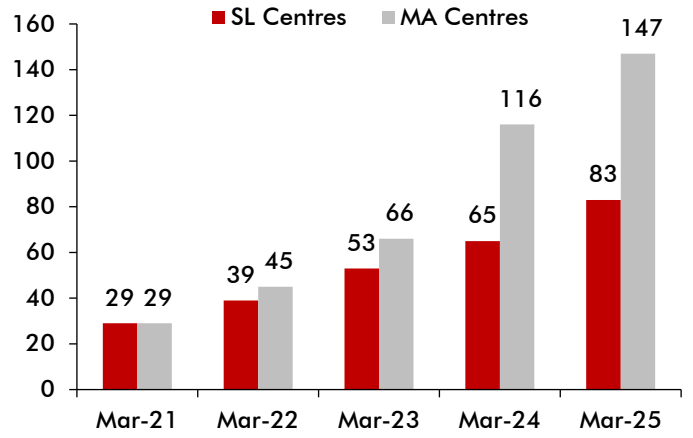
Awfis' core operating strategy centres on the Managed Aggregation (MA) model, an asset-light approach built on collaborative, risk-sharing partnerships with property owners and developers. In contrast to the traditional Straight Lease (SL) model where the operator assumes full fit-out capital expenditure, the MA model sees space owners typically co-investing in the fit-out infrastructure, often contributing between 50% and 90% of the capex. Instead of fixed rent, these agreements are primarily structured as revenue or profit-sharing mechanisms (with the space owner's share ranging from 50% to 80% of profits). The primary benefits for Awfis include reduced financial risk and lower upfront investment, enabling rapid and capital-efficient scaling across India. This model is critical to its business success, accounting for 67% of total seats as of FY25 and driving a high RoCE of 62% in FY25.

Exhibit 29: ~2/3rd of the seats are under the MA model



Source: Company, Ambit Capital research

Exhibit 30: MA centres have increased by ~5x from FY21



Source: Company, Ambit Capital research

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Discount to peers owing to business model; improving mix to drive scalability

India's total office stock (883msf in 1QCY25) is expected to grow by 6-7% CAGR till CY27. Assuming a modest 3-4% CAGR till CY42, the office stock would be ~1.7bn sq ft. Currently, the market share of Awfis in flex office stock is ~8%. We expect co-working revenue CAGR to be 23% over FY25-28E, led by ~25-35k seat additions p.a. (FY25-28E). We expect occupancies to remain ~74% (FY25E-28E) and eventually ramp up to ~80% by FY42E. We build in 13% CAGR in D&B segment (FY25-28E); overall revenue CAGR to be ~21% (FY25-28E). Expect Awfis to grow its portfolio from ~134k seats in FY25 to ~460k seats in FY42, which implies ~20msf of AUM; ~2.6x from its current AUM of ~8msf. ~25-30k seat additions p.a. coupled with higher margins from D&B segment will lead to margin expansion from ~12.9% EBITDAM (pre-Ind AS) in FY25 to ~15.6% in FY28E. Our 1yr TP of ₹640 implies 15x 1yr forward EV/EBITDA.

Exhibit 31: Near-term assumptions

Particulars	FY24	FY25	FY26E	FY27E	FY28E	Comments
SBA (in msf)	5.60	6.90	8.38	9.64	10.89	
Operational seats	95,030	134,121	167,651	192,799	217,863	Operational seats to grow at 18% CAGR.
Blended Occupancy across all centres %	71%	73%	74%	74%	74%	Expect occupancies to be ~74%.
Occupied seats	95,076	118,467	143,150	164,622	186,023	
Implied Area/ desk (sq ft)	51	51	50	50	50	Seat density to be ~50 sq ft.
Average price/ occupied seat	7,644	7,797	8,148	8,514	8,897	Expect seat pricing to grow at 4% CAGR from FY25-28E; seat pricing growth co-related to growth in micro-market rentals.
P&L						
Co-working & allied services	6,189	9,160	12,130	14,577	17,213	Expect revenues from rental income to grow at 23% CAGR from FY25-28E owing to higher realizations.
YoY Growth %	48%	48%	32%	20%	18%	
D&B	2,049	2,783	3,005	3,456	3,974	Expect revenues from D&B to grow at 13% CAGR from FY25-28E.
YoY Growth %	95%	36%	8%	15%	15%	
Total Revenue from op	8,238	11,943	15,135	18,033	21,187	Expect revenue CAGR of 21% over FY25-28E.
YoY Growth %	57%	45%	27%	19%	17%	
EBITDA (Pre-Ind AS)	709	1,562	2,010	2,631	3,295	Expect EBITDA CAGR of 28% over FY25-28E.
EBITDAM (Pre-Ind AS)	8.6%	13.1%	13.3%	14.6%	15.6%	Margin expansion owing to scale and stable occupancies.
Balance sheet						
Net debt	273	-583	-1,500	-1,202	-2,439	Expect Awfis to maintain net debt position.
ROCE % (pre Ind AS)	25%	39%	53%	53%	66%	RoCE to improve owing to better operating leverage and lean BS.
Cash flows						
Net OCF	2,284	3,895	5,666	6,270	8,454	Awfis to generate healthy OCFs.
Capex	(1,451)	(1,994)	(2,828)	(2,549)	(2,920)	Capex to increase owing to leasing of new properties and refurbishment of older ones.
Lease payments	(1,745)	(2,462)	(3,393)	(4,221)	(5,074)	Lease payments to witness ~5% YoY escalations per sq ft.
FCF	(912)	(561)	(556)	(501)	460	FCFs to remain negative in the medium term.
OCF (pre-tax)/ EBITDA (pre-Ind AS)	0.76	0.92	1.13	0.78	1.03	OCF/EBITDA to remain ~1.

Source: Company, Ambit Capital research

Exhibit 32: Key assumptions to our DCF; expect AUM to grow by ~2.6x by FY42E

	FY24	FY25	FY31E	FY42E
Operational Seats	95,030	134,121	285,863	462,863
Occupancy %	71%	73%	77%	80%
Occupied seats	67,471	97,908	220,114	370,290
Co-working & allied services(₹ mn)	6,189	9,160	26,393	78,120
D&B (₹ mn)	2,049	2,783	7,126	23,436
Total Revenue (₹ mn)	8,238	11,943	33,520	101,556
% Mix				
Co-working & allied services %	75%	77%	79%	77%
D&B %	25%	23%	21%	23%
EBITDA (₹ mn) (pre Ind AS)	709	1,562	5,586	21,073
EBITDAM % (pre Ind AS)	8.6%	13.1%	16.7%	20.8%
Capex	-1,451	-1,994	-2,682	-5,078
Free cash flow	-838	-939	2,756	15,513

Source: Company, Ambit Capital research

Exhibit 33: Assume 15% WACC, 6% terminal growth; TP of ₹640 implies 15x 1yr fwd EV/EBITDA (pre-Ind AS)

	₹ mn
Enterprise Value	43,930
Net debt (FY26E)	-1,500
Equity Value	45,430
Number of shares (in mn)	71
Value per share (TP)	640
CMP (₹)	511
Upside %	25%

Source: Company, Ambit Capital research. Note: CMP as of Dec 3, 2025.

Awfis trades at ~14x FY27E EV/EBITDA (pre Ind AS); improving mix to drive rerating

Particulars	BBG Ticker	CMP	Mcap (₹ mn)	Rating	TP 12m	EV/EBITDA (x) (reported basis)			EV/EBITDA (x) (pre Ind AS)			FY25-28E CAGR (%)	
						FY25	FY26	FY27	FY25	FY26	FY27	Rev	EBITDA
Flex/co-working operators													
Awfis Space Solutions	AWFIS IN EQUITY	512	36,606	BUY	640	9	7	5	24	18	14	21%	28%
Smartworks Coworking Spaces	SMARTWOR IN EQUITY	453	51,774	BUY	590	5	5	4	27	21	15	23%	35%
IndiQube Spaces	INDIQUBE IN EQUITY	207	43,506	BUY	270	6	5	4	31	19	15	24%	43%
WeWork India Management	WEWORK IN EQUITY	597	79,965	NR	-	DNA	8	6	DNA	DNA	DNA	DNA	DNA
EFC (I) Limited	EFCIL IN EQUITY	262	26,083	NR	-	DNA	5	3	DNA	DNA	DNA	DNA	DNA
Domestic Hotels chains													
Indian Hotels Co Ltd	IH IN EQUITY	735	1,045,900	BUY	900	37	31	28	NA	NA	NA	13%	15%
ITC Hotels Ltd	ITCHOTEL IN EQUITY	208	433,004	BUY	255	34	29	25	NA	NA	NA	13%	17%
Chalet Hotels Ltd	CHALET IN EQUITY	913	199,682	BUY	1,115	30	24	19	NA	NA	NA	21%	18%
Leela Palaces Hotels & Resorts	THELEELA IN EQUITY	405	135,336	BUY	550	19	21	18	NA	NA	NA	15%	20%
Lemon Tree Hotels Ltd	LEMONTRE IN EQUITY	163	128,962	BUY	200	24	21	17	NA	NA	NA	13%	17%
SAMHI Hotels Ltd	SAMHI IN EQUITY	185	40,961	BUY	375	13	12	11	NA	NA	NA	12%	15%
REITs													
Embassy Office Parks	EMBASSY IN EQUITY	449	425,585	BUY	460	18	14	13	NA	NA	NA	16%	18%
Mindspace Business Parks REIT	MINDSPCE IN EQUITY	481	292,987	BUY	470	19	14	13	NA	NA	NA	17%	19%
Brookfield India Real Estate Trust	BIRET IN EQUITY	334	213,732	BUY	355	13	11	10	NA	NA	NA	12%	14%
Nexus Select Trust	NXST IN EQUITY	163	246,991	NR	-	-	17	16	NA	NA	NA	10%	11%

Source: Company, Ambit Capital research. Note: Data as of Dec 3, 2025. Ambit estimates used for coverage companies.

Risks & Catalysts

Risks

Focus on smaller seat cohort

Awfis's traditional focus on servicing smaller seat cohorts (sub-100 seats) carries the primary risk of increased revenue volatility and elevated operational churn. These clients are typically SMEs, start-ups and freelancers. These smaller customers often enter into shorter-term client agreements. This reliance on a high volume of shorter-term, easily replaceable contracts demands a continual, intensive sales and operations effort to acquire new clients and renew existing ones to prevent a sharp decline in occupancy.

Higher competitive intensity in co-working

Competition is higher in co-working than in managed office spaces because co-working has lower entry barriers, a more standardized offering and caters to freelancers, start-ups and small teams with shorter tenures and higher churn, leading to frequent switching and price-led competition. In contrast, managed offices serve enterprise clients with customized, larger-format solutions that require strong execution capabilities, capital support and operational expertise, resulting in fewer credible players, stickier contracts, and lower competitive intensity.

Catalysts

D&B: High-margin growth engine with large TAM

Awfis has a separate D&B segment contributing >20% of its revenues. This is a high-margin business with high asset turns. With large supply kicking in, supported by the need to transform office spaces, the D&B market opportunity size is expected to be ~₹195bn by CY30. With Awfis' expertise in transforming office spaces in ~60 days, we expect this segment to grow at 11% CAGR over FY25-27E. Further, Awfis Transform has evolved to tapping into the new sectors, such as retail, hospitality, and other commercial segments, thereby broadening its customer base. We believe this industry has large headroom for growth.

Pivot towards larger seat cohorts and focus on premiumization

Awfis had ~42% seat cohort up to 100-seat category. However, as of 1HFY26, it is ~39%. Awfis has also actively set up 26 premium centres (5 Elite and 21 Gold) to cater to larger enterprises and GCCs. Expect operational seats to grow at 18% CAGR over FY25-28E. Pivoting towards larger seat cohorts will lead to stable revenues and margins. Expect Awfis to improve EBITDA (pre-Ind AS) margins from 13.1% (FY25) to 14.6% (FY27E), ~170bps improvement.

Experienced BoD & Management

Awfis was founded in December 2014 with the vision of transforming India's workspace landscape by offering affordable, high-quality workspaces. The promoters of the company are Amit Ramani and the institutional financial investor, Peak XV Partners Investments V (formerly known as SCI Investments V). Amit Ramani, who has over 20 years of experience in real estate and workspace solutions, has served as a director since the company's inception. Starting with a focus on flexible co-working spaces, the company has since evolved into a fully integrated workplace solutions platform.

Exhibit 34: Board is diverse, well-qualified and experienced

Name	Designation	Education	Background
Amit Ramani	Chairman & MD	Bachelor's degree in Architecture from School of Planning & Architecture, New Delhi & Master's degree in Architecture/Science from Kansas/Cornell University, USA.	▪ He has approximately 20 years of experience in the field of real estate and workplace solutions. ▪ He was previously associated with Nelson Planning and Designs Private Limited as the promoter and managing director. ▪ He has also worked with Nelson Worldwide, LLC, in his capacity as a senior vice president, and Hellmuth, Obata + Kassabaum, Inc. (HOK), New York, in his capacity as a consultant.
Rajesh Kharbanda	Non-executive Director	Bachelor's degree in Commerce from Guru Nanak Dev University, Jalandhar.	▪ He has approximately 37 years of experience in the sports sector. ▪ He is the managing director of Freewill Sports Private Limited and has been associated with them for 37 years. ▪ Further, he is serving as the chairman of the Sports Goods Manufacturers & Exporters Association, Jalandhar.
Arjun Bhartia	Non-executive Director	Bachelor's degree in Arts from Brown University, USA.	▪ He has seven years of experience in managerial positions. ▪ He is currently serving as the promoter and director of Jubilant Consumer Private Limited and the promoter and managing director on the board of directors of Jubilant Pharmova Limited. ▪ He has previously served as an associate consultant with Bain & Company India Private Limited.
Anil Parashar	Independent director	He is a qualified Chartered Accountant	▪ He has over 27 years of experience in the financial sector. ▪ He has previously served as the group chief financial officer with InterGlobe Enterprises Private Limited.
Radhika Jaykrishna	Independent director	Bachelor's degree in Commerce from Gujarat University and is a qualified Chartered Accountant.	▪ She has eight years of experience in managerial roles, investment portfolios management and real estate sectors. ▪ She is the principal officer at Hunter Wealth Management LLP and the partner at Pluto Associates LLP.
Sanjay Shah	Independent director	Bachelor's degree in Technology (B.Tech) from Indian Institute of Technology Bombay (IIT), Mumbai and a Master's degree in Science (M.S.) from Virginia Polytechnic Institute and State University, USA.	▪ He has over 18 years of experience in computer engineering, software and logistics sectors. ▪ He is currently serving as the chief operating officer- India/ South-East Asia with National Entrepreneurship Network. ▪ He has previously served as the founder and chief technology officer with Instavans Logistics Private Limited, the co-founder and a director of Zapty Software Private Limited, the managing director of Aveva Solutions India LLP and the managing director of Asia – sales with Net Right Technologies Private Limited.

Source: Company, Ambit Capital research

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Exhibit 35: Awfis' management has significant experience

Name	Designation	Education	Background
Sumit Lakhani	Chief Executive Officer (CEO)	Bachelor's degree in Technology from Guru Gobind Singh Indraprastha University, Delhi and a post-graduate diploma in management (finance) from S.P. Jain Center of Management, Dubai/Singapore.	▪ He has 17 years of experience in marketing, sustainable investment banking and engineering sectors. ▪ He has previously served as the VP in sustainable investment banking with YES Bank, software engineer with TESCO Hindustan Service Centre Private Limited and an associate with ST Asset Management Limited.
Ravi Dugar	Chief Financial Officer (CFO)	Qualified Chartered Accountant.	▪ Prior to joining Awfis in 2022, he was the CFO of Livguard. ▪ He has ~23 years of experience in the industry, having worked with organizations like HSBC, and Bharti Airtel.
Manu Dhir	Chief Operating Officer	Diploma in Hotel Management from National Council for Hotel Management and Catering Technology, New Delhi.	▪ He has 25 years of experience in the hospitality, restaurants and beverage sectors. ▪ He has previously served as the chief operating officer with SilverMaple Healthcare Services Private Limited, the president – operations with Satyam Cineplexes Limited, the chief operating officer with EWDL Food & Beverages Private Limited, the head operations – CM brands with Citymax Hospitality India Private Limited (a part of Landmark Group), the general manager with Mars Restaurants and Sky Gourmet Catering Private Limited and the operations manager with Oberoi Flight Services, Delhi.
Deepayan Sen	Head- Real Estate & Leasing	He holds a certificate of business professional programmer from Department of Electronics and Accreditation of Computer Class (DOEACC) Society and has cleared intermediate examination of the Institute of Costs and Works Accountants of India.	▪ He has 16 years of experience in the real estate sector. ▪ He has previously served as the national lead – RE and LP in real estate and projects department with Staples Future Office Products Limited, the manager of development and expansion department with METRO Cash & Carry India Private Limited, the deputy manager with Pantaloon Retail (India) Limited and the assistant manager (business development) with Radhakrishna Consumer Services Private Limited.

Source: Company, Ambit Capital research

Accounting & ESG

Awfis reports its financial statements as per Ind AS-116. S.R. Batliboi & Associates LLP are the auditors of the company and there has been no modified opinion on the financial statements. Awfis generated <1 pre-tax CFO/EBITDA. The FCF/Revenue is lower than Smartworks and IndiQube. Overall cash balance as a % of total assets remains quite low.

Exhibit 36: Accounting checks show no major issues

Ratio	Flags	FY23	FY24	FY25	Description
Cash conversion (pre-tax CFO/EBITDA)	GREEN	125%	102%	91%	Cash conversions of company remained healthy. Operations of company are not working capital intensive.
FCF/revenue	AMBER	9%	10%	14%	Company has generated stable FCFs since FY23.
Misc. expenses as a % of revenue	GREEN	0.5%	0.3%	0.3%	No material miscellaneous expenses.
Cash outflow to RPT as a % of revenue	GREEN	-3%	-0.5%	0.0%	Cash Outflows to Related parties have been negligible.
Managerial remuneration as a % of Employee Benefit Expenses	GREEN	6%	8%	6%	Remuneration paid to KMP appears to be appropriate.
Cash as a % of Total Assets (ex- ROU)	AMBER	3%	1%	6%	<10% Cash maintained.

Source: Company, Ambit Capital research

ESG initiatives

- Key environmental initiatives focus on Energy Efficiency, achieved through the deployment of smart technologies like LED lighting and motion sensors and Sustainable Design, which incorporates recycled, low-impact materials and biophilic elements, such as vertical green walls to enhance indoor air quality.
- Socially, the company promotes an inclusive workplace with an Equal Employment Opportunity Policy and achieved a 33% diversity ratio in FY25.
- Its Corporate Social Responsibility (CSR) efforts further extend to community action, including partnerships with local NGOs for environmental programs like tree planting campaigns and clean-up drives.

Exhibit 37: Awfis follows an integrated eco-responsibility framework

1. **Energy Efficiency and Smart Resource Allocation**

   We are advancing energy optimisation by deploying smart technologies such as LED lighting, motion sensors and daylight responsive systems across our centres. These upgrades are designed to reduce electricity consumption, without compromising user comfort.

   In parallel, our centralised infrastructure and shared-use model enable multiple users and enterprises to access the same workspaces, helping to cut down on energy consumption, redundant equipment and material waste.

2. **Sustainable Design and Fit-outs**

   We are transitioning to environmentally responsible design by incorporating recycled and low-impact materials in both new and refurbished centres. From reclaimed wood furniture to sustainable upholstery, each choice is made to minimise our material footprint.

   We continue to integrate biophilic design elements, such as indoor plants and vertical green walls to enhance indoor air quality and support a healthier and more natural work environment.

3. **Water Conservation and Waste Management**

   To reduce per capita water usage, our centres are equipped with dual flush toilets and low flow faucets. At the same time, we are standardising waste management protocols across locations. These include centralised recycling, composting and segregation systems.

   These efforts are especially critical in food and beverage zones, where we prioritise reducing landfill waste through improved processing and diversion practices.

Source: Company, Ambit Capital research

Exhibit 38: Explanation of our flags on page 1

Segment	Score	Comments
Accounting	GREEN	We do not find anything unusual in the company's accounting policies that warrant suspicion, and believe the reported numbers are a true reflection of performance.
Predictability	GREEN	Awfis has delivered consistently in terms of Revenue/EBITDA growth. Further, it received 'A+ Stable' ratings from India Ratings & Research (Fitch group company).
Earnings momentum	GREEN	Revenue CAGR of 49% over FY23-25; EBITDA grew 61% over FY23-25; expect 21%/28% Revenue/EBITDA (pre-Ind AS) growth over FY25-28E.

Source: Company, Ambit Capital research

Awfis Space Solutions (AWFIS IN, BUY)

Valuation Methodology

We have used DCF methodology to arrive at a fair valuation. We have used 15% CoE/WACC and 6% terminal growth.

Risks

- High competitive intensity in co-working as compared to managed office space.
- Focus on smaller seat cohorts leading to higher churn rates and low occupancies.

Financials - Consolidated

Income statement

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Revenue	**8,488**	**12,075**	**15,135**	**18,033**	**21,187**
-growth (Rev)	55.7%	42.3%	25.3%	19.1%	17.5%
Cost of goods sold	249	296	348	397	424
Gross profit	**8,239**	**11,779**	**14,787**	**17,636**	**20,764**
Gross profit growth	54.7%	43.0%	25.5%	19.3%	17.7%
Employee expenses	1,356	1,360	1,741	2,074	2,437
Other expenses	2,720	4,102	4,843	5,644	6,568
EBITDA	**2,454**	**4,024**	**5,403**	**6,852**	**8,369**
-growth (EBITDA)	57.8%	64.0%	34.3%	26.8%	22.1%
Depreciation	1,960	2,758	3,552	4,624	5,636
EBIT	**494**	**1,265**	**1,851**	**2,228**	**2,733**
-growth (EBIT)	786%	156%	46.3%	20.4%	22.6%
Other income	260	532	757	902	1,059
EBIT (including other income)	**754**	**1,797**	**2,608**	**3,130**	**3,792**
Finance costs	930	1,361	1,700	1,894	2,180
Exceptional items	-	251	-	-	-
Profit before tax	**(176)**	**688**	**908**	**1,236**	**1,612**
Profit before tax (adjusted)	**(176)**	**437**	**908**	**1,236**	**1,612**
-growth (PBT)	(62.3%)	(349%)	108%	36.2%	30.4%
Tax	-	8.9	228	300	406
PAT	**(176)**	**679**	**679**	**936**	**1,206**
Profit after tax (adjusted)	**(176)**	**428**	**679**	**936**	**1,206**
-growth (PAT)	(62.3%)	(343%)	58.8%	37.9%	28.8%
EPS (basic) (₹)	(2.8)	9.6	9.6	13.2	17.0
EPS (diluted)	(2.8)	9.6	9.6	13.2	17.0

Source: Ambit Capital research, Company

Balance sheet

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Property, plant and equipment	3,341	5,083	6,970	8,283	9,665
Capital work in progress	87	177	177	177	177
Right of use assets	5,800	10,705	11,434	12,796	13,431
Other intangible assets	17.7	16.5	16.5	16.5	16.5
Total fixed assets	**9,246**	**15,982**	**18,597**	**21,272**	**23,289**
Other non-current assets	1,692	3,931	3,118	4,293	4,415
Total non-current assets	**10,938**	**19,913**	**21,716**	**25,565**	**27,704**
Inventories	1.6	0.9	-	-	-
Trade receviables	748	1,208	1,534	1,828	2,148
Cash and cash equivalents	49	817	1,733	1,436	2,672
Other current assets	2,245	3,131	3,616	4,533	5,245
Total current assets	**3,043**	**5,157**	**6,883**	**7,798**	**10,065**
Total assets	**13,981**	**25,070**	**28,599**	**33,362**	**37,769**
Share capital	193	710	710	710	710
Other equity	2,321	3,883	4,562	5,498	6,704
Total equity	**2,514**	**4,592**	**5,271**	**6,208**	**7,414**
Long-term borrowings	233	138	138	138	138
Long-term provisions	24	32	32	32	32
Lease liabilities	5,705	10,994	12,406	14,317	15,763
Other non-current liabilities	937	2,047	2,124	2,846	2,994
Total non-current liabilities	**6,898**	**13,211**	**14,700**	**17,333**	**18,926**
Short-term borrowings	89	96	96	96	96
Trade payables	1,310	2,011	2,529	3,014	3,541
Lease liabilities	1,308	2,900	3,101	3,579	3,941
Other current liabilities	1,822	2,205	2,847	3,079	3,798
Short term provisions	39	54	54	54	54
Total current liabilities	**4,568**	**7,266**	**8,627**	**9,821**	**11,429**
Total liabilities	**11,466**	**20,477**	**23,327**	**27,154**	**30,355**
Total equity and liabilities	**13,981**	**25,070**	**28,599**	**33,362**	**37,769**

Source: Ambit Capital research, Company

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Cash flow statement

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Profit before tax	**(176)**	**688**	**908**	**1,236**	**1,612**
Depreciation	1,960	2,758	3,552	4,624	5,636
Interest expense	930	1,361	1,700	1,894	2,180
Working capital changes	(97)	(497)	491	(283)	491
Taxes	(217)	(23)	(228)	(300)	(406)
Other Items	(116)	(392)	(757)	(902)	(1,059)
Cash flow from operations	**2,284**	**3,895**	**5,666**	**6,270**	**8,454**
(Net) capital expenditure	(1,450)	(1,994)	(2,828)	(2,549)	(2,920)
Other items	(251)	374	798	478	1,272
Cash flow from investments	**(1,701)**	**(1,620)**	**(2,031)**	**(2,072)**	**(1,648)**
Net long-term borrowings	(42)	241	(89)	-	-
Payment of lease liabilities	(1,745)	(2,462)	(3,393)	(4,221)	(5,074)
Other items	1,141	982	805	(698)	(283)
Cash flow from financing	**(645)**	**(1,239)**	**(2,678)**	**(4,919)**	**(5,357)**
Opening cash balance	**56**	**44**	**817**	**1,733**	**1,436**
Net change in cash	**17.9**	**625**	**916**	**(297)**	**1,236**
Closing cash balance	**74**	**670**	**1,733**	**1,436**	**2,672**

Source: Ambit Capital research, Company

Preferred Ratios

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
EBITDA margin	28.9%	33.3%	35.7%	38.0%	39.5%
EBITDA margin (pre-Ind AS)	8.4%	12.9%	13.3%	14.6%	15.6%
EBIT margin	5.8%	10.5%	12.2%	12.4%	12.9%
Net debt/equity	0.1	(0.1)	(0.3)	(0.2)	(0.3)

Source: Ambit Capital research, Company

Ratio analysis

Year to March (₹ mn)	FY24	FY25	FY26E	FY27E	FY28E
Gross margin	97.1%	97.5%	97.7%	97.8%	98.0%
EBITDA margin	28.9%	33.3%	35.7%	38.0%	39.5%
EBIT margin	5.8%	10.5%	12.2%	12.4%	12.9%
Net profit margin	(2.1%)	3.5%	4.5%	5.2%	5.7%
Net debt/equity	0.1	(0.1)	(0.3)	(0.2)	(0.3)
pre-tax RoCE	21.3%	33.0%	35.8%	37.3%	38.8%
post-tax RoCE	21.3%	32.4%	26.8%	28.3%	29.0%
ROE (%)	(7.0%)	9.3%	12.9%	15.1%	16.3%

Source: Ambit Capital research, Company

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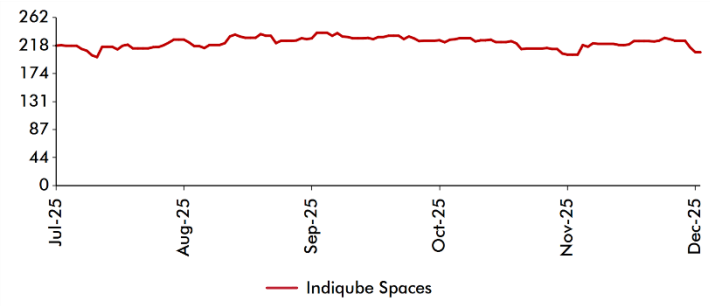
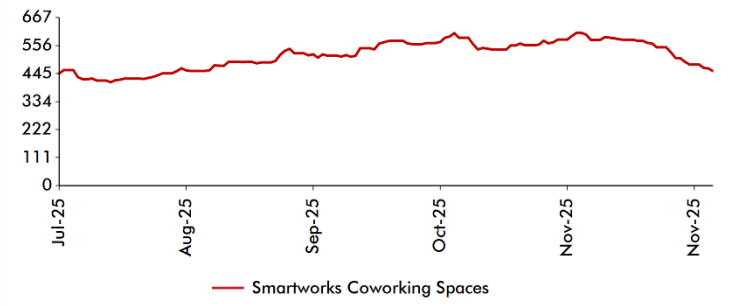
Indiqube Spaces (INDIQUBE IN, BUY)



Source: ICE, Ambit Capital research

Smartworks Coworking Spaces (SMARTWOR IN, BUY)



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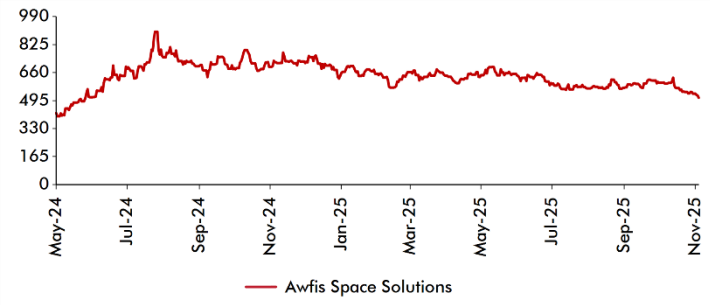

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